Integrated Annual Report 2022

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2022 Milestones

Pre-tax profit
€785
mn
+46.3%

Net profit
€560.2
mn
+28.1%

Return on equity (RoE)
12%

Operating income
€1.2
bn
+16.4%

Net interest income
€1.5bn
+20.5%

Lendings
€74.2
bn
+9.1%

Capital adequacy (CET1 *fully loaded*)
12%

Balances in salary accounts
€16.7
bn
+12.1%

Assets under management by Wealth Management
€51.1bn
+2.4%

Assets under management by Retail Banking
€41.4
bn
+4.3%

New mortgage loans
€6.7
bn
+13%

Off-balance-sheet managed assets
€37.2
bn
-9.4%

Consumer loans
€5.5
bn
+55%

Investment in Portugal
€8
bn
+15%

EVO - gross operating income
€37
mn
+55%

Satisfaction index for Spain and Portugal
43.6
+2.6%

Financing to companies linked to sustainability
€1,611
mn

Social responsibility initiatives
€2.9
mn

Neutral in scope 1 and 2 CO2 emissions
0

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New corporate website

A new agile and effective communication channel

Access the new website: https://www.bankinter.com/webcorporativa/inicio

In 2022, Bankinter's Institutional Communications department has renewed the Bank's corporate website, one of the communication channels most used by its stakeholders (shareholders, potential investors, analysts, the media, customers, suppliers, etc.) to keep up to date with the Bank's activity.
The objectives of the renewal project were to modernise the image of the website, refresh its contents, make the navigation panel more user-friendly and speed up the process of updating information. To this end, three distinct areas of work were pursued:

Technical tasks

The digital environment was adapted to the new design, effecting a massive migration of the contents from the old website (information, documentation, images, videos, etc.). The new environment is much more agile, intuitive and accessible, making navigation easier.

Content and design

The content was adapted to the new design, in line with the sought image of digitisation and modernity. Meetings with the areas involved (Corporate Governance, Shareholders' Office, Investor Relations, Sustainability and People) helped to outline the characteristics of the content.

Analysis

The contents to be analysed were identified and the measurement map was designed according to cost/effectiveness criteria. In addition, priority was given to search engine optimisation (SEO) work to ensure effectiveness.

The result of this renewal project is an agile and fresh website, visually attractive and with content differentiated according to target audiences.

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Interview with the chairman

Pedro Guerrero

'Bankinter has proven to be a profitable, solvent bank with extraordinary asset quality'

What do you think about the performance of the economy in 2022?

From a global point of view, 2022 was a transitional year between the end of the pandemic and a new expansionary cycle which is being threatened by serious uncertainties, of which, in the short term, the most important are the geostrategic challenge posed by Russia's unresolved invasion of Ukraine and the worrying upturn in inflation resulting from both the post-pandemic recovery and the war itself. The transition was characterised by a price shock that was initially very difficult to gauge, but also by unexpectedly strong employment rates in almost all advanced economies. We must not only take into account the negative, but also -- and, above all -- the positive.

Unresolved uncertainties led to volatile and bearish markets around the world, although by the end of the year we were already seeing a gradual turn for the better. The decline in economic activity proved to correspond to a transitional phase, and it cannot be stated categorically that it was a recession. Even if we accept that it was a recession, or that one will materialise in the near future, it will have been or will be only of a technical nature, geographically localised and quickly overcome.

We could say that there were less concerns by the end of 2022 than there were at the beginning, and that is also positive.

What is your outlook for 2023?

We are entering a new expansionary economic cycle which, despite the uncertainties, is likely to be more comfortable and reliable than is generally perceived. That is for me the most likely scenario, although we should not forget that there are major risks, such as the war in Ukraine, with which, unfortunately, we seem to have to live for a longer period than initially thought.

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In this scenario, the new cycle would be characterised by a nominal growth higher than in the last ten years, because it is compounded by higher inflation, but real GDP growth in developed economies would be similar, or somewhat higher. This need not be a bad thing, but only more complex to manage, especially from the perspective of central banks.

It seems certain that globalisation will give way to more regional trade, with the formation of new geostrategic blocs of influence. In the short term, the energy challenges will probably be solved less traumatically than is generally thought, thanks to American self-sufficiency, the progressive loss of OPEC's influence and the more rapid expansion of renewable energy sources. Taxation will increasingly be recognised as a driver or deterrent of economic activity and employment.

But the most important thing to bear in mind is that we are in the initial phase of a new expansionary cycle characterised by more resilient employment than expected, even if, I insist, the risks involved are not negligible.

How did the banking sector do last year?

The results indicate that Spanish banks continued in 2022 on the recovery path they had embarked on the previous year, leaving behind the negative effects of the health crisis. In contrast to previous periods, profitability was close to the cost of capital, which is essential to generate new capital and allow credit to grow.

This improvement was driven by the normalisation of interest rates after they had remained negative since 2016, something that had never been seen in history, and which had a very negative impact on the profitability of the banking sector. But regarding the rise in interest rates we must be aware of two things. Firstly, that, although it is raising bank revenues, it will also, in the near term, raise our funding costs. Secondly, the persistence of inflation and the consequent rise in interest rates reduces debtors' ability to pay and, therefore, will increase default in the medium term.

Addressing the latter was the reason why the banks decided to support the government's proposal to ease the situation of low and middle-income households who were finding the rise in the Euribor a difficult burden to bear. Grace periods and extended repayment terms have therefore been set up to ease their burden.

Therefore, as was the case during the pandemic with the moratoriums for individuals and businesses, banking has once again been part of the solution to a problem that seriously compromised the finances of our most vulnerable customers. This is why we find it hard to

'Banks have once again been part of the solution to a problem, making it easier for our most vulnerable customers to pay their mortgages'

'After emerging from the pandemic, we entered a new expansionary economic cycle threatened by serious uncertainties' understand the kind of punishment to which the public authorities have subjected us with a new sectoral tax that we consider unjustified and unfair and that will contribute neither to recovery nor to job creation, because it will affect the credit and risk decisions taken by the institutions.

What do you think of Bankinter's financial year?

Bankinter's results for the year have been very satisfactory. We have exceeded the profit target that we had set for 2023 one year in advance. In fact, we have already surpassed the profit we obtained in 2019, the year before the pandemic, and when we still had on our balance sheet the income of Línea Directa Aseguradora, which began its independent journey in April 2021, with its IPO.

Of course, the development of interest rates, after years of negative interest rates, has been very important and has contributed to the strong growth in net interest income. But, as our CEO will explain in detail, these results would not have been possible without the Bank's strong commercial drive, which has allowed us to grow significantly and gain market share in all of our most consolidated business areas, as well as diversify our activity with other projects with potential and with new products and services that are being very well received by our customers.

All this is thanks to well-defined strategic planning and, above all, to the commitment, motivation and good work of our entire team, which is Bankinter's greatest strength.

How will this positive result affect the bank's dividend policy?

Higher profits should be passed on to shareholders via dividends. Bankinter has proven to be a profitable, solvent bank with extraordinary asset quality, as attested to by all the ratios and indicators accompanying these results, in many of which we remain at the forefront of the sector in Spain and Europe, and well above the requirements of the regulators.

Our solvency was already reflected in the excellent results of the stress tests published in July 2021, and last year we saw our creditworthiness ratified by the Standard & Poors Credit Rating Agency, which upgraded our *rating* from BBB+ to A-.

'Our shareholders will receive a total of 280 million euros via dividends from the 2022 accounts'

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The positive results and our solid position allow us to maintain a pay out of 50 per cent and to this end, the board of directors will propose to the next annual general meeting a final dividend of €0.089 gross per share, in addition to the three interim dividends paid in June (€0.074), September (€0.065) and December (€0.084). In total, the Bank's shareholders will receive 280 million euro from the 2022 accounts, 28% more than in 2021.

What role does innovation play in the current situation of uncertainty?

Innovation plays an essential role in today's environment, given the uncertainty that is inherent to our times, and the speed with which change occurs in all areas of our lives. Innovation is therefore crucial in this adaptive process to which both individuals and companies are bound.

But for Bankinter, innovation is also a strength that has enabled us to endure over time and continue to grow in a highly competitive sector.

In 2022 we have once again demonstrated that we continue to be pioneers in developing new services and creating financial solutions for our customers, and well adapted to the current times.

This is for instance the case of Bankinter Investment, which for more than six years has been developing an alternative investment business, through which we seek new proposals for our high net worth customers, based on the real economy and decorrelated to developments in the markets. The innovative aspect of our approach is that management is entrusted to highly qualified entrepreneurs from the various sectors, who co-invest with the bank itself and with our customers.

In the same spirit, a milestone in 2022 was the creation of the new Alternative Investment Asset Manager and opening its doors to retail customers, which will take place in the first half of this year, under new legislation.

We can find further examples of innovation in Bankinter Consumer Finance with the online approval of non-customer transactions through the use of Big Data, the payment instalment service that we have called Pago Cómodo, or the Car & Roll service we have developed in collaboration with Vass and Línea Directa Aseguradora.

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With regard to our corporate customers, I would like to highlight the launch of the Supply Chain Finance platform, a pioneer in Spain, which provides a comprehensive solution for the management of working capital derived from companies' international business.

EVO Banco, a wholly-owned subsidiary of Bankinter, deserves special mention. With its own brand, it targets a younger clientele through an entirely digital model. Evo has continued to innovate with its "voice assistant", which serves 85% of customer needs, and with the voice biometrics system launched in 2022 to protect the most sensitive transactions, such as immediate transfers.

Finally, I would like to mention the new property management service "Excellence Management" and the technological platform "Tucomunidad NextGen" which facilitates the financing of energy rehabilitation of residential buildings.

All these initiatives are proof of our commitment to innovation and reflect our passion for doing things that are different and create value for society.

Is innovation also the engine driving the Bankinter Foundation?

Without any doubt. The Foundation was created 20 years ago to promote innovation in our society and in our business fabric, and it has become a pole of attraction for the most innovative minds in the world and a driving force for the main trends of the future.

Seeking to transform society through innovation, our experts create knowledge, share it through education, and put it into practice in two ways: entrepreneurship and decision-making with real impact.

Since it was created in 2003, the Foundation has launched four projects. These are the Future Trends Forum, seeking to analyse the consequences of technological change and new social and business trends; Akademia, to promote entrepreneurship among students in their final years at university; Startups, with the aim of supporting companies in their initial stages; and Cre100do, to do so when they need growth.

The Foundation, a pioneer of its kind and a reference in terms of innovation, set up an observatory in 2020 dedicated to monitoring Spanish *startups*. Its biannual reports reveal the dynamism of this ecosystem, immersed in a significant decentralisation process, although Barcelona and Madrid continue to concentrate the greatest activity.

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Has the economic situation affected the commitment to sustainability?

Bankinter's commitment to sustainability is firm and is not subject to the fluctuations of the economic situation. It is structural, permeates each and every one of our activities and is based on a solid foundation of Corporate Governance. It has been integrated into successive strategic plans to become a sustainable transformation opportunity within the business culture, comparable to the digital transformation that we also pioneered.

In recognition of this commitment to sustainability, the Bank has been included in the main sustainability indices, a consequence of its applying strict environmental, social and governance (ESG) criteria throughout its value chain. The Bank has been part of the FTSE4Good since the index was launched, and of the global Dow Jones Sustainability Index (DJSI), where it is recognised as one of the twenty-five banks that best meet these criteria. More recently, the Bank has been included in the Bloomberg Gender Equality Index, which lists companies that show the most successful management of diversity.

Moreover, in September the Bank was ranked by Newsweek magazine the seventh most socially responsible bank in the world and the first in Spain.

All these awards are the result of having made sustainability a strategic and cross-cutting priority, based on the establishment of the Bankinter Group's Sustainability Policy and the development of the Sustainability Plan, which in 2022 reached important strategic milestones.

Regarding the environment, we have continued to make progress in the process of decarbonising the corporate portfolio and plan to include the mortgage portfolio in the same process in 2023. At the same time, sustainable activity continued to grow, with notable figures, such as the more than 1.6 billion euro in sustainable financing to companies, 470 million euro in financing for renewable energy projects, and the close to 1.1 billion euro increase in own investment funds and ESG pension plans.

In terms of Social and Governance criteria, of particular note are the digital accessibility indicators, our commitment to the creation of quality employment and full compliance with all the recommendations and best practices of good governance.

'Bankinter's commitment to sustainability is not subject to the fluctuations of the economic situation'

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Interview with the **chief executive officer**

María Dolores Dancausa

'It has been a very successful year in a difficult environment'

How would you sum up Bankinter's 2022 financial year?

Without wishing to sound triumphalist, I think the year can be described as very successful. The net result was 560.2 million euro. Excluding the capital gain of 895 million euro generated in 2021 from the spin-off of Línea Directa Aseguradora, net profit grew by 28.1%. This means that the Bank's objective of restoring the profit levels obtained before the pandemic and the spin-off of Línea Directa has been achieved one year ahead of schedule.

The favourable results reflect the solid performance of the Bank's business areas, which in turn led to an improvement in all income statement margins.

Net interest income amounted to 1.5367 billion euro by the end of the year, 20.5% more than in the previous year, thanks to an improvement in net interest margin. Gross operating income, which in addition to net interest income includes fees from asset management and other operations, reached 2.0843 billion euro, 12.3% more than in 2021. The contributions to gross operating income made by the Group's new businesses, such as Portugal, Avant Money in Ireland and EVO Banco, are growing and already constitute a significant part of the total. Operating profit before provisions increased by 16.4% to 1.1663 billion euro.

Lending to customers reached 74.2434 billion euro, 9.1% more than the previous year, reflecting Bankinter's support for household and business initiatives, and retail funds rose by 3.7% to 75.1643 billion euro.

I would like to stress that these results, which are the fruit of a homogeneous and consistent development in the Bank's different business areas, were achieved in a complicated environment for the world economy in general and for the Spanish economy in particular. Following the invasion of Ukraine, a combination of imbalances, such as difficulties in the supply of commodities and rising energy prices, led to a persistent bout of inflationary pressures, forcing central banks to raise interest rates and slowing the ongoing economic recovery. Spain was also affected, although the resilience of the labour market and the strength of exports allowed the economy to grow faster than the European average.

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Bankinter has been able to adapt to this highly complex scenario and increase its operating margins in the process, strengthening all its business areas and growing its market share.

What other indicators from the year can you highlight?

The balance sheet for the year was also very satisfactory in terms of asset quality, solvency, profitability, efficiency and liquidity.

The non-performing loan ratio fell to 2.10%, 14 basis points lower than in 2021, despite the worsening economic environment, and well below the sector average. I would like to highlight this aspect because we are used to Bankinter having the lowest NPL ratio of all Spanish banks and sometimes we do not give the figure the importance it deserves. In addition, in 2022 we increased the NPL coverage from 63.6% to 66.3%.

Regarding solvency, Bankinter closed 2022 with a CET1 fully-loaded capital ratio of 12%, with a wide margin over the minimum level of requirement set for our entity by the ECB, which will remains at 7.726% in 2023, the lowest among listed Spanish banks. Our profitability ratio, measured in terms of RoE, rose to 12%, compared to 9.6% in the previous year, and was among the highest in the sector in Spain.

The Bank's efficiency ratio, i.e. the ratio of operating costs to revenues, was 44%, which compares favourably with 45.99% in 2021. As regards liquidity, the customer funding gap remained negative, meaning that the bank has more customer deposits than loans, with a ratio of 102.8%.

In more detail, what were the business units and products that performed best?

As regards the more mature businesses, where we have been operating for a longer period of time, performance was very positive. In Corporate Banking, lending increased by 9.3%, thanks above all to a greater commercial drive, the good performance of international business, favoured by the boost in exports, and the strong expansion of transactional activity, which is a true reflection of the Bank's closer ties with the business fabric.

Regarding Commercial Retail Banking, which includes the business with individuals, the Retail Banking and Wealth Management segments grew at a sustained pace, the latter exceeding 50 billion euro in assets under management. As regards some of the products most in demand by Retail Banking customers, or with the greatest commercial relevance, the salary account closed the year with a balance of 16.7 billion euro, up 12.1% from 2021, while the new mortgage portfolio also recorded notable growth, despite the fact that the rise in interest rates partly cooled demand in the second half of the year.

'Net profit in 2022 was 560 million euro, 28% higher than in the previous year, excluding the capital gain obtained in 2021 from Línea Directa Aseguradora's IPO'

'The result allows us to achieve our objective of restoring the profit levels prior to the pandemic and the separation of Línea Directa one year ahead of schedule'

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If the more mature business areas performed very satisfactorily, the same is true for the more recent additions to the Group's activities. This is the case for the various operations the Bank runs outside Spain. Bankinter Portugal has established itself as a solvent and highly promising business, both in Retail and Corporate Banking. Its profit before tax was 78 million euro, an increase of 54%.

As for our venture in Ireland, our most recent international venture, it is growing exponentially both in consumer finance and, above all, in mortgages, a market in which we have been competing for a short time. EVO Banco, the Group's digital brand, also showed off very dynamic growth. Its loan book increased by 45%, reaching 2.7 billion euro, and we expect it to break even in 2023.

Apart from these, there many other businesses we continue to consolidate, creating new opportunities for them. This is the case of Bankinter Investment, which boasts a new alternative investment manager, enabling us to expand the pool of potential customers in a business where we are already a reference. We also expect great things from our insurance business, based on the new alliance we have signed with Liberty, as well as in consumer finance, which we operate through Bankinter Consumer Finance.

'Bankinter has been able to adapt to this highly complex scenario and increase its operating margins in the process, strengthening its business units and growing its market share.'

The bank tax has come into force in 2023. What impact can it have on institutions?

The tax damages the profitability of the bank, and therefore damages our employees, our customers and our shareholders. But, most relevantly, it has a negative impact on the economy as a whole and on the confidence in Spain as a country. We believe that this is an unfair, arbitrary and discriminatory tax. This has been recognised by numerous national and international bodies.

It also penalises a sector that already pays the increased corporate tax rate of 30%, as opposed to the generally applicable 25%. Its entry into force will make Spanish banks less competitive than their counterparts in Europe, where similar legislation does not exist, and will reduce their attractiveness to investors, which will undoubtedly end up hurting their ability to continue lending to businesses and households.

All this generates uncertainty in regulation, makes markets distrustful of the Spanish tax system and damages the image of our economy, which is of particular concern to us. That is why we from Bankinter are going to appeal and we hope that the courts will end up agreeing with us.

'The bank tax hurts us, but most relevantly, it has a negative impact on the economy as a whole and on the confidence in Spain as a country.'

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To what extent does the tax also damage the reputation of the banking sector?

It obviously has a negative impact, but not so much because of the tax itself as because of the false arguments used to justify its creation. We are back to being "the bad guys in the movie". The aftermath of the 2008 crisis affected the image of the sector very negatively, sometimes fuelled by ideological or political reasons. Later, during the pandemic, we fought in the front lines, worked in precarious health conditions and demonstrated our unreserved support for businesses and households. I would like to think that this extraordinary effort had a favourable effect on the sector's reputation.

But now the banks are once again being presented as the unfair beneficiaries of a crisis situation, when the reality is that our current results are the fruit of a great collective effort, a search for efficiency and innovation, developed over many years. An effort for which, in Bankinter's case, we must thank the more than 6,000 professionals who make up our team. The reputational issue is not a trivial one, because the business of banks is based on trust, and we must continue to work to restore the image of the sector if we want our customers to trust us.

Is the framework agreement with the government on mortgage relief for vulnerable taxpayers going in that direction?

At Bankinter we will always seek solutions to help customers who find themselves in difficult situations. We proved it during the 2008 crisis, we proved it again throughout the coronavirus pandemic and we will of course prove it again now.

We have adhered without reservations to the framework agreement, as we adhered to the Code of Good Practice to help companies renegotiate their ICO-backed loans. But I think it is also relevant to ask whether this is a solution to the problem or simply a postponement. In any case, this is a new effort by the banking sector, because the agreement means taking on more provisions and higher operating costs.

'Our objective is to consolidate the growth rate of profits, but there are circumstances that suggest we should be extremely prudent and manage risks well.'

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Bankinter has increased its size thanks to organic growth and also with some acquisitions. What is the growth strategy for the near future?

With our relatively small market share, we have plenty of room for growth. But that does not mean that we plan to grow through acquisitions. It is true that in recent years we have made some small purchases, prudent and proportionate to our size. We acquired a small bank in Luxembourg, Barclays' retail network in Portugal, EVO Banco, and a consumer credit business in Ireland, which we believe complement our traditional businesses well.

But rather than thinking about new acquisitions, we want to consolidate these operations, which are working very well, while developing new avenues of business. To this end, we have very interesting projects, some of which are already bearing fruit. With all the plans we have in place, we are not considering new acquisitions. We are committed to organic growth, as has historically been the case in the Bank.

In these circumstances, what are Bankinter's forecasts for 2023?

For Bankinter, the 2023 financial year is especially important. In terms of results, having already met ahead of time the objective of exceeding our pre-pandemic results, when we still had Línea Directa in the Group, we will focus our efforts on consolidating the path of growth. The results for 2022 allow us to be very optimistic in this respect; we have seen that the dynamism of the different business units can, not only offset Línea Directa's income contributions, but also overcome the crisis and then meet the various imponderables that have come after it. Moreover, the adjustment in the prices of the investment portfolio to the new environment brought about by the developments in the interest rates will also make a positive contribution to our accounts, especially in the first part of the year. However, this rise in interest rates, together with an inflation that will remain high for some time, may eventually harm the demand for credit and at the same time increase non-performing loans. The impact of the bank tax, which could amount to between 80 and 100 million euro per year for the bank, must also be taken into account. All these factors suggest that we exercise extreme caution and carefully manage the associated risks, although we remain optimistic about our future.

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Can these good expectations be passed on to Bankinter's share price on the stock exchange, which already performed excellently in 2022?

It is always risky to make forecasts about stock markets, because their performance is affected by multiple factors, macroeconomic, microeconomic, geopolitical and even emotional, and many of them are outside the institution's control. But as far as we are concerned, I think there is every reason to believe that the price of the Bankinter share, which has indeed developed very positively in 2022, will continue to rise.

As I have said, all indicators of solvency, asset quality and profitability are highly satisfactory and the dynamic performance of our domestic and international businesses suggests that investors will support, as they did in 2022, the solid intrinsic value of the bank.

At the end of last year, the credit rating agency S&P recognised our strengths and upgraded the bank's long-term issuer rating, while at the same time strengthening the rating on hybrid debt as well as short-term debt. It is an encouragement for the institution and a motivation to continue to showcasing the merits of our project.

Strategy and results

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Strategy

Consolidation of growth in difficult conditions

2022 began on the positive path of recovery that started in 2021, as the last gasps of the pandemic crisis faded and European funds began to breathe new life into the economy. Although there were some delays in their application, these funds began to reach Spain, fostering a potential recovery in line with the ambitious project to transform our economy.

These hopes were dashed by the Russian invasion of Ukraine. The invasion caused geopolitical and economic tensions of such a magnitude that they disrupted the energy and commodity markets, and fed through into inflation, leading in turn to higher interest rates. These factors together put a brake on the recovery.

The financial sector had an ambivalent position with regard to this new scenario. While higher interest rates mean higher income through net interest income, they could also cause, in combination with inflation, an increase in non-performing loans, with the consequent impact for the bank of needing to make larger provisions.

Against this uncertain backdrop, Bankinter maintained its commercial strategy of consolidating its more mature business area, promoting the most recently created ones, and opening up new niches of activity in sectors with potential, resulting in greater diversification of its banking income. As is traditional in Bankinter, this was based on a relationship-banking concept rather than a product-based approach, with a strong focus on customer protection and an unswerving commitment to advice and quality of service. This is supported by its strong positioning in digitisation and innovation.

Bankinter's Commercial Retail Banking - banking for individuals - extracted significant advantages from the new structure of its business in the two major areas into which its segments and customer networks are divided: Commercial Retail Banking and Private Banking.

The former pursued the acquisition and loyalty of new customers through some of its star products, such as its salary account and mortgages, in which Bankinter has continued to grow its market share with above-average growth in the sector.

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In Private Banking, the Bank has combined its wide-ranging commercial portfolio and its advisory capabilities to the benefit of its customers in a market environment that has been far from favourable. The bank's alternative investment activity enjoyed a special boost in the year, with the launch of new investment vehicles in high-potential sectors of the real economy, offering excellent risk-return ratios that are decorrelated from the markets. In order to extend this service to more customers - as it was previously reserved for high net worth individuals - the bank launched an alternative investment manager at the end of the year, which will allow access to such assets for investments starting at 10,000 euros.

Outside Spain, Bankinter has consolidated its position in all the areas where it operates. This is the case of Bankinter Portugal, which it is increasing its market share every year and exploring how it can grow in some business areas (such as bank cards) through new alliances. This is also true of Avant Money in Ireland, which is experiencing exponential growth in its mortgage business and becoming one of the most competitive operators in the market.

2022 was also a positive year for the Consumer Finance business operated through the subsidiary Bankinter Consumer Finance, which achieved record results for its personal loans.

Bankinter is continuing to explore new business areas, such as insurance, where it has signed a major alliance with Liberty Seguros. This will enable the two companies to develop insurance activity through the new joint venture Bankinter Liberty Hogar y Auto, specialising in home and car insurance.

In Corporate Banking, Bankinter extracts the maximum potential from some of its star products and services, which are designed to help customers with their day-to-day needs and in their transformation and expansion plans. The support strategy for companies applying for, managing and processing European aid has become very efficient. Bankinter has advised more than 2,150 companies in this area.

The bank has also enhanced the capabilities of its international business with new products and teams, providing support, funding and commercial assistance to Spanish companies as they start to grow abroad. This is becoming one of Bankinter's main income generators as it develops into being one of the main operators in this business in the Spanish market. Bankinter has implemented substantial improvements to its digital operations for business customers. This has translated into significant increases in transactional business, as a result of stronger relationships between these customers and the Bank, and greater satisfaction with the service provided.

Outside Spain, Bankinter has consolidated its position in all the areas where it operates.

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Results

Bankinter achieves one year ahead of schedule its the profit target for 2023

Results

Bankinter Group's profit before tax amounted to 785 million euro in 2022, an improvement of 46.3% over the previous year. Net profit was 560.2 million euro, up 28.1%, from the previous year, even though results for 2021 still included four months of revenues from Línea Directa. Thus the goal of surpassing, in 2023, the profit levels obtained pre-pandemic and before the separation of Línea Directa has been achieved one year ahead of schedule.

The strength of the business is reflected in the Group's main ratios and indicators, which remain among the best in the sector at the European level.

Profitability. RoE (return on equity) was 12% at 31 December, compared to 9.6% a year earlier, excluding the extraordinary capital gain from Línea Directa. RoTE (return on tangible equity) was 12.7% and the efficiency ratio was 44% (40.5% in the case of Spain).

Capital adequacy The highest quality capital (CET1 *fully loaded*) stood at 12% in 2022, well above the minimum requirement set for Bankinter by the European Central Bank for 2023, which is 7.726%, the same as for 2021.

Non-performing loans. Despite the worsening macroeconomic environment, the non-performing loans ratio declined from 2.24% to 2.10% and coverage rose from 63.6% to 66.3%.

Liquidity At the end of 2022, Bankinter displayed a negative customer funding gap, as it had a higher volume of deposits than loans (in a ratio of 102.8%), and it has no wholesale issues maturing in 2023.

Share price Bankinter's share price also performed well, gaining 39% during the year and leaving a total shareholder return, including dividends, of 45%.

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Balance sheet

Loans The Group's total assets at 31 December were similar to those a year earlier: 107.507 billion euro. Lending to customers grew by 9.1% to 74.24 billion euros, reflecting the commercial strength of the Bank and its willingness to continue supporting household and business financing projects in a challenging environment.

Considering only data for Spain, loans and receivables increased by 5.3%, six times higher than the average for the sector, according to figures released in November by Banco de España. Growth was even stronger in other areas: 15% in Portugal, while Ireland doubled its loan portfolio.

Retail funds. They rose to 75.16 billion euros by the end of 2022, up 3.7%, in an environment of high competition among institutions. Off-balance sheet managed funds fell by 9.4%, mainly due to the poor performance of bond and equity markets, which impacted asset valuations. However, Bankinter Asset Management's investment fund assets rose by 3.3%.

Operating margins

All operating margins improved significantly compared to the previous year, as a result of the favourable changes in interest rates and the Bank's increased commercial drive, which translated into higher volumes, especially in loans and receivables.

Net interest income By the end of 2022, it had risen to 1.54 billion euro, a 20.5% higher than in 2021, closing an excellent quarter, the best in recent years.

Gross operating income. By 31 December, it had surpassed for the first time the 2 billion euro mark (rising to 2.0843 billion euro), a 12.3% above the figures for 2021.

Operating profit. It reached 1.1663 billion euro before provisions, 16.4% more than in the previous year. Operating costs grew by 7.6% due to investments in new projects and increased staff remuneration to meet them. Regulatory costs rose 140 million euro (compared to 124 million in 2021), representing 7% of the gross operating income.

Net interest income
€1.5
bn
+20.5%

Gross operating income
€2.1
bn
+12.3%

Operating income
€1.2
bn
+16.4%

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Businesses

A strategic focus that is consistent over time and well defined, a solid reputation and increased commercial activity across the bank's network fed through to strong growth in all business lines, products and geographies.

Corporate. The unit contributed 33% of the Bank's gross operating income, with a 9.3% increase in loans and receivables and a 28% rise in new business. Corporate loans and receivables in Spain rose by 8.2%, far in excess of the 1.8% for the sector up to November, with the Bank continuing to gain market share.

Supporting companies in their foreign operations, with new services and increasingly specialised teams, helped drive a 25% increase in international business, to 8 billion euro.

Gross operating income from transactional business was 48% higher than in 2021.

Commercial Retail Banking. Growth in assets under management was particularly strong. Wealth Management amounted to 51.1 billion euro, compared to 49.9 billion in 2021, despite the effects caused by the performance of the markets, which impacted the value of these assets by around 3.3 billion euro. Bankinter secured over 4 billion euro of new assets under management during the year. Managed assets in Retail Banking increased by 1.7 billion euro, to 41.4 billion, sustaining a negative effect from market performance of 1.5 billion euro. Net new assets raised in this area totalled 3.4 billion euro.

The salary account, the only one of its kind and that has kept its advantageous conditions since its launch more than ten years ago, continues to be the main product attracting Commercial Retail Banking customers. At 31 December 2022, the salary account portfolio totalled 16.7 billion euro, 2.4 times the volume five years ago.

The mortgage portfolio totalled 33.7 billion euro. It grew by 2.8% in Spain, compared to a sector average of 0.4% (figures up to November). New mortgages including all geographies and EVO totalled 6.7 billion euro in 2022, up 13% from 2021, representing 6.7% market share in new transactions.

Investment Banking. The Bankinter Investment subsidiary has launched 19 investment vehicles to date, with over 4 billion euro of capital committed by investors. This business, which generated gross operating income of 154 million euros in 2022, will embark on a new path of growth in 2023 through the new alternative investment manager, which will provide access to these assets for retail customers.

Bankinter Portugal. The volume of business under management has grown non-stop since the bank opened its subsidiary in the country. On- and off-balance sheet funds and loans amounted to 18.2 billion euro in 2022, compared to 11.4 billion euro in 2017. Loans rose by 15%, to 8 billion euro, and customer funds were up 9%, at 6.4 billion euro. Net interest income increased by 35%, while gross operating income grew by 25% and pre-provision profit by 47%. This resulted in pre-tax profit of 78 million euro (+54%).

Ireland. Mortgage activity performed excellently, with its strong results being reflected in gross operating income. Loans and receivables at Avant Money, the brand under which Bankinter operates in Ireland, reached 2.3 billion euro in 2022, up 132% from 2021. Of this amount, 1.6 billion euro corresponded to mortgages, triple the figure one year earlier, with an NPL ratio of barely 0.4%. Avant Money reported gross operating income of 80 million euros in 2022, 34% higher than in 2021.

Bankinter Consumer Finance. The Bank's subsidiary, which consolidates figures for Ireland, performed equally positively. Loans and receivables stood at year-end at 5.5 billion euro, of which 1.6 billion euro related to mortgages in Ireland and the remainder to the consumer business, of which 2.6 billion related to loans and the rest to the various types of bank cards.

EVO Banco. The figures for loans are a testament to the acceptance of the subsidiary's new strategy by digital customers. Mortgages arranged in the year amounted to 984 million euro, 35% more than in 2021. Of these, 98% were at fixed rates, thanks to one of the market's most competitive offers. The balance of loans and receivables stood at 2.7 billion euro, up 45%. Gross operating income for this business was 37 million euro (+55%).

CONSOLIDATED BALANCE SHEETS AT 31 DECEMBER 2022 AND 2021

(In thousands of euros)

ASSETS	31 December 2022	31 December 2021(*)
Cash, cash balances at central banks and other demand deposits	**13,351,217**	**22,373,090**
Financial assets held for trading	**4,055,770**	**4,038,256**
Derivatives	1,181,732	342,071
Equity instruments	164,756	197,862
Debt securities	974,684	1,246,748
Loans and advances	1,734,598	2,251,575
Central banks	-	-
Credit institutions	1,320,483	2,251,575
Customers	414,115	-
Memorandum items: loaned or pledged	524,832	667,722
Non-trading financial assets mandatorily at fair value through profit or loss	**161,397**	**131,316**
Equity instruments	160,047	130,328
Debt securities	884	738
Loans and advances	466	250
Central banks	-	-
Credit institutions	-	-
Customers	466	250
Memorandum items: loaned or pledged	-	-
Financial assets designated at fair value through profit or loss	**-**	**-**
Debt securities	-	-
Loans and advances	-	-
Central banks	-	-
Credit institutions	-	-
Customers	-	-
Memorandum items: loaned or pledged	-	-
Financial assets at fair value through other comprehensive income	**2,810,920**	**2,751,517**
Equity instruments	195,617	304,893
Debt securities	2,615,303	2,446,624
Loans and advances	-	-
Central banks	-	-
Credit institutions	-	-
Customers	-	-
Memorandum items: loaned or pledged	618,859	868,516
Financial assets at amortised cost	**84,862,782**	**76,285,363**
Debt securities	9,352,619	7,595,987
Loans and advances	75,510,163	68,689,376
Central banks	-	-
Credit institutions	3,758,565	2,407,309
Customers	71,751,598	66,282,067
Memorandum items: loaned or pledged	9,285,766	7,095,267
Derivatives – hedge accounting	**1,128,474**	**170,077**
Fair value changes of the hedged items in portfolio hedge of interest rate risk	**(648,517)**	**46,124**
Investments in joint ventures and associates	**178,203**	**169,971**
Joint ventures	118,243	91,329
Associates	59,960	78,642
Assets under reinsurance and insurance contracts	**-**	**-**
Tangible assets	**447,853**	**450,436**
Property, plant and equipment	447,853	450,436
For own use	438,915	441,728
Leased out under an operating lease	8,938	8,708
Assigned to welfare projects (savings banks and credit cooperatives)	-	-
Investment property	-	-
Of which: Leased out under operating leases	-	-
Memorandum items: Acquired under finance leases	135,048	130,740
Intangible assets	**278,940**	**269,685**
Goodwill	2,276	2,276
Other intangible assets	276,664	267,409
Tax assets	**460,241**	**638,444**
Current tax assets	195,412	364,636
Deferred tax assets	264,829	273,808
Other assets	**156,758**	**153,645**
Insurance contracts linked to pensions	-	-
Inventories	-	-
Other assets	156,758	153,645
Non-current assets and disposal groups classified as held for sale	**262,994**	**106,184**
TOTAL ASSETS	**107,507,032**	**107,584,108**

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated balance sheet as at 31 December 2022.
(*) Presented for comparison purposes only.

EQUITY AND LIABILITIES	31 December 2022	31 December 2021(*)
LIABILITIES	**102,602,060**	**102,731,948**
Financial liabilities held for trading	**3,347,198**	**3,696,496**
Derivatives	1,140,068	438,795
Short positions	918,983	1,472,331
Deposits	1,288,147	1,785,370
Central banks	-	-
Credit institutions	-	245,677
Customers	1,288,147	1,539,693
Debt securities issued	-	-
Other financial liabilities	-	-
Financial liabilities designated at fair value through profit or loss	**-**	**-**
Deposits	-	-
Central banks	-	-
Credit institutions	-	-
Customers	-	-
Debt securities issued	-	-
Other financial liabilities	-	-
Memorandum items: subordinated liabilities	-	-
Financial liabilities at amortised cost	**97,817,081**	**97,809,974**
Deposits	87,965,731	87,995,644
Central banks	11,699,869	14,190,714
Credit institutions	3,363,826	3,026,174
Customers	72,902,036	70,778,756
Debt securities issued	6,433,093	7,689,865
Other financial liabilities	3,418,257	2,124,465
Memorandum items: subordinated liabilities	1,080,928	1,693,190
Derivatives – hedge accounting	**625,125**	**275,264**
Fair value changes of the hedged items in portfolio hedge of interest rate risk	**(203,914)**	**1,957**
Liabilities under reinsurance and insurance contracts	**-**	**-**
Provisions	**376,159**	**419,911**
Pensions and other post-employment defined benefit obligations	1,293	1,669
Other long-term employee benefits	-	-
Pending legal issues and tax litigation	122,755	136,609
Commitments and guarantees given	39,143	38,216
Other provisions	212,968	243,417
Tax liabilities	**291,132**	**254,543**
Current tax liabilities	231,932	139,054
Deferred tax liabilities	59,200	115,489
Share capital repayable on demand	**-**	**-**
Other liabilities	**349,279**	**273,803**
Of which: welfare fund (savings banks and credit cooperatives only)	-	-
Liabilities included in disposal groups classified as held-for-sale	**-**	**-**
TOTAL LIABILITIES	**102,602,060**	**102,731,948**

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated balance sheet as at 31 December 2022.
(*) Presented for comparison purposes only.

LIABILITIES AND EQUITY (continued)	31 December 2022	31 December 2021(*)
Shareholders' equity	**5,034,000**	**4,736,621**
Capital	**269,660**	**269,660**
a) Paid up capital	269,660	269,660
b) Unpaid capital which has been called up	-	-
Memorandum items: uncalled share capital	-	-
Share premium	**-**	**-**
Equity instruments issued other than share capital	**-**	**-**
a) Equity component of compound financial instruments	-	-
b) Other equity instruments issued	-	-
Other equity	**11,905**	**6,163**
Retained earnings	**4,406,753**	**3,306,854**
Revaluation reserves	**-**	**-**
Other reserves	**(13,290)**	**(12,093)**
Reserves or accumulated losses of investments in joint ventures and associates	(13,290)	(12,093)
Other	-	-
(-) Treasury shares	**(1,393)**	**(1,025)**
Profit or loss attributable to owners of the parent	**560,203**	**1,333,108**
(-) Interim dividends	**(199,838)**	**(166,046)**
Accumulated other comprehensive income	**(129,028)**	**115,539**
Items that will not be reclassified to profit or loss	**(47,171)**	**57,602**
a) Actuarial gains or (-) losses on defined benefit pension plans	6,135	3,272
b) Non-current assets and disposal groups classified as held for sale	-	-
c) Share of other recognised income and expense of investments in joint ventures and associates	-	-
d) Fair value changes of equity instruments measured at fair value through other comprehensive income	(53,306)	54,330
e) Hedge ineffectiveness of fair value hedges for equity instruments measured at fair value through other comprehensive income	-	-
Fair value changes of equity instruments measured at fair value through other comprehensive income [hedged item]	-	-
Fair value changes of equity instruments measured at fair value through other comprehensive income [hedging instrument]	-	-
f) Fair value changes of financial liabilities at fair value through profit or loss attributable to changes in their credit risk	-	-
Items that may be reclassified to profit or loss	**(81,857)**	**57,937**
a) Hedge of net investments in foreign operations [effective portion]	-	-
b) Foreign currency translation	-	-
c) Hedging derivatives. Cash flow hedges [effective portion]	4,434	(452)
d) Fair value changes of debt instruments measured at fair value through other comprehensive income	(71,776)	53,951
e) Hedging instruments [not designated elements]	-	-
f) Non-current assets and disposal groups classified as held for sale	-	-
g) Share of other recognised income and expense of investments in joint ventures and associates	(14,515)	4,438
Minority interests [Non-controlling interests]	**-**	**-**
Accumulated other comprehensive income	-	-
Other items	-	-
TOTAL EQUITY	**4,904,972**	**4,852,160**
TOTAL EQUITY AND LIABILITIES	**107,507,032**	**107,584,108**
MEMORANDUM ITEMS: OFF-BALANCE-SHEET EXPOSURES		
Loan commitments given	16,370,121	15,963,920
Financial guarantees given	1,976,956	1,676,285
Other commitments given	9,682,797	8,405,185

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated balance sheet as at 31 December 2022.
(*) Presented for comparison purposes only.

CONSOLIDATED INCOME STATEMENTS FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2022 AND 2021

(In thousands of euros)

	(Debit)/Credit 31 December 2022	(Debit)/Credit 31 December 2021(*)
Interest income	1,767,606	1,446,347
Financial assets at fair value through other comprehensive income	50,749	58,164
Financial assets at amortised cost	1,650,888	1,273,523
Other interest income	65,969	114,660
Interest expenses	(230,884)	(171,069)
Expenses on share capital repayable on demand	-	-
A) NET INTEREST INCOME	**1,536,722**	**1,275,278**
Dividend income	17,960	20,611
Share of the profit or loss of entities accounted for using the equity method	36,600	33,368
Fee and commission income	789,379	787,772
Fee and commission expenses	(183,287)	(184,313)
Gains or losses on derecognition of financial assets and liabilities not measured at fair value through profit or loss, net	38,182	36,073
Financial assets at amortised cost	34,403	32,134
Other financial assets and liabilities	3,779	3,939
Gains or losses on financial assets and liabilities held for trading, net	26,251	16,559
Reclassification of financial assets out of fair value through other comprehensive income	-	-
Reclassification of financial assets out of amortised cost	-	-
Other gains or losses	26,251	16,559
Gains or losses on non-trading financial assets mandatorily at fair value through profit or loss, net	14,079	19,401
Reclassification of financial assets out of fair value through other comprehensive income	-	-
Reclassification of financial assets out of amortised cost	-	-
Other gains or losses	14,079	19,401
Gains or losses on financial assets and liabilities designated at fair value through profit or loss, net	-	-
Gains or losses from hedge accounting, net	(109)	12
Exchange differences [gain or loss], net	(7,611)	2,254
Other operating income	30,734	28,556
Other operating expenses	(214,598)	(180,244)
Of which: compulsory transfers to welfare funds (only savings banks and credit cooperatives)	-	-
Income from assets under insurance and reinsurance contracts	-	-
Expenses from liabilities under insurance and reinsurance contracts	-	-
B) GROSS OPERATING INCOME	**2,084,302**	**1,855,327**
Administrative expenses	(837,950)	(775,417)
a) Staff expenses	(508,859)	(472,786)
b) Other administrative expenses	(329,091)	(302,631)
Depreciation and amortisation	(80,088)	(77,787)
Provisions or reversal or provisions	(107,017)	(182,835)
Impairment or reversal of impairment and gains or losses on modifications of cash flows of financial assets not measured at fair value through profit or loss or modification gains or losses, net	(253,018)	(263,071)
a) Financial assets at fair value through other comprehensive income	(80)	166
b) Financial assets at amortised cost	(252,938)	(263,237)
Impairment or reversal of impairment of investments in joint ventures and associates	-	-
Impairment or reversal of impairment on non-financial assets	(9,192)	(7,185)
Tangible assets	(56)	(1,142)
Intangible assets	(9,136)	(6,046)
Other	-	3
Gains or losses on derecognition of non-financial assets	(1,313)	(742)
Negative goodwill recognised in profit or loss	-	-
Profit or loss from non-current assets and disposal groups classified as held for sale not qualifying as discontinued operations	(10,687)	(11,581)
C) PROFIT OR LOSS BEFORE TAX FROM CONTINUING OPERATIONS	**785,037**	**536,709**
Tax expense or income related to profit or loss from continuing operations	(224,834)	(139,276)
D) PROFIT OR LOSS AFTER TAX FROM CONTINUING OPERATIONS	**560,203**	**397,433**
Profit or loss after tax from discontinued operations	-	935,675
E) PROFIT OR LOSS FOR THE PERIOD	**560,203**	**1,333,108**
Attributable to minority interests (non-controlling interests)	-	-
Attributable to the owners of the parent	560,203	1,333,108
EARNINGS PER SHARE:		
Basic	0.62	1.49
Diluted	0.61	1.46

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated income statement for the year ended 31 December 2022.
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CONSOLIDATED STATEMENT OF RECOGNISED INCOME AND EXPENSE FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2022 AND 2021

(In thousands of euros)

	31 December 2022	31 December 2021(*)
A) PROFIT OR LOSS FOR THE PERIOD	**560,203**	**1,333,108**
B) OTHER COMPREHENSIVE INCOME	**(244,567)**	**(32,564)**
Items that will not be reclassified to profit or loss	**(104,774)**	**51,403**
a) Actuarial gains or (-) losses on defined benefit pension plans	4,060	6,029
b) Non-current assets and disposal groups held for sale	-	(9,567)
c) Share of other recognised income and expense of investments in joint ventures and associates	-	-
d) Fair value changes of equity instruments measured at fair value through other comprehensive income	(109,276)	52,875
e) Gains or (-) losses from hedge accounting of equity instruments at fair value through other comprehensive income, net	-	-
f) Fair value changes of equity instruments measured at fair value through other comprehensive income (hedged item)	-	-
g) Fair value changes of equity instruments measured at fair value through other comprehensive income (hedging instrument)	-	-
h) Fair value changes of financial liabilities at fair value through profit or loss attributable to changes in their credit risk	-	-
i) Income tax relating to items that will not be reclassified	442	2,066
Items that may be reclassified to profit or loss	**(139,793)**	**(83,967)**
a) Hedge of net investments in foreign operations [effective portion]	**-**	**-**
Valuation gains or (-) losses taken to equity	-	-
Transferred to profit or loss	-	-
Other reclassifications	-	-
b) Foreign currency translation	**-**	**-**
Translation gains or (-) losses taken to equity	-	-
Transferred to profit or loss	-	-
Other reclassifications	-	-
c) Cash flow hedges [effective portion]	**6,981**	**727**
Valuation gains or (-) losses taken to equity	6,981	727
Transferred to profit or loss	-	-
Transferred to initial carrying amount of hedged items	-	-
Other reclassifications	-	-
d) Hedging instruments [not designated elements]	**-**	**-**
Valuation gains or (-) losses taken to equity	-	-
Transferred to profit or loss	-	-
Other reclassifications	-	-
e) Debt instruments at fair value through other comprehensive income	**(179,611)**	**(65,365)**
Valuation gains or (-) losses taken to equity	(177,545)	(61,544)
Transferred to profit or loss	(2,066)	(3,821)
Other reclassifications	-	-
f) Non-current assets and disposal groups held for sale	**-**	**(50,067)**
Valuation gains or (-) losses taken to equity	-	(50,067)
Transferred to profit or loss	-	-
Other reclassifications	-	-
g) Share of other recognised income and expense of investments in joint ventures and associates	**(18,952)**	**(1,166)**
h) Income tax relating to items that may be reclassified to profit or (-) loss	**51,789**	**31,904**
C) TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	**315,636**	**1,300,544**
Attributable to minority interests (non-controlling interests)	-	-
Attributable to the owners of the parent	315,636	1,300,544

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated statement of recognised income and expense for the year ended 31 December 2022.
(*) Presented for comparison purposes only.

CONSOLIDATED STATEMENT OF TOTAL CHANGES IN EQUITY FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2022 AND 2021

(In thousands of euros)

	Share capital (Note 21)	Share premium (Note 21)	Equity instruments issued other than capital	Other equity	Retained earnings	Revaluation reserves (Note 21)	Other reserves (Note 21)	(-) Treasury shares (Note 21)	Profit or loss attributable to owners of the parent	(-) Interim dividends (Note 21)	Accumulated other comprehensive income (Note 22)	Minority interests: Accumulated other comprehensive income	Minority interests: Other items	Total
Closing balance at 31/12/2021	**269,660**	**-**	**-**	**6,163**	**3,306,854**	**-**	**(12,093)**	**(1,025)**	**1,333,108**	**(166,046)**	**115,539**	**-**	**-**	**4,852,160**
Effects of correction of errors	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Effects of changes in accounting policies	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Opening balance 01/01/2022	**269,660**	**-**	**-**	**6,163**	**3,306,854**	**-**	**(12,093)**	**(1,025)**	**1,333,108**	**(166,046)**	**115,539**	**-**	**-**	**4,852,160**
Total comprehensive income for the period	-	-	-	-	-	-	-	-	560,203	-	(244,567)	-	-	315,636
Other changes in equity	**-**	**-**	**-**	**5,742**	**1,099,899**	**-**	**(1,197)**	**(368)**	**(1,333,108)**	**(33,792)**	**-**	**-**	**-**	**(262,824)**
Issuance of ordinary shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of preference shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of other equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Exercise or maturity of other equity instruments issued	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Conversion of debt to equity	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share capital reductions	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Dividends (or shareholder remuneration)	-	-	-	-	-	-	-	-	-	(252,480)	-	-	-	(252,480)
Purchase of treasury shares	-	-	-	-	(145)	-	-	(84,469)	-	-	-	-	-	(84,614)
Sale or cancellation of treasury shares	-	-	-	-	-	-	-	84,101	-	-	-	-	-	84,101
Reclassification of financial instruments from equity to liability	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reclassification of financial instruments from liabilities to equity	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transfers between equity components	-	-	-	-	1,114,420	-	-	-	(1,333,108)	218,688	-	-	-	-
Increases or (−) decreases in equity arising from business combinations	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share-based payments	-	-	-	5,742	-	-	-	-	-	-	-	-	-	5,742
Other increases or (−) decreases in equity	-	-	-	-	(14,376)	-	(1,197)	-	-	-	-	-	-	(15,573)
Of which: discretionary transfer to welfare funds (only savings banks and credit cooperatives)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Closing balance at 31/12/2022	**269,660**	**-**	**-**	**11,905**	**4,406,753**	**-**	**(13,290)**	**(1,393)**	**560,203**	**(199,838)**	**(129,028)**	**-**	**-**	**4,904,972**

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated statement of total changes in equity for the year ended 31 December 2022

CONSOLIDATED STATEMENT OF TOTAL CHANGES IN EQUITY FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2021 AND 2020

(In thousands of euros)

												Minority interests		
	Share capital (Note 21)	Share premium (Note 21)	Equity instruments issued other than capital	Other equity	Retained earnings	Revaluation reserves (Note 21)	Other reserves (Note 21)	(-) Treasury shares (Note 21)	Profit or loss attributable to owners of the parent	(-) Interim dividends (Note 21)	Accumulated other comprehensive income (Note 22)	Accumulated other comprehensive income	Other items	Total
Closing balance at 31/12/2020 (*)	**269,660**	**1,184,265**	**-**	**7,482**	**3,051,137**	**4,806**	**(14,778)**	**(3,641)**	**317,123**	**-**	**148,103**	**-**	**-**	**4,964,157**
Effects of correction of errors	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Effects of changes in accounting policies	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Opening balance 01/01/2021	**269,660**	**1,184,265**	**-**	**7,482**	**3,051,137**	**4,806**	**(14,778)**	**(3,641)**	**317,123**	**-**	**148,103**	**-**	**-**	**4,964,157**
Total comprehensive income for the period	-	-	-	-	-	-	-	-	1,333,108	-	(32,564)	-	-	1,300,544
Other changes in equity	**-**	**(1,184,265)**	**-**	**(1,319)**	**255,717**	**(4,806)**	**2,685**	**2,616**	**(317,123)**	**(166,046)**	**-**	**-**	**-**	**(1,412,541)**
Issuance of ordinary shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of preference shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of other equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Exercise or maturity of other equity instruments issued	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Conversion of debt to equity	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share capital reductions	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Dividends (or shareholder remuneration)	-	(1,184,265)	-	-	-	-	-	-	-	(210,769)	-	-	-	(1,395,034)
Purchase of treasury shares	-	-	-	-	733	-	-	(48,836)	-	-	-	-	-	(48,103)
Sale or cancellation of treasury shares	-	-	-	-	-	-	-	51,452	-	-	-	-	-	51,452
Reclassification of financial instruments from equity to liability	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reclassification of financial instruments from liabilities to equity	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transfers between equity components	-	-	-	-	272,400	-	-	-	(317,123)	44,723	-	-	-	-
Increases or (-) decreases in equity arising from business combinations	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share-based payments	-	-	-	(1,319)	-	-	-	-	-	-	-	-	-	(1,319)
Other increases or (-) decreases in equity	-	-	-	-	(17,416)	(4,806)	2,685	-	-	-	-	-	-	(19,537)
Of which: discretionary transfer to welfare funds (only savings banks and credit cooperatives)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Closing balance at 31/12/2021 (*)	**269,660**	**-**	**-**	**6,163**	**3,306,854**	**-**	**(12,093)**	**(1,025)**	**1,333,108**	**(166,046)**	**115,539**	**-**	**-**	**4,852,160**

(*) Presented for comparison purposes only.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2022 AND 2021

(In thousands of euros)

	31/12/2022	31/12/2021 (*)
A) CASH FLOWS FROM OPERATING ACTIVITIES	**(8,034,976)**	**7,050,834**
Profit or loss for the period	**560,203**	**1,333,108**
Adjustments to obtain cash flows from operating activities	**698,795**	**(182,434)**
Depreciation and amortisation	80,088	77,787
Other adjustments	618,707	(260,221)
Net increase/(decrease) in operating assets	**9,405,758**	**5,615,322**
Financial assets held for trading	17,514	1,879,514
Non-trading financial assets mandatorily at fair value through profit or loss	29,864	11,511
Financial assets designated at fair value through profit or loss	-	-
Financial assets at fair value through other comprehensive income	392,816	(140,270)
Financial assets at amortised cost	8,182,913	3,599,962
Other operating assets	782,651	264,605
Net increase/(decrease) in operating liabilities	**59,516**	**11,877,918**
Financial liabilities held for trading	(349,298)	2,314,196
Financial liabilities designated at fair value through profit or loss	-	-
Financial liabilities at amortised cost	295,483	9,971,341
Other operating liabilities	113,331	(407,619)
Income tax recovered/(paid)	**52,268**	**(362,436)**
B) CASH FLOWS FROM INVESTING ACTIVITIES	**(234,051)**	**(63,908)**
Payments	**(287,478)**	**(121,156)**
Tangible assets	(18,838)	(18,304)
Intangible assets	(53,412)	(49,019)
Investments in joint ventures and associates	-	-
Subsidiaries and other business units	(27,081)	(53,833)
Non-current assets and liabilities classified as held for sale	(188,147)	-
Other payments related to investing activities	-	-
Proceeds	**53,427**	**57,248**
Tangible assets	4,880	7,685
Intangible assets	2,334	-
Investments in joint ventures and associates	2,166	-
Subsidiaries and other business units	-	-
Non-current assets and liabilities classified as held for sale	44,047	49,563
Other proceeds related to investing activities	-	-
C) CASH FLOWS FROM FINANCING ACTIVITIES	**(752,846)**	**341,847**
Payments	**(836,948)**	**(459,605)**
Dividends	(252,479)	(210,769)
Subordinated liabilities	(500,000)	(200,000)
Redemption of own equity instruments	-	-
Acquisition of own equity instruments	(84,469)	(48,836)
Other payments related to financing activities	-	-
Proceeds	**84,102**	**801,452**
Subordinated liabilities	-	750,000
Issuance of own equity instruments	-	-
Disposal of own equity instruments	84,102	51,452
Other proceeds related to financing activities	-	-
D) EFFECT OF EXCHANGE RATE CHANGES	**-**	**-**
E) NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS (A+B+C+D)	**(9,021,873)**	**7,328,773**
F) CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	**22,373,090**	**15,044,317**
G) CASH AND CASH EQUIVALENTS AT END OF PERIOD	**13,351,217**	**22,373,090**
Of which: Interest received	**1,692,647**	**1,317,773**
Of which: Interest paid	**260,396**	**198,439**

The accompanying notes 1 to 52 and annexes I through VI attached form an integral part of the consolidated statement of cash flows for the year ended 31 December 2022.
(*) Presented for comparison purposes only.

The Bankinter share

Another year among the best-performing assets

Results

Bankinter's shares performed extraordinarily well in 2022 and their profitability was among the best of the year. Shareholders who held their shares throughout the year obtained a total return of more than 45%, including dividends paid out, which grew by more than 20% over the previous year. The share price appreciation was 39%, while the average for Spanish listed banks was 27%. The Bank's market capitalisation at 31 December 2022 amounted to 5.634 billion euro.

The improved performance of the share in the market contrasts with the negative performance of risky assets, affected by the war in Ukraine, the tightening of monetary policy and rising inflation. The IBEX 35 lost 5.6% and the Eurostoxx 50 fell 11.7%.

At the end of 2022, Bankinter, S.A.'s share capital was represented by 898,866,154 fully subscribed and paid shares with a par value of 0.30 euros each. All the shares are represented by book entries, admitted for listing on the Madrid and Barcelona Stock Exchanges and traded on the Spanish continuous market.

Return
+45%
Including distributed dividends, which grew by more than 20% over the previous year

Capitalisation
5,634
mn

Revalorisation
+39%

Shareholders

Bankinter had 55,088 shareholders at 31 December. Residents in Spain held 54% of the share capital and non-residents the remaining 46%. Registered shareholders with significant ownership interest are listed in the table below.

Key data for Bankinter shares in 2022 are detailed in the following tables:

Significant shareholders (with a declared participation greater than 3%, or 1% if they reside in a tax haven)

Name	Total number of shares	Percentage of ownership	Direct	Indirect
Cartival, S.A.	208,455,116	23.19	208,455,116	0
Fernando Masaveu Herrero	47,727,576	5.31	776,330	46,951,246
Lazard Asset Management Inc.	27,254,415	3.03	0	27,254,415
Fidelity International Limited	18,233,852	2.03	0	18,233,852

Shareholder structure by number of shares at 31 December 2022

Brackets	No. of shareholders	%	No. of shares	%
From 1 to 100 shares	14,782	26.83	250,649	0.03
From 101 to 1,000 shares	18,426	33.45	9,183,812	1.02
From 1,001 to 10,000 shares	18,422	33.44	60,972,014	6.78
From 10,001 to 100,000 shares	3,165	5.75	74,122,002	8.25
More than 100,000 shares	293	0.53	754,337,677	83.92
Total	**55,088**		**898,866,154**	

Summary by type of shareholder

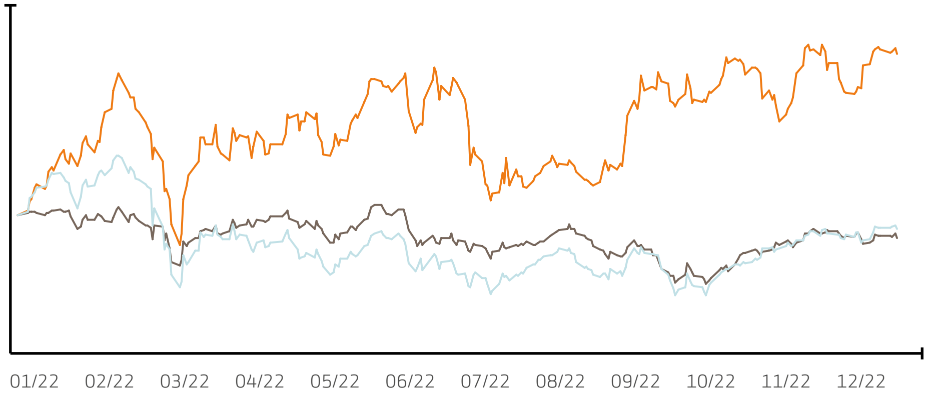
Type	No. of shareholders	%	No. of shares	%
Residents	54,282	98.54	483,735,260	53.82
Non-residents	806	1.46	415,130,894	46.18
Total	**55,088**		**898,866,154**	

(*) This percentage of Bankinter's share capital owned by Corporación Masaveu is part of the indirect voting rights held on the Bank's share capital by Bankinter director, Fernando Masaveu. Fernando Masaveu directly and indirectly holds 5.31% of the voting rights of Bankinter's share capital.

Data per share for the period, at 31 December 2022 (euro).

Earnings per share	0.61
Dividend per share	0.28
Book value per share	5.46
Share price at beginning of period	4.51
Minimum intraday share price	4.01
Maximum intraday share price	6.51
Last share price	6.27
Performance over last 12 months (%)	39.01
Performance over last 12 months (%)	39.01

Share price Relative change (%) last 12 months (Dec–21 base 100)



Stock market ratios at 31 December 2022

Price/book value (times)	1.15
PER (price/earnings, times)	10.05
Dividend yield (%)	4.48
Number of shareholders	55,088
Number of shares	898,866,154
Number of shares of non-residents	415,130,894
Average daily trading volume (number of shares)	3,523,508
Average daily trading volume (thousands of euros)	19,328.08
Market capitalisation (in thousands of euro)	**5,634,093**

Distribution of dividends

Payment date	Dividend per share (euros)	No. of shares	Treasury shares	Shares with voting rights	Amount (euros)	Corresponding year
June-22	0.07412058	898,866,154	200,000	898,666,154	66,609,657	2022
Sept-22	0.06453401	898,866,154	200,000	898,666,154	57,994,531	2022
Dec-22	0.08371622	898,866,154	200,000	898,666,154	75,232,933	2022
Total	**0.22237081**				**199,837,121**	

Back to normality

Following the pandemic and the invasion of Ukraine, Bankinter returned to normality in its quarterly dividend distribution policy in 2022. The three interim dividends paid out against profit for 2022 amounted to 0.222 euro per share, distributing a total of 200 million euro.

These interim dividends will be supplemented by the final dividend to be approved by the annual general meeting in 2023 on the proposal of the board of directors at its previous meeting.

Details of the proposed dividends to be charged to profit and loss in 2022, excluding treasury shares held by the Bank, are shown in the table on dividend distribution.

American Depositary Receipts (ADR)

Bankinter has a Level 1 ADR programme managed by Bank of New York Mellon, with 1,514,883 ADRs outstanding at the end of 2022. This allows US residents to invest in foreign companies through a US dollar-denominated product and to receive dividend payments in their own currency.

Shareholders' Office

Transparency of information inside out

The 'You First' programme has been used for several years to ensure that news about items such as dividend payments, quarterly results or significant event notices about the Bank published with the Spanish National Securities Market Commission (CNMV) reach Bankinter shareholders before they are seen by anybody else.

This programme is one of the main responsibilities of the Shareholders' Office, which is also responsible for dealing with proposals and requests for clarification on the current or historical share price, as well as reporting on dividend amounts and payments, preparing the corresponding content for the Corporate Report and assisting with the arrangements for the annual general meeting.

The office also performs two other essential tasks: generating internal information for managers and supervisors about shareholder composition and ensuring adherence to the Code of Conduct for the Securities Market, which the Bank's employees must observe with regard to Bankinter's actions.

With regard to trading and reporting processes, the Bank operates in full harmony with the rest of the European markets, following the implementation in Spain of the reform of the securities clearing, settlement and registry system.

Majority on the 2022 Board

On 23 March 2022, the annual general meeting was held in mixed format, combining assistance in person and online. The quorum for participation was 75.8%, in line with previous years and with the average for Ibex 35 companies. As usual, all items on the agenda were approved by a large majority.

With health conditions back to normal, the meeting went ahead without any major incident.

Investor relations

Recovery of normality and more information on ESG criteria

Bankinter's relationship with its investors has always been guided by the principles of equality, rigour and transparency inherent to the bank's culture and required by regulators. Bankinter therefore provides its investors and analysts with relevant and high-quality information about performance of its various business areas, as well as new strategies, both for each type of business and for each geography. In 2022, some of the actions developed to fulfil this corporate commitment include, among others:

- The quarterly appointment (in January, April, July and October) remained unchanged to present the Group's results to the investment community via webcast and teleconference. Between 150 and 200 financial analysts and institutional investors, both national and international, usually attend this type of meeting, and there is a Q&A session at the end.
- In March Bankinter resumed physical attendance at the most important international conferences and seminars organised by brokerage firms and investment banks. It has therefore been possible to maintain direct and close contacts with all stakeholders (institutional investors, portfolio managers, financial analysts, and private bankers) to inform them about the Bank's performance.
- The usual formal meetings were also held online and/or in person (around 300) with institutional investors and financial analysts, both individually and in groups, organised either by brokers or by the corporate access departments of the relevant institutions.
- Visits to current or potential investors in the various financial capitals of the world (New York, London, Paris, Frankfurt, Zurich, etc.) were resumed once the health restrictions experienced during the last two years were lifted.

At 31 December 2022, 46% of the Bank's shares were held by Non-residents, and institutional, investors. The percentage is slightly higher than in previous years.

Information on sustainability

Investor Relations actively collaborates with the Sustainability area to communicate the Bank's metrics and strategies around environmental, social and governance (ESG) criteria. The aim is to provide a uniform and clearly widening flow of information to the different stakeholders.

In recognition of its good sustainability management, the Bank was included in both the European and global versions of the prestigious Dow Jones Sustainability Index for the fifth consecutive year in 2022. Bankinter also appears as one of the most sustainable companies in Spain and in the financial sector on a global scale in various sustainability rankings, reports and indices drawn up by specialised agencies and proxy advisors (firms that advise institutional investors on the management of voting at shareholders' meetings).

The merit of remaining year after year in these indices and rankings is twofold, since most of the institutions that comprise them are much bigger and have a much larger sustainability budget than Bankinter.

Rating

Improvements that help lower funding costs

In 2022 Bankinter's ability to consistently improve its solvency, liquidity, asset quality and profitability ratios was once again confirmed, leading S&P Global to upgraded the Bank's long-term debt rating. The good ratings help Bankinter to reduce its funding costs in the capital markets and preserve the Bank's privileged position in relation to its competitors in this area.

Bankinter's credit ratings as of 31 December 2022 were as follows:

Moody's Ratings Limited.
The long-term issuer credit rating is Baa1, the short-term rating is P-2, and the outlook on both ratings remains at

stable

S&P Global Ratings.
The long-term issuer rating improved to A- and the short-term rating remained at A-2. Both with an outlook of

stable

DBRS Morningstar.
Long term rating is A (*low*) and short term rating is R-1 (*low*). Outlook is also kept at

stable

Own funds

A solid level of capital compatible with increased investment

The economic context of the 2022 financial year was marked by the war in Ukraine and the tightening of monetary policies by central banks. The protracted Russia-Ukraine conflict, which began in February, has pushed prices to very high levels and has also caused significant deterioration in economic growth. This deterioration has been particularly marked in Europe, which is energy dependent on Russia.

Rising inflation has eroded the purchasing power of households and businesses, with a consequent dampening effect on consumption and investment. To control rising prices, central banks have raised interest rates and pursued tight monetary policies. Looking ahead to 2023, major international agencies have cut their growth forecasts and, although inflation is expected to ease, it will remain above central banks' targets.

In this context of uncertainty, the European Central Bank (ECB), which annually assesses the institutions under its supervision and determines the level of minimum capital requirements they must maintain to face potential eventualities, carried out a specific stress test in 2022 for the main institutions in the sector, focusing on climate risk. The objective was to analyse their level of preparedness to cope with financial and economic shocks resulting from climate change. The results of these exercises are usually used by the ECB in its assessment of capital requirements, although the outcome of the 2022 climate stress test was not taken into account for the calibration.

In its Financial Stability Review published in November 2022, the ECB highlighted the good positioning of the European banking system to cope with the various risks. Given the deteriorating economic and financial outlook, specific macroprudential policies, such as capital buffers, are particularly relevant in increasing the resilience of the system.

All the aforementioned measures, together with Bankinter's business model and its prudent risk and capital management policy, enabled the Group to operate with comfortable, high quality capital levels that are well above the requirements of the regulatory and supervisory authorities, despite the current economic context.

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Efficient capital management

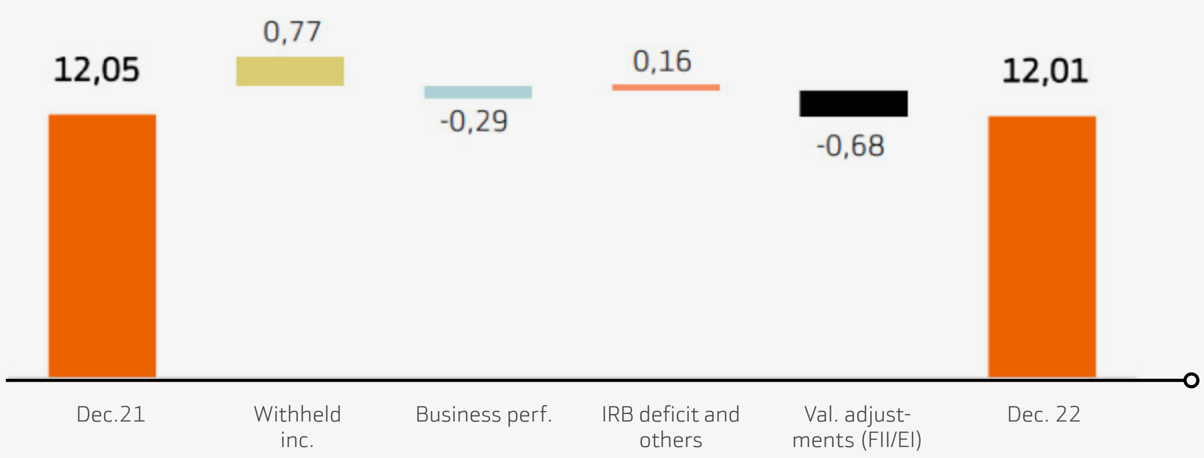
During 2022, Bankinter kept as one of its strategic priorities the active and efficient management of its capital in order to strengthen its position in terms of solvency, boosting the flow of credit to households and businesses without affecting its capital ratios and maintaining its usual pay-out level of 50%.

The Group's highest-quality capital, represented by the CET1 ratio (the quotient between *Common Equity Tier* 1 capital and risk-weighted assets), was 12.01% at the end of 2022, 4 basis points below the previous year's ratio. Despite the strong growth in lendings and the impact of market developments on fair value portfolios, capital ratios were kept stable thanks to the Group's strong performance and the consistency of its risk profile. The CET1 level was well above the minimum capital requirement set by the ECB at 7.726%. Similarly, the total capital ratio closed the year in a very comfortable position with respect to the minimum required level (15.27%, compared to 11.790%).

The positive result for the year allowed the retention of 77 basis points of capital after applying the group's traditional dividend policy (50% of the profit).

Demand for credit, meanwhile, continued to develop satisfactorily. Investment in companies experienced strong growth, both in national and international business. Mortgage activity (mitigated for capital purposes due to guarantees) continued to grow ahead of the sector. The rest of the businesses also recorded growth during the year, and capital consumption for operational risk also increased. Changes in the business decreased the CET1 capital by 29 basis points.

Variations in the CET1 ratio



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Market developments had a strong negative impact on the fair value portfolios and resulted in a reduction in CET1 of 68 basis points, the largest among the capital components. Without this impact, the CET1 ratio would have stood at 12.69%. By contrast, changes in the IRB provisioning gap, the management of prudential provisions and other effects represented an increase in the CET1 ratio of 16 basis points.

Requirements for 2023

In December 2022 Bankinter received the result of the ECB's supervisory assessment of the Bank, including the minimum capital requirements for financial year 2023, which have not changed with respect to the previous year. Accordingly, the ECB requires Bankinter Group to hold a minimum ratio of *Common Equity Tier 1* (CET1) of 7.726% and a minimum Total Capital ratio of 11.79%.

According to the communication, Bankinter's risk profile remains unchanged with respect to previous years and the Bank continues to be among the set of Spanish and European institutions with the lowest capital requirements.

With regard to the minimum requirement for eligible liabilities (MREL), in January 2023 Bankinter received the decision from the Single Resolution Board for 2023, according to which Bankinter needed, from 1 January 2022 (binding intermediate requirement), a buffer of loss-absorbing instruments of 16.18% of the group's consolidated risk-weighted assets and 5.27% of the leverage ratio exposure.

The final MREL requirement, which the Bank must meet no later than 1 January 2024, stands at 18.03% of the risk-weighted assets and 5.30% of the leverage ratio exposure.

Additionally, a new subordinated MREL requirement has been set, which must be covered only with subordinated instruments and which will be mandatory as of 1 June 2024. This requirement stands at 19.58% of risk-weighted assets and 6.18% of the leverage ratio exposure.

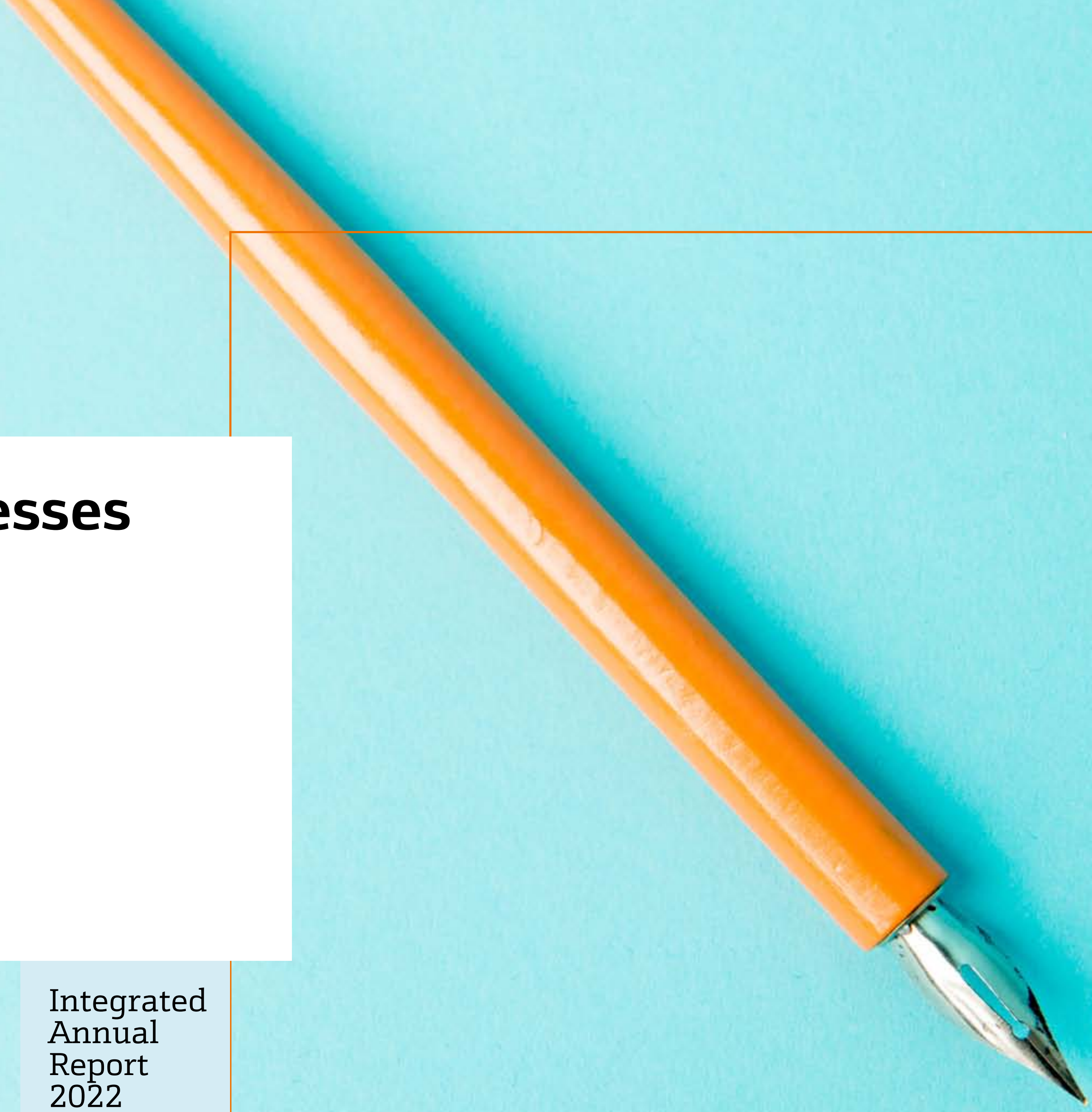
Throughout financial year 2022, the Group continued to build the buffer of eligible liabilities to comply with MREL through organic capital generation and balance sheet management. At year-end 2022, the level of MREL-eligible instruments stood at 21.40% (18.90% excluding the capital to be dedicated to cover the combined buffer requirement of 2.5% of risk-weighted assets), and 7.26% of the leverage ratio exposure.

Outlook

Looking ahead to 2023, the bank's objectives are to generate organic capital to enable it to operate with comfortable ratios above those established by the supervisor and to maintain its usual dividend policy, i.e. a cash distribution of 50% of profits.

In 2023, due to the economic and geopolitical context, we can expect to see a slowdown in the economy and increased uncertainties. Despite this, one of Bankinter's main objectives is to provide credit to the real economy, in order to contribute to economic development and to manage the risk-return trade-off in such a way as to enable it to maintain its solvency, profitability and risk profile.

Businesses



Integrated Annual Report 2022

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Corporate Banking

Corporate lending and the favourable development of interest rates pay off

The 2022 financial year ended very satisfactorily for the Corporate Banking business area, whose results grew significantly as a result of two factors:

- Increased business investment. The outbreak of the war in Ukraine, global supply problems and the resurgence of inflation pushed companies to bring forward their purchasing and investment decisions, thus increasing their financing needs. This increase in corporate activity, which was concentrated in the first three quarters of the year, had a particularly positive impact on working capital business, which surpassed pre-pandemic levels, and on international business.

  Signature risk products (domestic and international guarantees and documentary credits), a range of products with regular and consistent growth in recent years, also saw significant growth. In terms of company size, the increase in business was very significant in Corporate Banking, and notable in medium-sized companies, while SME lending grew very little due to the amortisation of loans guaranteed by the Official Credit Institute (ICO). As a result, lending to companies increased by 8.1% to 28.814 billion euro.

- Developments in interest rates. The change in the monetary policy of the European Central Bank, which began to raise the price of money in July after a decade of ultra-low rates, and the growth of corporate lending led to an increase of the net interest income in this area. Gross operating income in lendings to companies grew by 29.3% in 2022, up to 804 million euro. The effect Corporate Banking in this area was especially positive, contributing to the gross operating income of the Bank a record figure of 344 million euro.

Positive balance on ICO lines

Lendings
€28.8 bn
+8.1%

Gross operating income
€804 bn
+29.3%

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Also on the positive side is the balance of the loans guaranteed by ICO and Cesce, within the public guarantee programme that was approved to mitigate the economic impact of the pandemic. In 2022, the grace period began to expire and companies have started to pay the principal of the loans without significant problems. In fact, the non-performing ratio for these operations was lower than expected. The Bank was more active than other institutions in the ICO/Ukraine loans, which were made available to help companies affected by the rise in energy prices.

A less favourable circumstance was the significant delay in the arrival of funds from the European Next Generation programme, which was expected to take off in 2022. While waiting for the funds to materialise and boost business activity, the Bank continued to monitor the programme and kept close contact with potentially interested companies, providing advice and information on the programmes underway.

Strategy for 2023

The aim for 2023 is to gain in productivity based on technological developments that have been implemented in recent years. This is the case of the 'Corporate PLAN', which is a transparent proposal for customers, mainly SMEs, that automates the conditions of their relationship with the bank according to their degree of loyalty (the more activity, the lower the fees).

Another instrument with potential is the Business Network, providing Bankinter managers with the reference of companies their customers work with. The instrument has been developed in such a way that it provides a lot of information and very precise information, so that the Bank can be more effective in attracting business, either through new customers or through existing ones. The Business Network is useful for SMEs, but it is also applicable to medium-sized companies.

One initiative that opened to customers in 2022 with a significant investment, and for which the bank has high hopes, is Supply Chain Finance, an international business product aimed at Corporate Banking and which offers a distinctive service in the sector. It is based on a very powerful technological platform, which, together with a team of professionals at the service of our customers and their suppliers, work to optimise cash flows in the supply chain. Bankinter has initially focused on offering confirming solutions, and we hope to be able to extend this in 2023 to *factoring* activities.

Another promising line of business is the foreign exchange brokerage, which has already proven its potential in recent years and has been well received by our customers. Its good performance was due to a strong marketing effort on the part of the platform in all areas, as well as the volatile conditions in the foreign exchange markets. The integration of the foreign exchange broker in Supply Chain Finance provides our customers with a complete, optimal and global solution for the management of their working capital.

Commercial Retail Banking

Good pace of growth in a difficult context

The volatility of the markets, triggered from the beginning of the year by inflation and subsequently by the invasion of Ukraine, made it necessary to redouble the efforts of the Bank's commercial teams towards banking for individuals – which accounts for a third of Bankinter's gross operating income.

This commercial effort was part of the two major transformations introduced during 2021 in the customer service model, which saw their first full year in force in 2022: the creation of the Retail Banking and Wealth Management areas.

Retail Banking brings together under one hierarchical unit the former areas of Personal, Individual and Non-Resident Retail Banking. Wealth Management integrates the areas of Private Banking, Bankinter Luxembourg and the Agency Network.

In both cases, the aim was – and continues to be – to better profile customers according to their specific financial needs and potential, thereby improving service delivery and productivity.

Thanks to all this, Commercial Retail Banking obtained a gross operating income of 711 million euro, an increase of 7% compared to the previous year. A total of 103,000 new customers were welcomed, the second highest number in the Bank's history, after that of 112,000 in 2021.

The main source of attraction for customers with high loyalty and profitability was once again mortgages, where the outstanding balance rose to 23.46 billion euro despite the sharp increase in interest rates that took place from June, the fastest in history. New mortgage lendings amounted to 3.421 billion euro, the second highest figure in the Bank's history, after that of 4.176 billion for 2021.

Another major source of customer attraction was the salary account, which has kept its conditions for more than ten years. In terms of balances, the salary account grew by 11%, reaching 16 billion euro.

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New personal lendings broke records, reaching close to 1 billion euro in 2022, a growth of 48% over the previous year. Premiums from life insurance increased by 2 million euros. Activity in pensions, which includes net inflows, contributions and subscriptions, amounted to 83 million euro.

In Wealth Management, assets under management exceeded 51 billion euro, with net new assets of more than 4 billion, 14% more than the previous year. In Retail Banking, assets under management exceeded 41 billion, with net new assets rising to more than 3.4 billion, 2.6 times the amount for 2021.

The balance in equities amounted to almost 18.8 billion euro at 31 December 2022, maintaining the level of 2021 in a year where stock market falls have been pronounced. In Fixed Income we have grown by almost 1.9 billion euro to close to 4.8 billion euro.

We have implemented numerous liquidity management measures, including Buy & Hold funds, which have been well received by our customers with placements in excess of 500 million euro. Bankinter once again demonstrated its cutting-edge approach with the launch of the first Spanish fund focused on the metaverse industry, as well as with the launch of a parent fund for alternative investments traditionally reserved for Wealth Management customers and now accessible also to those of Retail Banking.

As part of the efforts towards service enhancement, a website dedicated to mega trends in investment was created.

The challenges facing Commercial Retail Banking in 2023 include ensuring profitable growth and management of the loan book, preserving liquidity levels and expanding advisory roles, while keeping to the commercial tone and the pace of new customer acquisition, which is one of Bankinter's strategic objectives.

We will also continue to consolidate the changes in the customer service model that we started implementing in 2021 and kept up throughout 2022, with a special focus on households, offering financial solutions and new products adapted to the different stages in customers' lives and that of their family members. Within the framework of innovation pursued at Bankinter, in 2023 we will have a new front-end for personalised commercial management in branches.

Wealth Management
€51
bn
+14%

Personal loans
€1
bn
+48%

Gross operating income
€711
mn
+7%

New mortgage loans
€3.421
bn
second highest amount in the Bank's history

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Wealth Management

Investment volume and assets under management at record highs

Record investment and asset under management figures were achieved in 2022. Investment amounted to 5.595 billion euro and assets under management to 51.337 billion, both very high figures considering the difficult context.

The integration of Private Banking, the Agency Network and Bankinter Luxembourg, into Wealth Management meant the area's market share rose to 7.88%. The objective of said integration is to improve the efficiency of the service. Decision-making processes have been streamlined and, consequently, so has the response to customers' needs, keeping ahead of today's environment, where speed is key.

Wealth Management reached 3.198 billion in assets under management in alternative investments, as a result of the Bank's firm commitment to comprehensive wealth advisory services, taking into account financial, real estate and alternative assets.

Wealth Management reached 3.198 billion euro in assets under management in alternative investments.

Active customers (no. of customers)

+7.2%

2022	2021
48,056	44,810

Total customer funds (in millions of euro)

+4.7%

2022	2021
34,628	33,069

Customer deposits (in millions of euro)

+10.1%

2022	2021
15,111	13,726

Investment (in millions of euro)

+6.8%

2022	2021
5,595	5,241

Retail Banking

Almost 100,000 new customers, thanks to the salary account and mortgages

The strategic plan for Retail Banking was consolidated in 2022, prioritising advice and personalised customer service, with a focus on wealth management.

At 31 December, the area had 815,000 active customers, an increase of 5% over the previous year, mainly thanks to the salary account and mortgages. More specifically, 98,277 customers were acquired, 53,567 salary accounts and 14,506 new mortgages were opened for a total volume of 2.7 billion euro.

Also notable were the figures obtained in personal loans, with 824 million in new lendings for the year. That means an increase of 51% compared to 2021 and double the results obtained in 2020.

The net worth of Retail Banking customers reached 41.36 billion euro at the end of the year, with growth of 4.1% compared to the previous year. The portfolio of investment and pension funds closed 2022 at 9.295 billion euro. The Bank has continued to launch new products and services under the umbrella of Bankinter in Family, which remains a strategic project in managing customers' personal and family finances.

Also notable were the figures obtained in personal loans, with 824 million in new lendings for the year.

Active customers (no. of customers)

+5.1%

2022	2021
815,266	775,623

Total customer funds (in millions of euro)

+6.0%

2022	2021
36,962	34,854

Customer deposits (in millions of euro)

+10.6%

2022	2021
27,339	24,727

Customer loans (in millions of euro)

-0.7%

2022	2021
23,818	23,993

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Corporate Finance

A record exercise in the generation of gross operating income

In the 2022 financial year, Corporate Finance set a record in gross operating income, reaching 344 million euro. Its contribution to pre-tax profit rose to 296 million. In both indicators, Corporate Finance was the area in Bankinter that most contributed to the income statement.

The year was particularly productive in the signature risk business line (domestic and international guarantees and documentary credits). New income generated amounted to 768 million euro (almost three times the previous year's figure), amounting to a total business of 4.358 billion euro.

Moreover, the achievement of lending growth targets was very satisfactory. Total loans increased by 12.8%, to 14.449 billion euro.

Gross operating income 344 million euro.

Active customers (no. of customers)

+6.4%

2022	2021
6,707	6,306

Total customer funds (in millions of euro)

-0.9%

2022	2021
8,808	8,884

Customer deposits (in millions of euro)

-7.3%

2022	2021
7,790	8,406

Customer loans (in millions of euro)

+12.8%

2022	2021
14,449	12,813

Mid-corporate Finance

Strong performance of fee and commission income

Gross income rose 27%, not only as a result of higher interest rates but also thanks to the strong performance of fee and commission income, which grew by almost 12%. The year was particularly positive in fees generated by transactional business (+47.8%) and international business (+42.9%).

Pre-tax profit increased by 47.8% and contributed 124.3 million euro to the Bank's income statement.

In terms of lending, financing to medium-sized companies increased by almost 6% to well over 8 billion euro on average, enabling the Bank to gain market share over its competitors.

Pre-tax profit increased by 47.8% and contributed 124.3 million euro to the Bank's income statement.

Active customers (no. of customers)

+3.8%

2022	2021
26,811	25,827

Total customer funds (in millions of euro)

+1.3%

2022	2021
7,135	7,047

Customer deposits (in millions of euro)

+0.7%

2022	2021
6,543	6,500

Customer loans (in millions of euro)

+5.9%

2022	2021
8,173	7,714

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SMEs

Strong momentum in transactional and international business

Business with SMEs saw a 21% increase in revenues in 2022, while maintaining credit quality, with an NPL ratio of 8%. Gross operating income totalled 222 million euros and pre-tax profit amounted to 91.7 million euro.

The year was characterised by intense commercial activity. The transactional business registered strong momentum, with revenue growth of 43%, as did the international business, which grew by 34%.

The product and customer management proposal was implemented during the year through Bankinter's 'Corporate PLAN', which at 31 December had already been taken out by 43% of current customers. This transparent and progressive product encompasses their total linkage with the Bank and allows them to pay no fees.

The year was characterised by intense commercial activity.

Active customers (no. of customers)

−0.5%

2022	2021
77,913	78,302

Total customer funds (in millions of euro)

+4.5%

2022	2021
6,079	5,817

Customer deposits (in millions of euro)

+5.8%

2022	2021
5,624	5,314

Customer loans (in millions of euro)

+1.0%

2022	2021
6,194	6,132

Bankinter Investment

New fund management company to consolidate leadership in alternative investments

After almost seven years of intense activity in launching various alternative investment vehicles, Bankinter Investment took an important leap in 2022 by setting up Bankinter Investment SGEIC, the alternative investment fund management company.

The new company aims, among other objectives, to broaden the range of products and services in the field of alternative investment, while making them accessible to a much wider segment of households and savers. Bankinter Investment will thus be able to manage its own alternative funds and, in fact, plans to launch in 2023 a fund of funds under delegated management in which retail investors will be able to participate according to their risk profile, in addition to high net worth and institutional customers.

Investment typology follows the same line as in previous years: infrastructure assets, renewable energies, technology, student residences, hotels, logistics and the environment, along with other sectors to be added in the future.

The new management company also adheres to Bankinter Investment's strategy, which revolves around three pillars: exclusive and long-term alliances with the best expert partner in the sector; co-investment by Bankinter, partner and customers, and rigorous monitoring by the Bank of the performance of the different investment vehicles.

In addition, in 2022 Bankinter Investment launched new investment vehicles, including the following:

- The capital increase of the Montepino logistics platform for an amount of 250 million euros, in order to undertake the company's ambitious business plan.
- A new fund, created together with Plenium Partners, aimed at investing in assets contributing to energy efficiency, environmental protection, plastics recycling, etc. Customers committed more than 150 million euro to this vehicle.
- A listed company for investing in the real estate market (SOCIMI), under Portuguese regulation, with a single asset: a mixed-use building (the Atrium Saldanha building, mostly offices) located in the best area of Lisbon. It represents an investment of more than 200 million euro, realised in partnership with Sonae Sierra.
- Second version of the Titan Infraestructuras fund, initially launched in 2019. Together with Access Capital Partners, it raised just over 250 million euro.

The biggest alternative platform

All of the above has helped Bankinter Investment to consolidate its position as the leading alternative investment platform in Spain and Portugal. So far, it has launched 19 investment vehicles, with more than 4 billion euro of capital committed by investors and close to 7 billion euro of assets under management. The main investments are concentrated in the tourism sector (with 29 hotels under lease and 8 owned), in retail real estate (including two listed companies for investing in the real estate market (SOCIMIs) working in the purchase and management of real estate assets in Spain and Portugal) and in renewable energies (where four funds have been launched), among other sectors of the economy.

In the current environment of macroeconomic and geopolitical volatility, with high inflation rates that complicate traditional investment, alternative assets are Bankinter's complementary value offer for promoting long-term savings in a diversified manner and improving the risk-return ratio of portfolios.

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International Banking

Key lever in corporate commercial activity

Bankinter's International Banking business saw a consolidation in 2022 as a key lever in the growth of corporate commercial activity. Despite the difficult economic and geopolitical environment, the average lending balance reached 7.953 billion euro, an increase of 24.7%, in contrast with the 10.4% growth registered in the previous year.

During the year, strong growth was recorded in intermediated documentary business (+73%), in intermediated international collections and payments (+21.3%) and in the volume managed by the Online Foreign Exchange Broker (+39.5%). The gross operating income of the business area reached a record high of 265.5 million euro (+58.2%) in 2022. Fee and commission income accounted for 42% of the area's gross operating income.

Looking ahead to 2023, International Banking will be offering a new digital Supply Chain Finance service, seeking to dynamise the working capital of its importer and exporter customers by advancing invoices and guaranteeing payment obligations to international suppliers, whether in euro or any other convertible currency.

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Bankinter Portugal

Significant increase in profits

Bankinter Portugal posted a pre-tax profit of 77.5 million euro in 2022, reflecting a growth of 54.2%. Gross operating income increased by 25.4% to 190.7 million euro, operating income by 46.63% (to 96.2 million) and business volume by 8.3% (19,900).

The total loan portfolio reached 8.6 billion euro, which translates into an improvement of 14.3%, well above the market average of 9%, according to data published in November by Banco de Portugal. Customer funds rose by 7.9% to 6.4 billion.

Meanwhile, operating costs increased by 8 million euro to 94.5 million euro, mainly affected by wage increases, employee support measures, and the effects of rising inflation.

The Bank's efficiency ratio stood at 50.5%, an improvement of eight basis points compared to 2021. The NPL ratio confirmed the downward trend started in 2016, standing at 1.31%, compared to 1.72% in the previous year.

In terms of contribution to gross operating income by business unit, the weight of Commercial Retail Banking was 52.81%, that of the Corporate Finance was 29.58%, and that of Bankinter Consumer Finance 17.61%.

Commercial Retail Banking. It again recorded significant growth in strategic business items, notably new equity (+690 million euro) and loan portfolio (+590 million euro). Mortgage lending improved by 65.1%, with a significant contribution from fixed rate mortgages. Private Banking increased its customer base by 8.9% and recorded a 5% rise in revenues, despite the largely negative impact of the performance of the financial markets. Customer base increased by 9.9% and the business volume of the Premier segment 8.2%.

Corporate Banking. Corporate Banking's loan portfolio grew by 32.5%, its gross operating income by more than 45% and customer acquisition by 29%. Managed turnover from mid-sized companies grew to 1.545 billion euro (+31%) and their loan portfolio rose by 141 million euro (+21%). Business from SMEs reached 2.083 billion euro in managed turnover, 1.163 billion in customer funds and 920 million in loans. New international business increased by 38% and international turnover rose by 44%. Bankinter Investment participated in the structuring and financing of two major projects in the areas of renewable energies and infrastructure, totalling loans of more than 50 million euro.

Bankinter Consumer Finance. Transaction volumes returned to pre-pandemic levels. However, the international climate and inflation caused a decline in consumer confidence in the second half of the year and a reduction in growth rates. For the year as a whole, business volume increased by 26%, with more than 392 million euro in lending and more than 201,000 contracts in force with customers. Bankintercard's business already accounts for around 40% of consumer loans.

Bankinter Asset Management. The area managed to minimise the impact of generalised falls in the stock and bond markets, with total assets under management of 1.051 billion euro at the end of 2022, a year-on-year decline of 7%. The volume under management in investment funds amounted to 316 million euro (-12%). The poor performance of the financial markets had a significant impact on the securities under management, mitigated by the slight increase in net fund subscriptions (+2%). In the third party portfolio management business, the value of assets amounted to 736 million euro (-4%).

Bankinter Life Insurance. Growth in premiums written outperformed the market, demonstrating the resilience and confidence of customers in risk and investment products. Of note was the enormous success of life insurance linked to mortgage loans and consumer credit, with growth of 5% and 30%, respectively. Non-credit insurance is increasingly seen by subscribers as a useful element in the financial protection of families, resulting in a growth of more than 100%. Regarding investment insurance, capital and guaranteed income products were marketed once again, taking advantage of the favourable developments in interest rates.

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Capital Markets

Strong liquidity position and strong increase in assets under management

Bankinter holds a strong liquidity position. Customer funds grew by 2.135 billion euro in 2022 and accounted for 103% of the Group's total lendings at the end of the reporting period. Interest rate risk management has generated stability in the Group's net interest income in recent years.

Treasury continued to answer to customers' needs in managing their foreign exchange, fixed income and interest rate derivatives transactions.

Asset management

Counter-current growth in investment fund assets

Interest rate increases have had very negative effects on the financial markets, for both fixed income and equities. Despite this, the assets of Bankinter Asset Management's investment funds grew by 4%, to 10.8 billion euro, due to the commercial activity of profiled funds and short- and medium-term fixed income.

Most Bankinter funds outperformed their competitors. The area as a whole generated revenue of 109 million euros in 2022, with pre-tax profit of 52 million euros.

During the year, the fund management company launched new short- and medium-term fixed income products, taking advantage of the new interest rates. New discretionary portfolios for Private Banking customers and a new range of profiled pension funds have also been made available.

Investment Funds

New revenue record in a very difficult context

Bankinter launches its Metaverse fund

Bond and equity markets declined significantly and across the board during 2022, due to the macroeconomic and geo-strategic situation.

Against this complicated backdrop, Bankinter's investment funds business set a new record in revenues, reaching 198.2 million euros and exceeding the previous year's figure by 0.2%.

Despite the sharp downturn in the markets, which negatively affected the portfolio by almost 3 billion euro, commercial activity and retention efforts ensured that the volume in funds declined relatively little, from 25.662 billion euro in 2021 to 24.133 billion euro in 2022.

In order to enrich and adapt our portfolio to different investment profiles and to take advantage of market opportunities, during the year we launched the Bankinter Metaverso fund and two new fixed-income maturity ranges: Horizonte and Deuda Pública.

Total portfolio value deposited (in millions of euros)

-6%

2022	2021
24,133	25,662

Income Ex VCF (in thousands of euros)

+0.2%

2022	2021
198,217	197,744

Equity

Market volatility did not prevent the portfolio from remaining at very high levels.

The past year was a difficult one for the equity business, due to its continued volatility and the general market downturn.

Investors were less active than during the previous two years, resulting in a decline in buying and selling activity, especially in international trading.

Nevertheless, the equity income statement remained at very high levels, at over 63 million euro. Of note was the increase in activity in exchange traded funds (ETFs), in credit trading and in custody revenues.

Despite the volatility, the portfolio remained stable compared to 2021, at 21.654 billion euro.

Milestones for 2022 include an enrichment in the offer of ETFs, and the drive to provide training on this range of products through the digital platform Broker Academy Bankinter.

Despite the volatility, the portfolio remained stable compared to 2021, at 21.654 billion euro.

Full cash value deposited (in millions of euros)

0

2022	2021
21,654	21,636

Income (interest + commissions) ExSocimi* (in thousands of euros)

-7%

2022	2021
63,445	67,963

*We exclude income from Investment Banking SOCIMIs

Fixed Income

Strong growth in revenues and deposited portfolio

One of the features of 2022 was that, due to the change of course taken in monetary policy to tackle inflation, and the consequent increase in interest rates, investors again found opportunities investing in direct fixed income instruments.

The increased bond purchasing activity resulted in the deposited portfolio volume increasing by 60% over the past year to 4.8 billion euro, while revenues grew by 19% over 2021 to 12 million euro.

During the year, an in-depth diagnosis of activity in fixed Income was carried out in order to improve it and make our customers' operations more technically and digitally agile. The web platform was also enhanced and training in fixed income for the commercial staff was promoted.

An increased activity in bond markets led to a 60% increase in the volume of the deposited portfolio over the past year to reach 4.8 billion euro.

Full cash value deposited (in millions of euros)

60%

2022	2021
4,786	2,992

Income (Int+Comi) ExSO-CIMI (in thousands of €)

19%

2022	2021
11,968	10,056

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Bankinter Consumer Finance

Investment grew by 55%, with strong growth in all markets

Bankinter Consumer Finance's total investment volume in 2022 amounted to 5.479 billion euros, representing a growth of 55% over the previous year. All the Group's markets recorded strong growth, with increases of 26% in Spain and Portugal and 132% in Ireland.

To diversify revenues and consolidate the pace of growth, CarnRoll.com, an online platform for the sale of used vehicles with financing and car insurance offers, was launched in December 2022. The project, designed and launched in just six months, is the result of an alliance between Bankinter Consumer Finance, Línea Directa Aseguradora and Vdshop, part of the Vass Group.

Bankinter is also the exclusive financing bank for the energy refurbishment projects developed by Endesa and OHLA in neighbourhood communities, with a product created specifically for this purpose and 100% digital.

Insurance and pension plans

More than 100 million in premiums in life insurance

A solid business performance coupled with the excellent performance of the life insurance portfolio enabled the Bank to exceed the 100 million euro mark in life insurance premiums written through its insurance subsidiary, Bankinter Life Insurance (of which 50% is owned by Mapfre).

The Bank also reached an agreement with Liberty Seguros to set up a new insurance company for the development of the home and car insurance business, which also encompasses the Bank's activity in Portugal and in EVO.

The range of long-term savings products was updated in 2022. A new range of profiled pension plans, Gama Premium, was created and the marketing of annuity insurance was reactivated, taking advantage of the rise in interest rates.

Bankinter Luxembourg

A plan to reinforce staffing and investment

Throughout 2022, the entity developed a reinforcement plan, covering both staffing and investment in various projects. The aim is to concentrate efforts on digitisation and process efficiency, in pursuit of greater scalability.

In earnings, Bankinter Luxembourg once again achieved a new record. Pre-tax profit was 9.8 million euro, an increase of 38% compared to the previous year.

The Official Spanish Chamber of Commerce in Belgium and Luxembourg recognised in its Company of the Year awards the track record of Bankinter Luxembourg, which arrived in the Grand Duchy almost ten years ago to expand the Bank's Private Banking strategy.

In earnings, Bankinter Luxembourg once again achieved a new record. Pre-tax profit was 9.8 million euro, an increase of 38% compared to the previous year.

Active accounts (no. of accounts)

−1%

2022	2021
1,928	1,955

Total customer funds (in millions of euro)

−6%

2022	2021
3,793	4,034

Customer loans (in millions of euro)

+1%

2022	2021
241	239

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EVO Banco

Increased activity, with an improvement in the offer for savings and loans

Last year saw EVO consolidate its position as one of the largest and most complete digital banks in the market, with 720,500 financial customers and significant growth in its banking business.

All areas of financing performed well. New mortgages in 2022 rose to 984 million euro, 35% more than in 2021. Consumer lending and means of payment amounted to 95 million euro (+42%).

In the balance sheet, lendings amounted to 2.7 billion euro, up 45% from 2021.

With regard to off-balance sheet savings and loans, 2022 was marked by the strengthening of EVO's commercial offer in two directions:

- The EVO Smart Account, the bank's main product for accessing a wide range of financial and non-financial services, returned to its original arrangement, offering two linked accounts: one for day-to-day operations and a term deposit for savings, in the latter case with an interest rate of 0.6% APR and full availability of the balance.

- On the investment side, EVO reduced its main fees to an all-time low; improved its portfolio of securities, funds and indexed investments; reached an agreement with BlackRock to boost ETF penetration in Spain; and designed with Morningstar the most advanced search engine/comparison tool in the market for ETFs.

Recognition

Voice has become a key element of customer service and cybersecurity, and notable milestones have been reached in this regard, such as the deployment of a new automatic transfer system using voice biometrics, as well as the roll-out of the AI assistant to telephone customer service. The level of technological maturity achieved by EVO in recent years has earned it recognition as the most innovative bank in Europe by the prestigious international publication World Finance.

In 2023, EVO will continue to pursue its objective of being the main bank for its customers, maintaining its focus on capturing and increasing on-balance sheet funds, off-balance sheet lending, mortgage business and the development of new payment and insurance services, among other initiatives.

New mortgages in 2022 rose to 984 million euro, 35% more than in 2021.

Agency Network

Consolidation of the business model and strong profit growth

The Agency Network, comprising 360 professionals with their own offices who partner with Bankinter to offer financial services, consolidated its new business model in 2022, driven by integration into the Wealth Management area (together with Private Banking and Bankinter Luxembourg), investment in processes and the strengthening of support and control services.

The number of active customers rose from 41,869 to 43,399 during the year, an increase of 4%, and the acquisition of new agents contributed 800 million euro of new assets to the balance sheet.

At the end of the 2022 reporting period, the Agency Network had total assets of 11.857 billion euro, 4.7% more than in the previous year, investing 1.996 billion euro, an increase of 6%. Pre-tax profit grew by 20% to reach 44 million euro, compared to the 35 million obtained in 2021.

The number of active customers rose from 41,869 to 43,399 during the year, an increase of 4%, and the acquisition of new agents contributed 800 million euro of new assets to the balance sheet.

Active customers (no. of customers)

+3.7%

2022	2021
43,399	41,869

Total customer funds (in millions of euro)

+4.9%

2022	2021
11,857	11,305

Customer deposits (in millions of euro)

+26.7%

2022	2021
3,293	2,599

Customer loans (in millions of euro)

+6.5%

2022	2021
1,996	1,874

Partner Banking

Customer acquisition drives growth

2022 was another record year in customer acquisition. As in 2021, key partners were brought on board (15 new agreements signed), allowing the area to continue to grow and contribute very positively to the income statement.

Thanks in large part to this, Partner Banking's gross income and lending continued the growth trend of previous years, with increases of 12% and 6%, respectively. The +7% increase in the mortgage portfolio of Retail Banking is particularly relevant, given the difficult market situation and an economic environment full of uncertainty.

Partner Banking's institutional business, which includes business generated with entities regulated by the CNMV, also confirmed the upward trend of recent years, with growth in the main indicators of the income statement and balance sheet. The gross operating income grew by 13%; investment by 8%, and resources by 16%.

Partner Banking's gross operating income and lending continued the growth trend of previous years, with increases of 12% and 6%, respectively.

Active customers (no. of customers)

+4.5%

2022	2021
45,480	43,513

Total customer funds (in millions of euro)

-0.3%

2022	2021
6,576	6,599

Customer deposits (in millions of euro)

-5.3%

2022	2021
4,473	4,725

Customer loans (in millions of euro)

+6.4%

2022	2021
3,299	3,101

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Remote Network/Telephone Banking

Organisational changes to strengthen the commercial drive

Telephone Banking introduced changes in its organisational structure to adapt it to the Bank's model and strengthen its commercial drive. The new structure seeks to develop and link customers with an integrated management where the remote tutor gains autonomy and serves as support for the branch network.

The virtual assistant was perfected throughout 2022. New automations were added improving its usability, enhancing the customer experience and automatising the simplest and most common operations.

Telephone Banking handled 2.5 million calls. Of these, 1.4 million were initiated by customers. The remaining 1.1 million were made from the Bank for commercial purposes, an increase of 37% compared to 2021. 80.38% of customers said they were satisfied with the service and 63.28% would recommend it. In addition, in 88.88% of the calls, the customer indicated that their query had been resolved in the moment.

The virtual assistant was perfected throughout 2022. New automations were added, improving its usability.

Telephone Banking		
Customer assistance to Personal and Private Banking customers.	8.00 to 22.00h Monday to Saturday (except bank holidays)	91 657 88 00
Individual Retail Banking	9.00 to 18.00h Monday to Friday (except bank holidays)	
Insurance Specialists / Commercial Insurance	09.00 to 18.00h Monday to Friday (except bank holidays)	
Asset Specialists	9.00 to 18.00h Monday to Friday (except bank holidays)	
Assistance in English	9.00 to 18.00h Monday to Friday (except bank holidays)	91 657 88 01
Assistance in Catalan	9.00 to 18.00h Monday to Friday (except bank holidays)	93 410 84 85
Customer Service support	9.00 to 18.00h Monday to Friday (except bank holidays)	900 802 081
Technical web assistance (particulares.com)	8.00 to 22.00h Monday to Friday and Saturdays 9.00 to 15.00h (except bank holidays)	91 657 88 69
Investment and stock exchange specialists	8.00 to 22.00h Monday to Friday (including bank holidays if markets are operating)	91 657 88 01
International Business Specialists	8.00 to 17.00h Monday to Friday (except bank holidays)	91 050 00 96
Corporate Telephone Banking	8.00 to 18.00h Monday to Thursday and Friday 8.00 to 17.00h	91 050 01 08
Technical web assistance (empresas.com)	August 8.00 to 15.00h Monday to Friday (except bank holidays)	91 807 09 84

Quality

A bank allied to its customers against market uncertainty

In the current economic context of geopolitical and energy uncertainty, high inflation and monetary tension, one of the most important challenges for the Bank is to ensure that the level of quality perceived by its customers – both households and companies – continues to increase and never slips.

Bankinter works ceaselessly to reinforce a culture where quality is one of the keys to building trust and generating value, and a foundation for continued growth. The Bank focuses on continuous improvement of its processes, and on operational excellence in the services provided to customers, promoting high quality standards in both the physical and digital worlds.

Measurement enables us to understand the perceptions of all the groups we work with. The results of this measurement activity are reported to the Bank's areas to drive improvement initiatives and so we can adapt our products and services to customer expectations. One of the area's strategic objectives is to continue developing the ability to understand what customers are communicating without asking them, and to observe their behaviour in order to predict potential changes and act accordingly.

Knowing how to get the most out of everything that technology offers is a differentiating element that generates impact throughout the entire cycle. It makes it easier to measure more, and better, by adapting the measurement model to the omnichannel nature of our customers (online discretionary measurement) and the commercial models of our business areas. Technology provides tools that enable processes and tasks to be triggered immediately, so listening always leads to action. Centralising the feedback obtained on a new platform, with a 360-degree vision, enables us to exploit information in a consistent way applying a business perspective.

Bankinter is also continuing to optimise its predictive models of perceived quality, and demonstrating to its commercial network the impact that customer experience management focused on maximising satisfaction with the service has on business.

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Higher levels of customer satisfaction

The aggregate index of quality perceived by customers in Spain and Portugal in 2022 stood at 43.6% (2.6% in 2021), measured through the Net Promoter Score (NPS). In Spain, the score was 43.4% (+1.2%), with the quality perceived by customers improving in 48% of the centres in the branch network. The NPS for individuals over 65 years of age was 50.31% (+24.8% than the average of all individuals assessed).

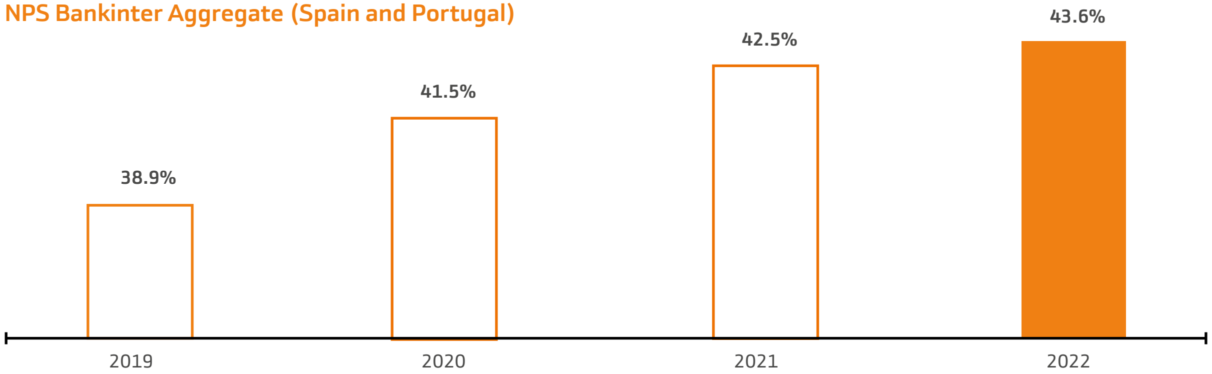
The NPS at Bankinter Portugal was 42.5% (+17.4%), with improvements in 72% of branches.

The trend in the level of customer satisfaction remained very positive in 2022: In Spain, 53.2% (+1.4%) of customers said they would recommend Bankinter, with dissatisfied customers standing at 9.9%. In Portugal, 53.6% (+8.5%) of customers said they would recommend Bankinter, with dissatisfied customers standing at 11.1%.

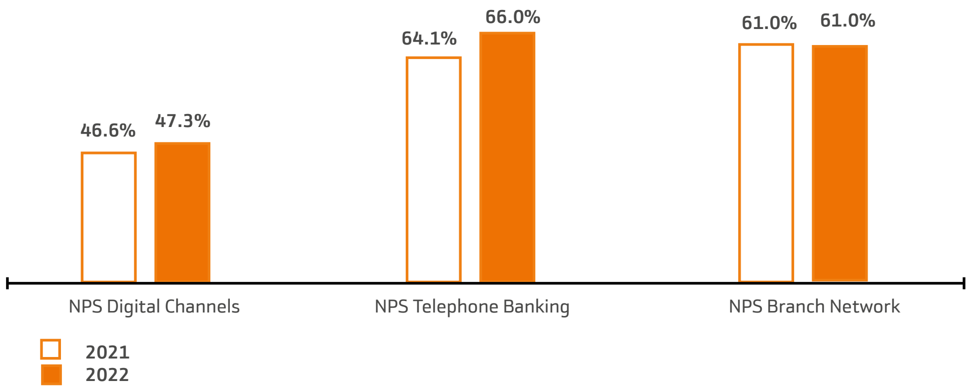
In terms of communication channels with the Bank, customer satisfaction with our websites and apps had an NPS of 47.3% (+1.5%) in Spain and 64% (+25%) in Portugal.

Recommendation scores for Telephone Banking and the branch network were also kept at high levels.

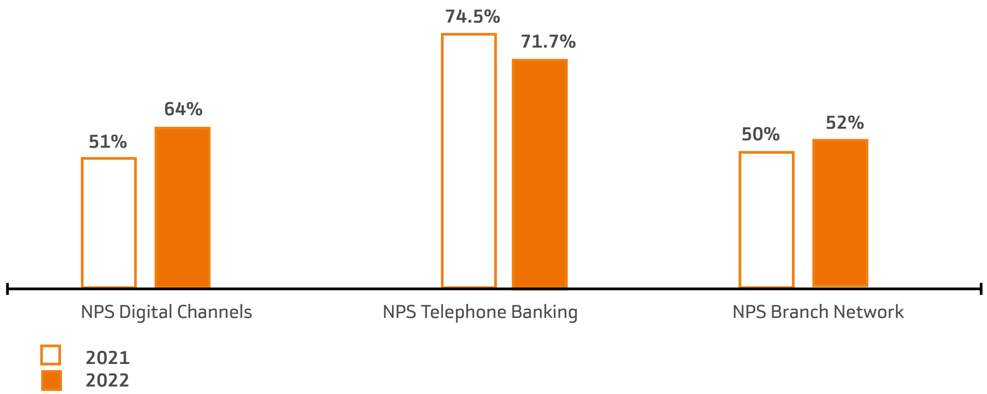
NPS Bankinter Aggregate (Spain and Portugal)



NPS by channels in Spain



NPS by channels in Portugal



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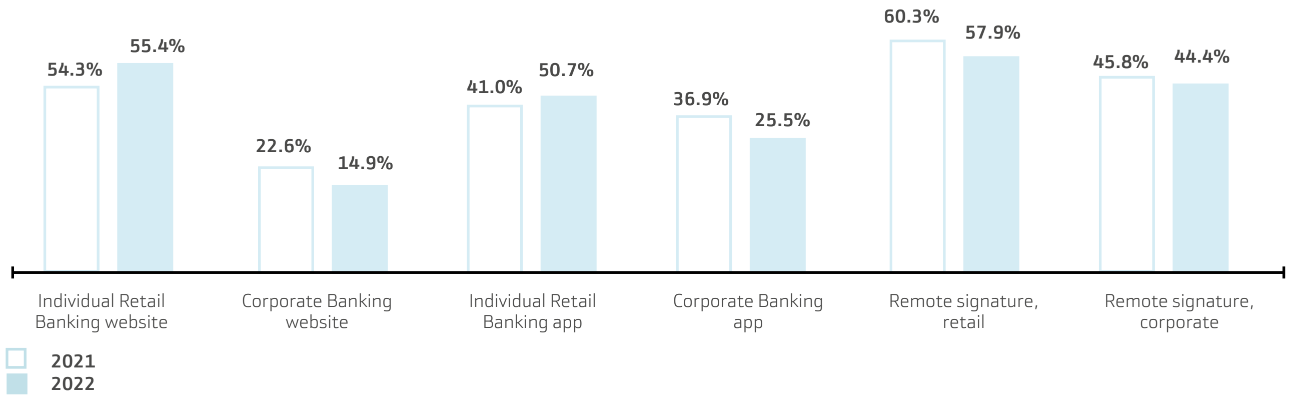
Digital Banking

In 2022, 33 of the Bank's website and app processes were evaluated (17.9% more than in 2021), providing information on the design, usability and functionality of these digital assets. This gave the technical teams daily information on perception, reasons for dissatisfaction and customer suggestions for improvement.

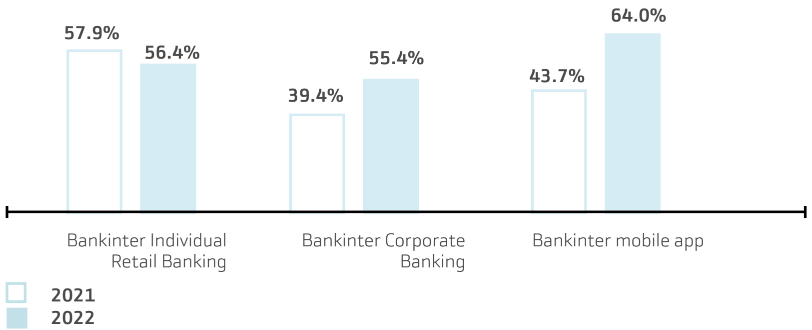
The opinions of users of the platforms and websites continued to improve, with the aggregate NPS standing at 47.3% (+1.5%).

In relation to the transformation of internal processes, 61 processes were measured in real time.

NPS Digital Channels in Spain



NPS Digital Channels in Portugal



Internal Quality

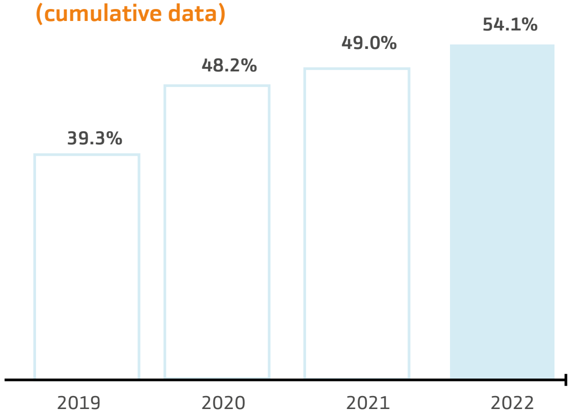
The Bank's Central Services worked closely with the commercial networks with the shared objectives of providing customers with excellent service and improving the agility of processes, support, training and information, with the consequent increase in the quality indicators for these areas. The information provided by internal surveys (which had excellent participation by the Bank's employees in 2022) provides the basis on which Central Services designs continuous improvement plans.

Bankinter carried out 105 internal quality measurements in 2022. This activity provided thousands of opinions and suggestions, which contributed to the 287 initiatives launched to optimise processes and their digitisation, and to offer customers a service that meets their expectations.

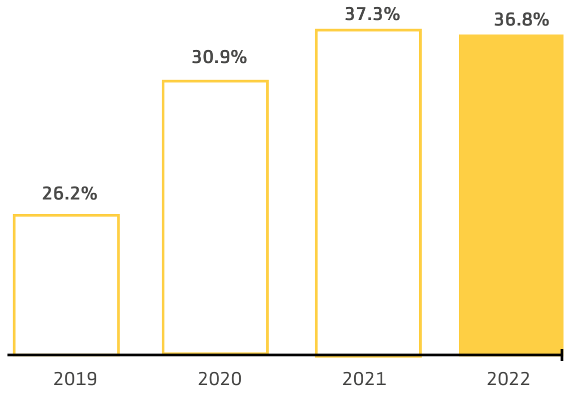
In Spain, the degree of satisfaction with Central Services continued to increase. The Net Satisfaction Score (NSS) was 54.14% in 2022 (+10.5% compared to 2021).

The overall satisfaction level at Bankinter Portugal was 36.8%. The main actions focused on: improving the communication process between and within areas, increasing closeness with people, simplifying internal processes, and finding the best digital solutions with the greatest efficiency.

Internal quality, Spain (cumulative data)



Internal quality, Portugal (cumulative data)



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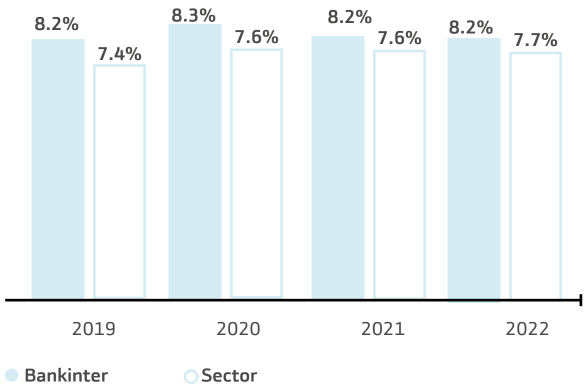
Branch Network

Bankinter remained one of the leading entities in Spain for the objective quality of its commercial banking networks in 2022, according to the EQUOS RCB-2022 study, which was carried out by an independent company using the mystery shopping technique (pseudo-purchases).

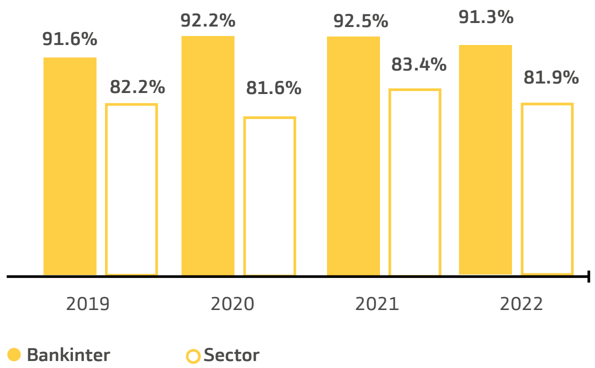
Bankinter was outstanding in numerous aspects, such as customer service, speed of service, product explanations, and in the time dedicated to giving explanations to customers.

Bankinter Portugal scored much higher than the sector average, retaining its leadership of the 14 banks analysed.

Objective quality, commercial network Spain (cumulative data)



NPS Bankinter Portugal (cumulative data)



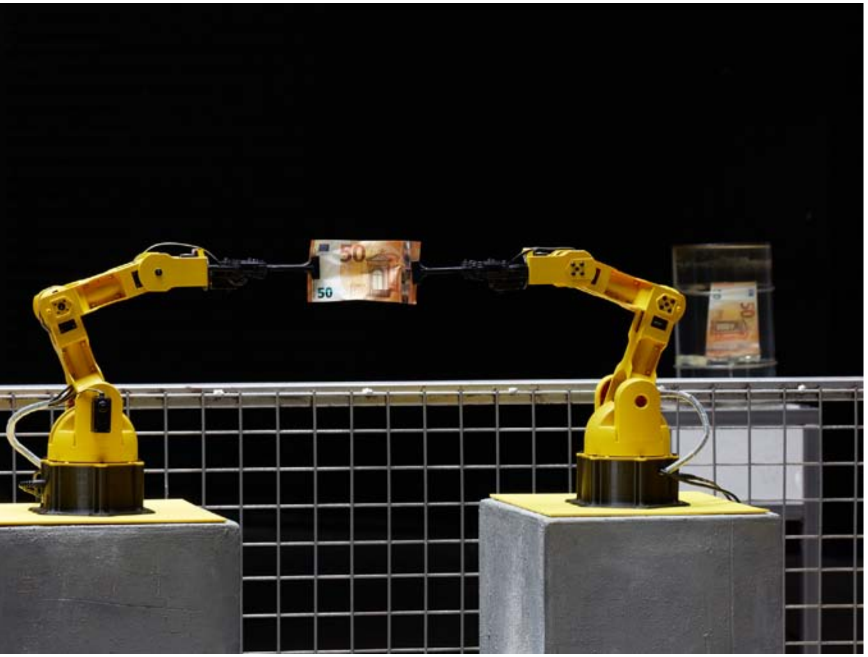
Marketing

New campaigns and actions of to strengthen the brand

In 2022 Bankinter developed new advertising campaigns, held face-to-face and online events with customers, prepared commercial support material for the launch of new products or services and provided innovative online tools for understanding customers' digital behaviour. In addition, the digitisation of all branch commercial brochures was completed, helping reduce our carbon footprint and facilitating the achievement of the Bank's commercial objectives.

These are the main campaigns carried out throughout the year:

- Advertising campaign to follow up on brand positioning; 'The bank that sees money the way you do'. The campaign further strengthens the objective of attracting new customers through Bankinter's accounts, highlighting their profitability and commission-free features.
- Advertising campaign to reinforce Bankinter's branding as a benchmark in advising on European funds and NextGen products. The idea aims to make the audience realise the administrative difficulties in accessing grants.
- Digital and radio campaign to publicise Bankinter Broker, aimed at a potential audience with an interest in the stock market, equities and the world of finance.
- Launch of the 'Don Dinero' campaign, which gives visibility to the different measures enabled by the Bank to address the economic impact of inflation on the economy of families and companies.
- Launch of all Supply Chain Finance materials and websites, the international business solution that proposes to solve companies' supply chain payment and collection needs.



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Events strategy

In 2022, the events strategy was developed further as an opportunity to connect more closely with customers and prospects. As the most significant milestones in this area, more than 2,000 people registered during the year on the Bankinter CFO Forum, the platform for business-oriented content, and 600 people attended the live presentation of the first CFO Frontline Report, an analysis of the role of the CFO in Spain. In some areas (Wealth Management, Corporate Banking, Partner Banking, etc.), face-to-face events were also revived, combined with webinars and online seminars. In total, more than 90 customer events were held.

Moreover, in 2022 the necessary web content and materials were prepared for the promotion of Bankinter Investment, the new management company of collective investment vehicles that has been set up to allow customers of all income segments to enter into alternative investment, hitherto reserved for Wealth Management and institutional customers.

As a culmination of the work carried out, Bankinter won the Efficiency Award for the advertising trajectory of a brand, in recognition of its advertising strategy in recent years.

Corporate Communication

Improving internal experience and protecting reputation in a challenging year

Corporate Communication faced a difficult year in 2022, both from an internal and external point of view. The aftermath of the coronavirus pandemic and regulatory changes shaped the year and forced the area to undertake numerous activities towards improving employee experience and protecting the Bank's reputation, among other objectives.

Internal Communication

Bankinter's Internal Communication area had three main objectives: actively listen to Bankinter's professionals, support the return to a full face-to-face working environment and boost the intranet. Numerous actions were developed around these objectives, always with a focus on improving employee experience.

During the first half of the year, a listening survey (Speak Out 2022) was conducted with the assistance of Willis Towers Watson (WTW). For the first time, the initiative included *Avant Money*, and gathered the opinions of the Group's professionals in Spain, Portugal, Ireland and Luxembourg. In total, more than 5,500 employees were asked to participate, and the participation rate was 81%. Thousands of comments were collected, from which conclusions were drawn using artificial intelligence tools.

The year also saw a complete return to a face-to-face work environment in Central Services, with one day a week of teleworking. The Branch Network had kept its customer service open during the Covid19 pandemic, as it was considered an essential service. Internal Communication supported the gradual return to full normality, and the flexible working hours already in place at Bankinter were kept.

With regard to the intranet, work was carried out to improve the user experience and the organisation and architecture of the site, which brings together all the benefits available to employees. New business-related pages were created to facilitate the work of the Branch Network and customers' personal pages were improved with video tutorials and explanatory materials.

Across the board, Internal Communication continued to promote the 'Bankinter takes care of you' programme, an initiative that seeks to improve the physical and mental well-being of employees. Several webinars (in video format) addressed topics such as mindfulness, cancer prevention or exercise in the workplace. Employees had access to Bankinter's *Healthy* platform to use gamification to record their sporting activities in a competition between the different areas of the Bank.

Internal Communication supported the business with various key initiatives for the Bank, including 'Bankinter in family', the launch of an alternative investment manager, Bankinter Investment, and the implementation of a new Retail Banking model.

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External Communication

One of the main tasks of Bankinter's External Communications area is to manage relations with the media, conveying to them the strategic messages that define the Bank and reflect its value offer and its distinctive positioning in the market.

While the financial year 2022 was successful for the financial sector in economic and earnings terms, banks had to cope with a challenging information and reputational environment. In this context, Bankinter's External Communications area carried out a number of actions to highlight to its stakeholders not only the profitability of its business model, but also the responsibility, integrity and sustainability that go hand in hand with its strategic approach and way of doing business.

The main projects in Bankinter's strategic communication plan for 2022 include the launch, at the end of the year, of the new alternative investment manager, which will provide access to this type of investment for the Bank's retail customers, and the creation of the new Bankinter Liberty Home and Auto insurance company. Also noteworthy is the positioning achieved by the Bank as a source of information in the area of sustainability.

Bankinter's External Communications area continuously monitors all the mentions and news items about the Bank that appear in the media and on social networks, in order to obtain an overall view of the Bank's reputational positioning and its corporate image in the eyes of its various audiences.

According to the data obtained in the 2022 study, conducted by the consultancy Rebold, which analyses mentions of the Bank and compares them with those of other institutions, Bankinter achieved a higher rating than the sector average. The Bank is also the leader among its peers in percentage of positive mentions: 62% of everything published about Bankinter in offline and online media and on social media analysed is favourable to the Bank, and only 14% of this content is classified as negative.

According to the data obtained in the 2022 study, conducted by the consultancy Rebold, which analyses mentions of the Bank and compares them with those of other institutions, Bankinter achieved a higher rating than the sector average.

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Social media

Boosting established channels while exploring new spaces

Social Media leveraged all consolidated digital assets in 2022 and explored new spaces to the advantage of the Bank.

The Bankinter Blog, the Bank's financial content portal, continued to grow, with a 25.5% increase in its audience, reaching 12,669,421 visits per year, a new all-time high, doubling the figure achieved just three years ago.

During 2022 an effort was made to get even more out of this traffic, channelling visits to the Blog towards the Bank's more commercial pages (mortgage simulators, retirement simulators, home purchase simulators, etc.). The transfer increases the likelihood that a person who enters Bankinter's website via the Blog will end up taking out a product, whether or not they are a customer.

This way, the Blog, in addition to being an important communication tool, continues to add potential business, beyond how it has traditionally done so (through advertising banners or providing data to CRM and Digital Marketing).

In channels set up before 2022, the Bank continued to promote digital communication through its Youtube, Linkedin, Twitter, Facebook and Instagram profiles, where it has a large community of followers. The YouTube channel, for example, recorded a total of 28.8 million views of its videos in 2022 (164% more than the previous year).

New channels

While consolidating its older channels, Bankinter continued to innovate towards conquering emerging territories in social media. In the second quarter, a new corporate channel was launched on TikTok, the fastest growing social network of the moment, with one billion users worldwide.

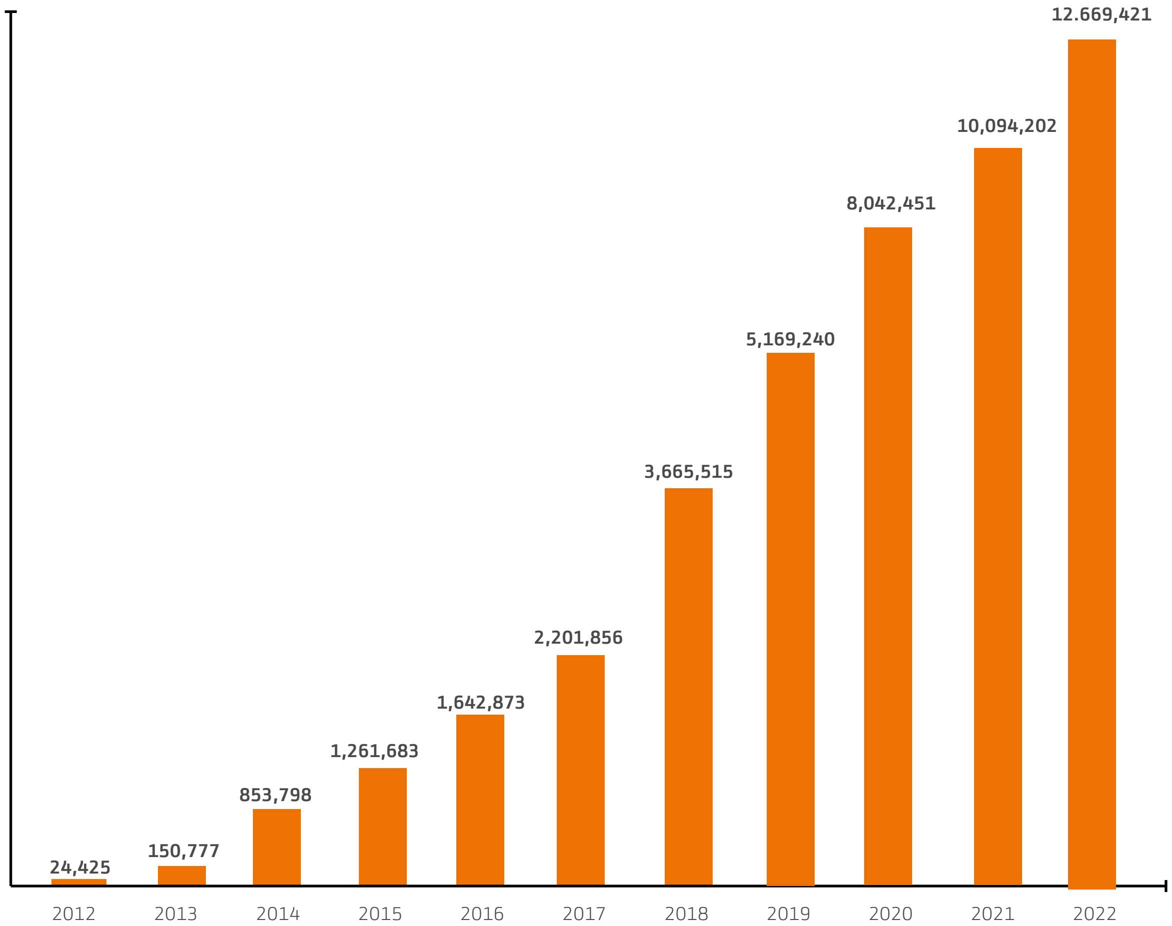
The Bank has set camp on this social network of short, dynamic videos with content in line with its philosophy of sharing knowledge related to money, in order to help its community improve their finances, save, invest and learn how to increase their financial health.

During its first months of operation, the Bank's TikTok channel gained hundreds of thousands of views and more than 15,000 followers. With this launch, Bankinter is seeking to be where its customers and potential customers are and is taking advantage of the adoption of this social network by increasingly older segments of the population to position itself in an original and entertaining way.

Another point of interest in the area of Digital Communication and Social Media was the launch of the podcast channel entitled 'Mejores con economía', a space hosted on Spotify and Ivoox, where audio content is shared with a strong focus on improving financial literacy. The bank published short spots (pills) on savings, investment, taxation and even on how to access European funds for housing associations.

The department of Digital Communication and Social Media continues to train the Bank's employees. During 2022, this activity focused on a Corporate Finance group exploring the exploitation of Social Media to gain business for Spanish companies.

Annual variation in Bankinter Blog's audience (visits)



Risk management

Integrated Annual Report 2022

bankinter.

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Risk management

Solid performance of publicly supported instruments

External links: More detailed information on these risks can be found in the Prudential Relevance Report, the Group's Consolidated Legal Report and the Annual Corporate Governance Report. In 2022 Bankinter continued to make significant progress in managing the portfolio's climate change risk. A full explanation is provided in the Non-Financial Information Statement.

2022 was marked on the positive side by the overcoming of the pandemic and on the negative side by the invasion of Ukraine. The combination of both factors resulted in a progressively uncertain economic recovery throughout the year. Activity in the first half of the year received a boost from the easing of health restrictions. This momentum then lost steam, mostly due to the impacts of the war in Ukraine, which are affecting the entire world and are likely to continue for some time.

These effects, of a structural nature, impacted energy markets and supply chains and led to lower economic growth, a resurgence of inflation and a tightening of financing conditions, the prognosis and duration of which are uncertain.

Against this backdrop, Bankinter's activity remained buoyed by lending growth, mostly in Corporate Finance and in the residential mortgage businesses, which featured the activity rolled out by the newest business units (EVO Banco in Spain and Avant Money in Ireland). As described below, the Group's loans and advances to customers grew by 8.9% and computable risk (including signature risks) by 8.9%.

As we indicated in the 2021 annual report, the deployment of initiatives throughout the pandemic resulted in an important class of public support instruments (moratoria and publicly guaranteed loans). At the end of 2021, Bankinter Group's moratoria amounted to 2.068 billion euro. Of these, 98.3% had already expired by that date, and had therefore reverted to their original amortisation schedule. Loans and advances under public guarantee schemes amounted to 6.524 billion euro. At year-end 2022, these instruments showed the following data:

Legislative and non-legislative moratoria

		Gross carrying amount, in thousands of euro			Distribution by phases		
	Number of debtors	Total	Legislative moratoria	Unexpired moratoria	1	2	3
Households		1,373,589	673,409	0	81.0%	15.6%	3.4%
Secured by residential real estate property		1,278,848	646,429	0	82.0%	15.6%	2.4%
Non-financial corporations		320,027	319,656	6,996	83.0%	14.5%	2.5%
Small- and medium-sized enterprises		271,367	270,997	6,996	80.3%	16.9%	2.7%
Secured by commercial real estate property		140,699	140,616	5,161	83.7%	15.7%	0.6%
Total loans and advances	**19,178**	**1,702,518**	**1,001,966**	**6,996**	**81.5%**	**15.3%**	**3.2%**

Newly originated loans and advances subject to public guarantee schemes in the context of the COVID-19 crisis at 31 December 2022

	Number of debtors	Gross carrying amount, in thousands of euro	1	2	3
Households		56,337	97.3%	0.0%	2.7%
Non-financial corporations		5,657,234	87.6%	8.8%	3.7%
Total loans and advances	**29,189**	**5,742,545**	**87.7%**	**8.7%**	**3.7%**

These instruments were amortised during the year with virtually no incidents, demonstrating that they were effective in mitigating in the short term the adverse economic effects of the health crisis.

A moderate and prudent profile

Bankinter maintains its risk appetite principles and levels and a prudent risk profile, the management of which is one of the central pillars of its competitive strategy. The bank has a risk management model of proven effectiveness that is in line with regulatory standards and best international practices, in proportion to the scale and complexity of its business activities.

The board of directors is ultimately responsible for risk management. It approves the Bank's strategy and, in particular, defines the risk appetite framework. The risk appetite framework is an internal governance document that defines:

- The type and levels of the risks that the Group considers reasonable to take on in performing its business strategy.
- A set of metrics and key indicators to monitor and manage risks. These cover variables such as risk levels and cost, returns, liquidity and capital. Tolerance levels and thresholds are established for each metric. If these are breached, they trigger corrective measures

The Risk Appetite Framework sets out the criteria for the Group's strategy, criteria which remain stable over the years:

Risk appetite statement. Bankinter carries out its activity with a moderate and prudent risk profile. Its objective is a balanced balance sheet and a recurrent and healthy income statement, to maximise the entity's value in the long term.

Risk management principles. The Group's appetite and tolerance for risk in its activities are subject to the following principles:

- Strategies, policies, organisation and management systems are prudent and well-suited to the size, environment and complexity of the Bank's activities, based on high-quality banking practices.
- Respect for and conformance to established regulatory requirements, limits and restrictions, and ongoing compliance with prevailing legislation. In addition, principles of anticipation to new regulatory developments are applied to reduce their potential impact.
- Maintenance of low or moderate credit risk exposure, as reflected in the lowest NPL ratio in Spain's financial system and the lowest expected losses under stress scenarios.
- Working with first-class financial institutions in every country, of recognised solvency and sufficient *rating* to limit counterparty risks.
- Appropriate hedging of problem assets.
- Adequate remuneration of invested capital. The objective is to ensure a minimal return above the risk-free rate over the cycle, to meet capital levels at all times and to operate profitably.
- Maintenance of a low level of market risk in the trading book, so that in stress scenarios the losses generated have a significantly reduced impact on the Group's income statement.

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- An ALCO portfolio comprising low-risk securities and a return commensurate with the entity's RoE requirements, designed to reduce the volatility of net interest income and adjust the impact of any changes in interest rates.

- Intense growth in the priority strategic medium and large enterprise segments, characterised by higher-quality risk and its notable contribution to earnings through the generation of income, fees and commission, and other recurring income.

- Balance in the loan book to boost profitability.

- Reduction of dependence on retail markets, supported by stable growth of retail funds.

- Diversification of sources of wholesale funding, both from the point of view of instruments and markets, and maintenance of a balanced maturity profile.

- Optimisation of the cost of retail financing, maintaining a balance between the return on the loan and market rates. The aim is stability and avoidance of an excessive concentration of maturities.

- Use of a risk diversification policy to avoid excessive concentration levels that could pose problems for the Bank.

- Contribution to the sustainable development of society, including the preservation of environmental resources.

- Limitation of business in sensitive sectors that could entail a risk for Bankinter's sustainability or have a negative impact on its reputation and/or honour.

- Moderate appetite for interest rate risk.

- Maintenance of a scaled-back structural FX position that is as close to zero as possible at all times.

- Strengthening control of the Bank's reputational positioning (e.g. good Corporate Governance, systemic risks).

- Reduced exposure to pension liability risk, through the most appropriate mitigation procedures (outsourcing, hedging instruments, diversification).

- Willingness to round out the level of services Bankinter offers its Wealth Management and Corporate Banking customers with limited-risk investment banking services.

- Optimisation of the cost-to-income ratio.

- Maximisation of shareholder value creation throughout the cycle, underpinned by a strong capital and liquidity base.

- Diversification of activity. The bank takes advantage of opportunities in companies in the financial sector that are related to or complement its main business model.

- Maintaining a Common Equity Tier 1 (CET1) ratio within the fluctuation band set by the entity, exceeding the regulatory minimum with a medium-term target of around 12%.

Credit risk

Non-performing loans fall, while underperforming exposures grow

The economic activity and the effectiveness of public aid enabled non-performing and risky balances to remain at very low levels throughout the year. The outlook for the future will depend on the scale of the economic downturn and inflationary pressures. Households, companies and public administrations face a scenario of tightening of financial conditions, although the banking sector is in a much stronger position than in previous crises. Moreover, the normalisation of interest rates bodes well for higher returns in the sector.

Bankinter has been taking steps to shore up its balance sheet and management abilities to tackle adverse scenarios, particularly in terms of early warning and recovery systems. Note 46 of the Consolidated Legal Report provides much more details on this front.

Loans and advances to customers, expressed at amortised cost, increased by 8.3% and computable risk (including signature risks) increased by 8.9%, a remarkable and prudent growth in an increasingly uncertain environment.

Underperforming exposures grew by 35.2%, mainly as a result of the reclassification of customers in the sectors most affected by the health and energy crises. Non-performing loans increased by 2.4% and the NPL ratio fell to 2.10%, a year-on-year reduction of 6%. The NPL ratio in Spain is 62% of the sector average (which is 3.77%, according to data from Banco de España published in October 2022).

Provisions for credit risk increased by 6.9% as explained at length in Note 46 in the section on the impact of the war in Ukraine in the post-pandemic context. At the end of December 2022, the foreclosed assets portfolio amounted to 123 million euro, 0.1% of total credit risk, after a 28% reduction in the year.

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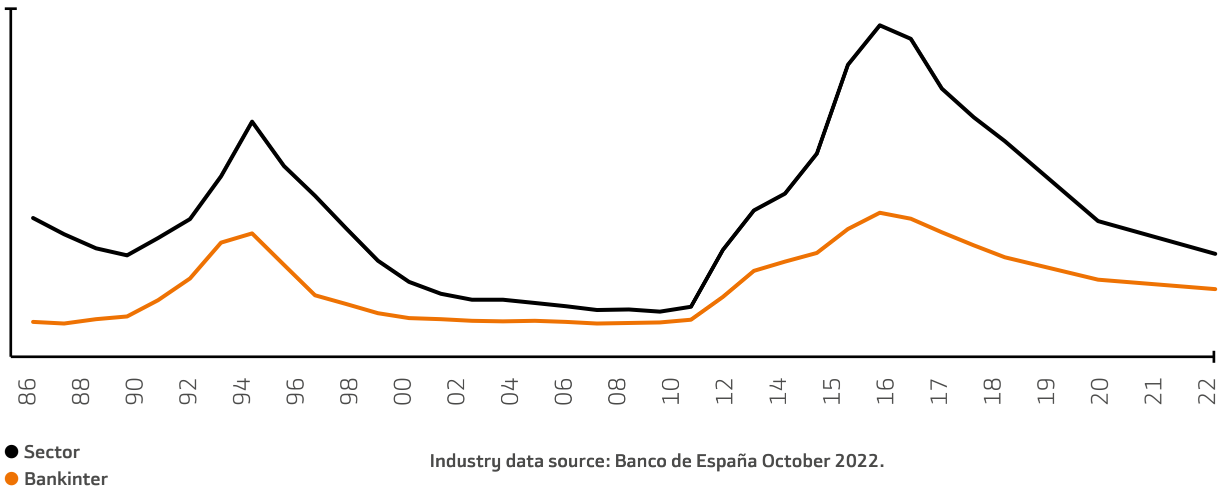
Asset quality – Credit risk

In thousands of euro	31 December 2022	31 December 2021	Change	Change (%)
Eligible exposures	**82,426,636**	**75,667,818**	**6,758,818**	**8.93%**
Stage 1 (Performing loans)	77,840,753	71,864,821	5,975,932	8.32%
Stage 2 (Underperforming exposures)	2,851,278	2,109,457	741,821	35.17%
Stage 3 (Non-performing exposures)	1,734,606	1,693,541	41,065	2.42%
Credit risk allowances and provisions	**1,150,700**	**1,076,381**	**74,319**	**6.90%**
Stage 1 (Performing loans)	175,134	203,711	-28,576	-14.03%
Stage 2 (Underperforming exposures)	108,039	102,973	5,066	4.92%
Stage 3 (Non-performing exposures)	867,527	769,698	97,829	12.71%
NPL ratio (%)	2.10%	2.24%	-0.13%	-5.97%
Non-performing loan coverage ratio (%)	66.34%	63.56%	2.78%	4.37%
Foreclosed assets	**122,865**	**170,655**	**(47,790)**	**-28.00%**
Provision for foreclosed assets	68,813	89,767	-20,954	-23.34%
Foreclosure coverage (%)	56.01%	52.60%	3.41%	6.47%

Changes in the NPL ratio (%) – Spain



Industry data source: Banco de España October 2022.

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Following is a description of the trend and main figures for eligible exposures in Spain arranged by internal business sectors:

Individuals In 2022, risk exposure to individuals in Spain grew by 6.8%. The portfolio at year-end stood at 33.897 billion euro, with an NPL ratio of 1.77%.

The residential mortgage portfolio of individuals recorded a loan-to-value ratio of 50%, with an 88% of these loans secured by first homes. The non-performing loan ratio was 1.4%. The average effort (measured as the proportion of income that the customer allocates to paying mortgage loan instalments) remained extremely low (23%).

Bankinter Consumer Finance contributed 2.832 billion in lendings in Spain, 26% more than the previous year, and closed the year with an NPL ratio of 7.2%. Risk-adjusted margins, and NPLs and NPL ratios remained under control and in line with typical levels for this type of business.

Corporate Finance. Credit risk in Corporate Finance grew by 9.7% to 19,684 million euros an NPL ratio of 0.57%. In 2022 Bankinter prioritised growth in this segment, as it is more resilient to adverse economic circumstances.

Small- and medium-sized enterprises. The SME segment grew by 4.7% in 2022 and the portfolio stood at 15.881 billion euro, with an NPL ratio of 5.5%.

EVO Banco. EVO Banco, which focuses its banking business on individuals, contributed an additional 2.7 billion of credit risk to the Group in Spain (45% more than in the previous year), and an NPL ratio of 0.51%.

Portugal. Portugal's loan book represented a risk of 8.634 billion euro at the end of 2022, with a growth of 13.4% and an NPL ratio of 1.31%.

Ireland. The activity in Ireland, conducted through subsidiary Avant Money Plc (part of Bankinter Consumer Finance), brought to the Group 2.258 billion in credit risk at the end of the year. Of which 1.56 billion were home mortgages and the remaining 698 million came from consumer lending. Avant Money grew by 132%, with a NPL ratio of 0.40%. The emphasis on mortgage activity gives the business a very moderate risk profile.

Individuals
€33.9
bn
+6.8%

Corporate Finance
€19.7
bn
+9.7%

SMEs
€15.9
bn
+4.7%

Portugal
€8.6
bn
+13.4%

Structural and market risks

Market conditions tighten amid inflation threat

In financial markets, the financial year 2022 was characterised by a surge in inflation and by the actions of central banks as they began to implement liquidity-tightening policies.

Structural interest rate risk

The Bank's exposure to changes in market interest rates arising from the different timing structure of maturities and repricing of global balance sheet items. Bankinter actively manages this risk with the aim of safeguarding net interest income and preserving the Bank's economic value.

The exposure of net interest income to different scenarios of interest rate changes is analysed monthly using dynamic simulation measures. With a more long-term outlook, the Bank also analyses the sensitivity of its economic value to movements in interest rates.

Net interest income exposure to interest rate changes of ±100 parallel basis points is +6.1% for rising rates and -6.2% for falling rates, both for a 12-month horizon. The sensitivity of economic value to parallel shifts of ±100 basis points was +0.9%/−2.1% of own funds at year-end 2022.

For the calculation of both measures, management assumptions are used in which negative rates are considered, with the exception of those items with a Euribor *floor*.

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Structural liquidity risk

Risk associated with the Bank's ability to meet the payment obligations it acquires and to fund its investment lending business. The Bank actively monitors liquidity and liquidity forecasts, as well the actions to be taken in both business-as-usual situations and in exceptional circumstances arising due to internal causes or market behaviours.

Liquidity risk is monitored both by tracking the evolution of the liquidity gap or liquidity plane and by looking at specific information and analyses of the balances arising from trading operations, wholesale maturities, interbank assets and liabilities and other sources of funding. These analyses are performed under business as usual conditions or simulating different scenarios of liquidity needs based on varying business conditions or market changes. Bankinter's liquidity management includes monitoring of short-term (the liquidity coverage ratio or LCR) and long-term (net stable funding ratio or NSFR) regulatory ratios.

During financial year 2022, customer funds increased by more than 2 billion euro, a growth driven by all business units. As a result, the average of retail funds continued to be considerably higher than customer lending, with the ratio of customer funds to lending standing at 102.8%. The liquidity position at the end of 2022 made it possible to keep an LCR level of 193.5%, comfortably above both internal and regulatory limits.

The NSFR (Net Stable Funding Ratio), which measures the proportion of long-term assets that are covered by stable funding, closed the year at 139.72%. The Bank's funding structure keeps a significant proportions of customer deposits and wholesale funding focused on the medium/long term.

Regarding wholesale funding, a 1 billion euro issue of covered bonds matured in August. It was partially replaced in November with a 750 million covered bond issue, which was very well received by wholesale investors. In December, 2.55 billion euro matured from the liquidity auction of the European Central Bank's TLTRO (*Targeted Long Term Refinancing Operations*) programme.

Market risk

The possibility of losses as a result of changes in the market prices of on- and off-balance sheet positions of the trading book. To measure it, Bankinter uses the historical value at risk (VaR) methodology with data for one year and a 95% confidence interval.

An asset portfolio's VaR is the estimated maximum potential loss that could be incurred for a specific time horizon with a particular confidence interval. Given the instability experience in recent years, Bankinter kept limits unchanged from the previous year.

The following table sets out the VaR values of trading positions at the close of 2022.

2022 VaR trading

In millions of euros	Last
VaR – Interest rate	0.44
VaR – Equities	1.13
VaR – Exchange rate	0.33
VaR – Volatility rate	1.26
Total VaR	**2.55**

Moreover, the VaR of the portfolio positions of the subsidiary Bankinter Luxembourg are monitored on a monthly basis using the historical simulation methodology. The VaR of this portfolio at the end of the year was 1.77 million euros.

Reputational risk

Continuous improvement of management and changes in the risk map

Reputational risk (the risk that arises when stakeholder expectations are not met) is unique in that it depends on an external assessment. As such, it originates from a wide variety of sources; it may derive from other risks (including social, economic or sectoral environment), and may end up negatively affecting current or future business relationships.

Within this sensitive frame of reference, several actions aimed at the continuous improvement of management and control processes were carried out during 2022. These include the development of a risk management manual to document identification, measurement, monitoring and control measures. The ranking criteria for the risk map were also reviewed.

Tools

The reputational risk management model is based on proactive prevention, identification and control of reputational risks to reduce the probability of their occurrence and mitigate their impact. The Bank has different tools at its disposal to achieve this objective:

- ▪ Regular measurement of the perception and expectations of its main stakeholders (internal climate, reputation and customer satisfaction surveys, analyst ratings, etc.).

- Monitoring and analysis of mentions of the entity in conventional and social media, in addition to active listening to gauge trends in the market and environment.

- Assessment of reputational risk before marketing a product, outsourcing a service or partnering with a third party.

The reputational risk map, which includes a catalogue of 33 possible events related to products and services, conduct, finances, leadership, innovation, employment aspects, sustainability and image. All of these are associated with performance and impact indicators, as well as control mechanisms.

- Crisis management protocol to preserve reputation and business continuity.

- Employee training and awareness-raising within the bank to reinforce a preventive culture.

- Reporting to the governing bodies.

Operational risk

A preventive and decentralised management model

Operational risk is linked to the possibility of incurring losses from failed internal processes, people and systems or from external events (e.g. natural disasters), including legal risks.

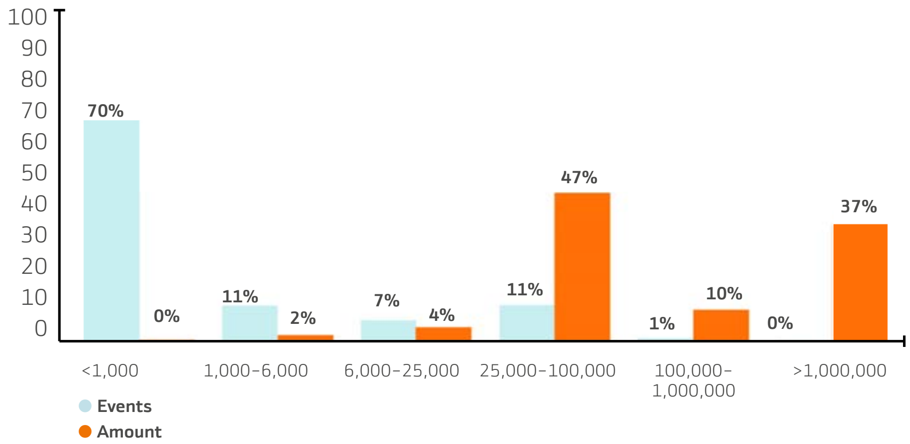
Bankinter's operational risk management model is the "standardised approach" in accordance with prevailing solvency regulations. This method requires the existence of systems for identifying, measuring and managing operational risks with pre-authorisation by Banco de España and an annual audit. Bankinter ensures access to best sector management practices by participating in the Spanish Operational Risk Consortium (Consorcio Español de Riesgo de Operacional), a forum of financial institutions for sharing experiences regarding operational risk management.

With a view to achieving an efficient system for managing operational risk, Bankinter has set forth the following basic principles of action:

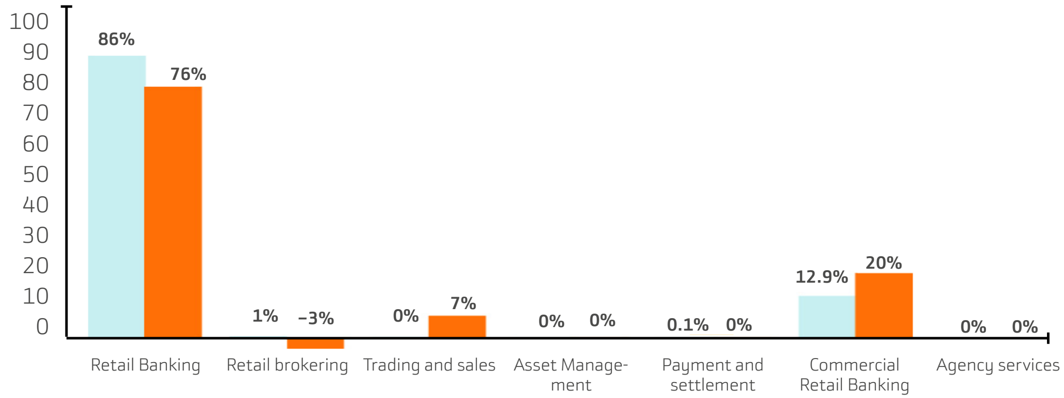
- Management focussing on preventive mitigation of major operational risks.
- Decentralised management model.
- Periodic review of the situation and degree of management of each unit.

With regard to loss events in the year, Bankinter's operational risk profile is summarised in the following charts.

Percentage breakdown by amount intervals



Percentage breakdown by line of business



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Regulatory Compliance

An ethical commitment and a cutting-edge institutional framework

The achievement of business objectives must be compatible not only with regulatory compliance, but also with the development of national and international best practices and standards. Regulatory compliance is not just a legal obligation for Bankinter, it is an ethical commitment to society.

This commitment also serves as an opportunity for reflection for Bankinter as a leading institution adapted to the new reality of the finance industry, which is subject to the need to change relationships with customers and adjust the bank's business model to reflect new financial consumption habits and multiple reporting requirements.

The growing importance of regulatory compliance has been underlined by the entry into force, as a result of the economic and financial crisis, of several highly complex regulations and the launch of a new supervisory architecture, obliging the bank to increase its resources.

The purpose of the Compliance function is to assess and provide guidelines for the lines of business that help define its strategy, ensuring compliance with applicable legislation at all times. With this in mind, all areas of the Compliance function spare no efforts in enhancing the training activities of its commercial staff.

Internal organisation

Regulatory compliance duties are integrated in Bankinter through an internal institutional framework that is structured around the Corporate Control and Compliance department, which includes the areas in charge of four units that operate as a second level of control:

1. Risk Control and Internal Validation

2. Financial Control and Analysis

3 Regulatory Compliance

4 Prevention of Money Laundering and the Financing of Terrorism

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This organisational structure allows the information systems of the second level control areas to be standardised and provides them with the necessary independence to carry out their duties, in line with best practices in this field. The work started in 2021 to implement the new risk measurement methodology for regulatory compliance and in the prevention of money laundering and the financing of terrorism was completed in 2022 and implemented as a common tool for all areas of management.

The culture of risk control is deeply rooted in the organisation and driven by the strong involvement of the board and senior management. It is transmitted to the business units with agility and efficiency through this corporate structure to ensure compliance with the rules and prevent undesired behaviour.

Basic areas

Under this regulatory and institutional framework, the bank developed the basic areas of the compliance function in 2022 through the following units:

- Control and advice on banking transparency and products, investment services, market abuse, Internal Code of Conduct and conflicts of interest. Bankinter has implemented a methodology based on the risk approach that enables the risk of default in each area of activity to be assessed in relation to the provision of investment and banking services.
- Prevention of money laundering and the financing of terrorism. In 2022, the risk management and control framework, as well as centralised monitoring, were further strengthened.
- Risk Control and Internal Validation. It is responsible for controlling credit, operational, technological, market and institutional risks.
- Financial Control and Analysis. It reviews the general framework of internal financial control and outsourced services.

The Corporate Control and Compliance division has global responsibilities and supports the Group's governing bodies. Its head acts under the supervision of the chief risk officer while reporting hierarchically to the risk and compliance committee of Bankinter's board of directors.

This organisational structure enables the Bank to adequately manage the risk of failing to comply with regulations, which also entails significant reputational risk, with a potentially adverse impact on relations with customers, markets, employees and the authorities. Non-compliance may result in sanctions, damages or cancellation of contracts, with consequent damage to the image of the Group.

In particular, the Corporate Control and Compliance division participates in the following bodies of the Group:

- The regulatory compliance committee. This is the senior management body that monitors the bank's compliance policies according to the charter of the Regulatory Compliance function. The committee executes the policies in relation to the regulatory and regulatory compliance matters established by the board of directors' risk and compliance committee.
- The products and operational risk committee. This committee approves the launch, modification, monitoring and cancellation of products and services offered to customers. It is the body to which information on the entity's operating and operational risk is reported. In 2022, the review of the current portfolio of products and services offered to customers was completed, ensuring that they have sufficient guarantees of quality and control and that the target audience is the right one. In addition, the new methodology for monitoring products and services throughout their life cycle was approved.
- Body for internal control. This body is responsible for establishing and ensuring compliance with policies and procedures for preventing money laundering and the financing of terrorism, in accordance with Law 10/2010 and other applicable regulations, which constitute Bankinter Group's prevention framework. This body is required to understand the Group's risks in this area and to ensure that the necessary measures are taken to mitigate them.

In addition, in support of the board's supervisory duties, other specialised committees have been set up by senior management and in which the Corporate Compliance and Control division participates to ensure effective and homogeneous risk management, such as the crime prevention and professional ethics committee. It is also involved in the corporate risk map monitoring committee, the credit risk models committee, the data management operations committee, the coordination of technological risks committee, the information security and business continuity committee, and the outsourcing committee.

Early detection of changes

Bankinter Group has assigned the competencies of identifying and reporting regulatory changes to the Regulatory area, which reports to the Office of the General Secretary. The Regulatory area facilitates early detection of the potential impacts of regulatory changes, reducing their risks. Every year it prepares a three-year regulatory map that serves as the basis for the regulatory strategy.

In 2022, a cross-cutting regulatory change management was carried out, with particular focus on the various regulatory projects that required the adaptation of the Group's activities or processes. These include the regulations derived from the EU's legislative package on sustainable finance.; the new regulation on covered bonds derived from Royal Decree-Law 24/2021; and the reporting obligations derived from Banco de España's Circular 4/2021 on model reserved statements relating to market conduct, transparency and customer protection, and on the register of complaints.

The implications of the termination or loss of representativeness of certain LIBOR terms and currencies was another priority. The Regulatory area advised on the adaptation work that was required, and on the analysis and decisions to be taken in order to mitigate its impact and carry out an orderly transition.

The entry into force of consumer protection regulations, such as those introduced by Law 4/2022, on the protection of consumers and users in situations of social and economic vulnerability, required certain adaptations that enhance customer protection.

Other significant regulatory changes included the Central Securities Depositories Regulation, in particular on the securities settlement discipline regime, and the amendment of the Packaged Retail Investment Products (PRIIPs) Regulation.

Sustainability and retail loans in 2023

In 2023, numerous regulations are expected to be developed, at European and national level, which require special attention and monitoring:

- The EU's legislative package on sustainable finance. Level 2 implementations of the regulatory developments of the Disclosure Regulation and the Taxonomy Regulation will be initiated. In addition, the European green bond regulation and the directive on corporate sustainability due diligence are expected by the end of the year. Bankinter Group fully supports this legislative package, which will strengthen the resilience of the European financial sector.

- Bankinter Group fully supports this legislative package, which will strengthen the resilience of the European financial sector. It aims to ensure that citizens can invest with confidence and security, to increase their participation in the process and to improve market performance.

- The EC's legislative proposal on access to financial data (securities accounts, pension schemes, deposits and other use cases). The EU regulation on instant payments and the EC's proposal on the revision of the PSD2 payments directive, which will include provisions on fraud, possible entry of new players and privacy and consumer protection, are also expected to be adopted.

- The review of the Consumer Credit Directive will be completed in the first part of the year, and the proposal on the Mortgage Credit Directive will be considered.

- Other regulatory requirements to be taken into account in 2023 include the recently published Regulation 2022/2554 on the Digital Operational Resilience of the Financial Sector (DORA), which has a major impact on the sector; Directive 2022/2555 on measures to ensure a high common level of cybersecurity (NIS2); and Directive 2022/2557 on the resilience of critical entities.

- Proposed regulations on markets in crypto-assets and on artificial intelligence and results of the implementation of the Pilot Regime Regulation on market infrastructures based on distributed ledger technology (DLT).

- The various developments in the EU package on the prevention of money laundering and the financing of terrorism, with the creation of the new European authority, the amendments to the regulation on data to accompany transfers of funds, and the regulation on the fight against money laundering and the financing of terrorism containing directly applicable rules, as well as the sixth directive on the subject.

- At the national level, it is foreseeable that the law transposing Directive 2019/882 on accessibility requirements for products and services and the royal decree regulating the basic conditions for accessibility and non-discrimination of persons with disabilities for access to and use of goods and services available to the public will be passed. Further developments are also expected on the future law on customer service and on the creation of the Independent Administrative Authority for the Financial Customer Ombudsman, whose parliamentary procedure started at the end of 2022.

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Digital Security

Consolidating management of potential incidents

Digital security is one of the priorities at Bankinter. The projects agreed within the Digital Security Management Plan were carried out in 2022 to honor this commitment. The objective is to guarantee high levels of confidentiality, integrity and availability for customers, employees, shareholders and suppliers.

In its first year of operation, the master plan made important contributions, such as the consolidation of the new incident response and continuity management, in which reporting models, escalation, role plays and advanced simulation exercises were managed and developed. The new management was added to those implemented in 2018: technological risks, cybersecurity and security monitoring, and electronic fraud prevention.

On the basis of this new reinforced structure, Bankinter undertook a set of projects with a higher level of maturity and whose main focus was on the vectors of greatest threat. The use of the NIST CyberSecurity Framework, a critical infrastructure protection framework, makes it possible to measure the maturity level of compensating controls and minimise the risk to the Bank.

Supplier review

Not only is it necessary to protect the entity's assets; it is also necessary to ensure security within the supply chain to guarantee the proper functioning of business processes. In this regard, a process based on the requirements of the European Banking Authority (EBA) for the review of providers was generated in 2022. In addition, BSI's certifications in Security Management (ISO 27001) and Business Continuity (ISO 22301) were renewed in 2022, providing external assurance in project implementation and process development.

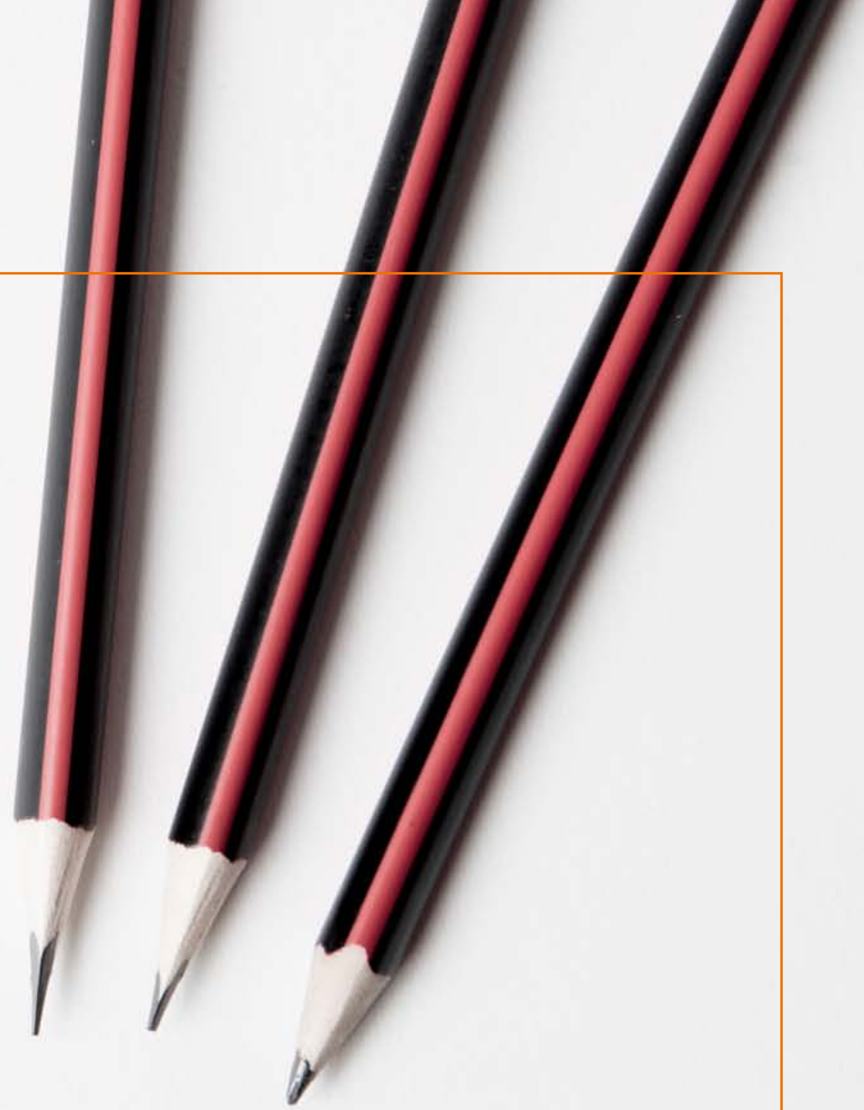
The activity of the area also included the development of awareness plans for users, who are the weakest link in the security chain. The bank provides online training programmes for employees and carries out simulations to obtain confidential information (passwords, personal details, etc.) using techniques such as emails, text messages (smishing) and telephone calls (vishing).

The awareness-raising exercise includes external staff. In 2022, baiting (USB) and hacking (social engineering with QR codes) exercises were carried out. In addition, special emphasis was placed on customer focus, including campaigns with videos, manuals, news and safety instruction sheets.

The growing importance of digital security reflects the rapid expansion of cybercrime, the activities of which have evolved and become much more dangerous. Financial institutions are particularly exposed to this kind of manipulation and fraud as a result of their continuous contact with the public and the nature of their business, part of which involves payment systems.

Innovation

Integrated Annual Report 2022



bankinter.

Digital Banking

Improved channels and greater operational efficiency and quality of service

The Digital Banking area continued to make progress during 2022 in meeting its strategic objectives, which are summarised in strengthening digital channels, developing business capabilities, improving operational efficiency and increasing the Bank's technological competitiveness.

The idea behind these objectives is that the quality of the service provided to customers should be increasingly high, meeting and even anticipating their financial needs, by means of one of the levers that have historically driven Bankinter: innovation.

Developments in digital customer communication channels

At the beginning of the year Bankinter published its new app for individuals, developed with native technology and incorporating the capabilities most in demand by customers. During the year, new capabilities have been added, such as the categorisation of movements developed with big data analysis tools, and work has been done on optimising details to achieve an NPS rating from customers of ~15 points above the previous app's rating.

Along with the launch of the new app for individuals, Bankinter has redesigned the website for this segment with complete changes to the global position areas and the savings and investment pages.

In the Corporate area, we have also completely revamped the app and incorporated numerous digital capabilities into the new website.

Developing efficient business capabilities and processes through digitisation

The extension of digital capabilities to our processes means a significant improvement in efficiency and convenience for customers in their relationship with the Bank and in the management of their financial services. Some examples of processes redesigned in this way are the application and delivery of guarantees via the Corporate website, the remote signing of new types of contracts for products and services for individuals and companies, the updating of procedures via the website and the app, and the extension of aggregation capabilities to investment funds.

In a concrete example, the new digital customer relationship capabilities built into the omni-channel mortgage process enable customers to interact with the Bank via the web, at their convenience, to exchange data and documentation, monitor their transaction or sign documents. During the year, customer adoption of these capabilities in mortgages signed exceeded 70% of cases.

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Bankinter Innovation Foundation

Twenty years working ahead of the future

The Bankinter Innovation Foundation has been working for 20 years in transforming society through innovation. In line with Bankinter's aims, we support a community of innovators in four key areas:

- Knowledge, brought by a *think tank* of experts from the Future Trends Forum (FTT), anticipating innovation trends.
- Entrepreneurship, accompanying entrepreneurs through the Venture Capital, Scaleup Spain Network and Startup Observatory programmes.
- Education, bringing innovation to students at Spanish universities through the Akademia programme.
- Companies, promoting the Cre100do Foundation, whose mission is to help excellent companies grow.

In 2022 new activities were launched to spread awareness of our community, but also to bring innovation closer to the general public through online events and social media.

The launch of Megatrends, an annual report that lists the ten trends that will drive and lead innovation in the world during the year, and the creation of Innoverse, a podcast in which experts in different areas, from nanovaccines to mobility or neuroeducation, share their knowledge and outlook on the impact of these technologies on society.

In addition, the Akademia programme participated in the creation of the Shakers programme, which the Bankinter Corporate University implements together with the Foundation to train and develop the skills, methodologies and techniques of innovation of the Bank's employees. A pilot experience of Akademia Professional Training was also carried out, through the development of the programme for 25 vocational training students in Valencia, who learned in 10 sessions how to develop an artificial intelligence algorithm.

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The Scaleup Spain Network programme, which combines the efforts of the Bankinter Innovation Foundation, Wayra and Endeavor to support scaleups (startups with a proven business and in the growth phase), held an in-person bootcamp (intensive training) for the first time in 2022, after previous editions were affected by the pandemic. Assistants included the founders of the participant companies. The initiative is a further step in boosting these companies through the transmission of learning from startups that are becoming scaleups.

The Cre100do Foundation, which aims to promote Spanish middle market companies, added 10 new companies to the programme. The Foundation helps them grow by disseminating high-impact business concepts and practices and by promoting networking and collaboration among them.

Board of trustees

Our board of trustees brings together 24 of the most innovative minds in the international business world, leading entrepreneurs and representatives of the public and academic sectors.

The board's latest addition is Scott Simon, who joined the foundation's board of trustees in 2022. He is one of the most admired communicators and writers in the US. He is the host of NPR national radio's Weekend Edition Saturday and one of the hosts of the podcast Up First. His extensive experience in the world of communication has made him one of the most important communicators in his country today.

Future Trends Forum

True to the Foundation's motto - 'Ahead of the future' - the Future Trends Forum (FTF) think tank focuses on analysing and anticipating trends in innovation. It comprises 715 experts from around the world trying to find answers to the challenges of the future. The experts' conclusions and recommendations are shared with the general public through reports in both web and pdf format and through face-to-face and online events open to the public.

The Future Trends Forum in 2022 addressed two hot topics: the path to decarbonisation and the computing revolution, with a focus on quantum computing and advanced artificial intelligence:

Building a Net Zero world

In June 2022, the foundation brought together the think tank's team to look at the challenge of reaching a Net Zero world by 2050. To this end, more than 40 experts at the Future Trends Forum examined the most promising technologies and innovations to solve specific challenges, showcasing the key ideas that will accelerate the path to such a world.

The report Building a Net Zero world is available on the foundation's website.

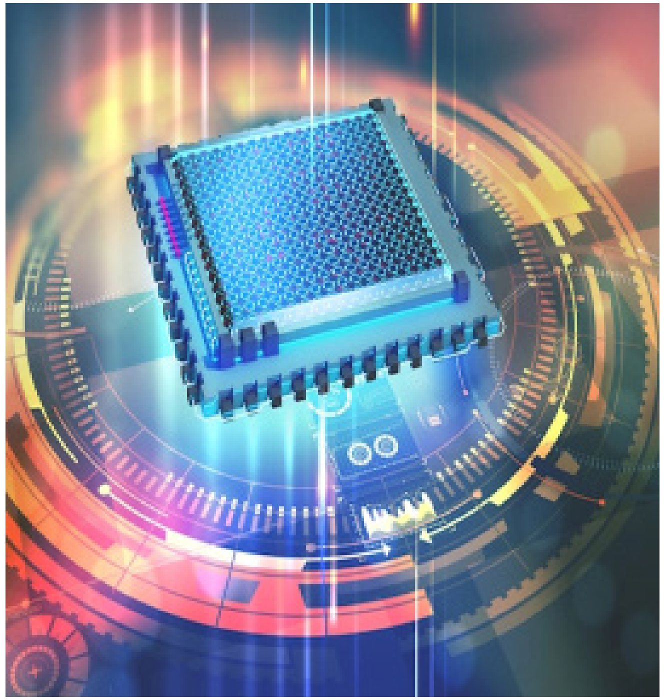
External links

Building a Net Zero world

The silent revolution of AI and quantum computing

The second forum of the year featured two technologies that promise to revolutionise the digital environment: on the one hand, generative artificial intelligence (AI), which we can already find in text or image generators, or in other less well known areas, such as improvements in medical research associated with this technology; and on the other hand, the quantum computing revolution, which could take computation to a new level, enabling information processing capabilities unimaginable in classical (binary) computing. During the forum, discussions revolved around not only the technological possibilities of AI and quantum computing, but also their different applications, business solutions and the associated ethical and security dilemmas.

In 2022, Frances Sellers, a senior journalist at the Washington Post, joined the think tank's forums as leader and moderator.



The report 'The silent revolution of quantum computing and AI' will be available on the foundation's website early 2023.

A total of five online events related to the first forum of the year were held throughout 2022:

- 'A new cold war in a warming climate', with Bill McKibben.
- 'Bringing the inhabitants of Planet Earth closer', with Katharine Hayhole.
- 'Energy in a Net Zero world' with Marcelino Oreja and Alejandro Micó.
- 'Challenges towards a NetZero world' with Rosa Sanz and Nieves Cifuentes.
- ""#FutureTalks: Global energy in 2022 with Vaclav Smil

During 2022, the foundation continued to promote the Future Talks initiative, created in 2021, with online events informing the community on the most disruptive trends that are already happening today and that will change the future.

The foundation held 12 online events, covering topics such as artificial intelligence, energy, innovation in business or space research, which were followed by 19,591 people and achieved an NPS (satisfaction rating) of 90 out of 100, a great success in terms of the quality of the content.

In short, all these online and face-to-face events made it possible to share the think tank's expertise with the general public.

External links

A new cold war in a warming climate

Bringing the inhabitants of planet earth closer

Building a Net Zero world

Challenges towards a Net Zero world

""#FutureTalks: Global energy in 2022 with Vaclav Smil

Startups

The Bankinter Innovation Foundation supports innovative startups, both in their growth and financing phases, through the Venture Capital programme, and by promoting their scalability through the Scaleup Spain Network initiative. The foundation also runs the Startup Observatory, a reference in investment information on startups in Spain.

Venture Capital

The Foundation runs a joint programme with Bankinter's Venture Capital area that invests in technology start-ups in the early stages of development.

Since the programme was launched in 2013, it has invested in 47 start-ups and has supported entrepreneurs, offering them tools and expertise to help them continue developing their business.

In 2022, four new companies joined the Venture Capital programme portfolio:

- Wenalyze: data analysis platform focused on optimising processes for companies in the financial and insurance sectors.
- IMA: pioneering pharmaceutical delivery service.
- INDYA: intelligent platform on nutritional planning for athletes.
- Networkme: a platform that helps young people discover what careers to pursue, and also helps companies recruit young talent.

Startup Observatory

The Startup Observatory offers a free, real-time digital tool on the investment status of startups in Spain. It is interactive and is updated weekly with all investment transactions that have been made public.

In addition, the initiative produces regular reports on the most relevant trends in the startup ecosystem in Spain, including the sectors that attract the most capital, the startups that have attracted the most investment and the most active national and international investors, among others.

During 2022, the Startup Observatory recorded a total of 422 deals worth a total investment volume of more than 3.4 billion euro. Although the number of deals remained stable compared to the previous year, there was a significant drop in investment volume of 20%, mainly due to an investment drop in mega-rounds (financing rounds above 50 million euro), from almost 3 billion euro in 2021 to around 2 billion in 2022, and a reduction in foreign investment in the Spanish ecosystem, which contracted by 41% (in rounds participated only by foreign funds).

Scaleup Spain Network

In 2021, the Bankinter Innovation Foundation, Wayra and Endeavour launched the Scaleup Spain Network initiative with the aim of helping selected startups in their maturation and transformation process by identifying challenges they will encounter along the way, assisting in the development of their founders and management teams, and creating a collaborative network among them to establish links, share their experiences and learn together.

This is a programme of workshops where case studies and best practices are shared by ecosystem experts and founders with experience in the transition from startup to scaleup. The programme launched its third edition with an in-person bootcamp in September 2022, two days of networking and learning highly valued by the participating founders.

Scaleup SN already has 37 startups, after BooBoo, EasyVirtualFair, Fleksy by ThingThing, IMA Contigo, Criptan, Haddock, IF Last Mile, Vitaance, Wenalyze, Smowltech, Grapghext, INDYA and Twenix all joined the third edition.

Events with entrepreneurs

Seeking to raise awareness and promote entrepreneurship, the 'Coffee with Entrepreneurs' events host experts from the Spanish entrepreneurial ecosystem so they can share their experiences and explain the obstacles and challenges they have faced throughout their business adventures. A new webinar (video webinar) was launched for the first time in 2022 to discuss with investors the state of the entrepreneurial ecosystem in the current times of uncertainty.

These meetings are held online in webinar format and are open to the public. In 2022, 5 events were held with a total audience of 439 spectators and an NPS of 60. Invited speakers included Ricardo Domenech and David Pérez, founders of Mondo; Clara Fernández and Juan Cartagena, founders of Rosita Longevity; Javi Guerrero and Carlos Laserna, founders of INDYA; and Carlos Albo, co-founder of Wenalyze.

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Akademia

Akademia is an initiative that was created 14 years ago with the aim of fostering innovative talent in universities. Through different sessions spanning a four-month period and in an online format, students from different degrees and universities get the opportunity to experience innovative problem solving, working in multidisciplinary groups and weaving contacts between them and Akademia experts.

The latter are professionals and entrepreneurs who debate with students on trends that are changing the world and encourage critical and innovative thinking. Akademia's faculty is made up of more than 60 professionals, members of the FTF, managers of Cre100do companies, entrepreneurs, investors and teachers, all of them related to innovation.

The universities with which the program collaborates are: Santiago de Compostela University, Comillas Pontifical University, University of Barcelona, Polytechnic University of Valencia, University of Salamanca, Carlos III University of Madrid, Loyola Andalucía University, Institute of Stock Market Studies, Pompeu Fabra University, University of Deusto, University of Murcia and University of Navarra.

During 2022, Akademia was taught remotely at 12 universities in 3 calls with different schedules and combining students from all universities and all disciplines. The total number of learners was 141, with an average NPS of 73: what is innovation, the energy challenge, the future of telecommunications, the value of big data, how artificial intelligence algorithms are developed, and - new in the latest edition - quantum computing.

Students are also asked to develop a case study (building an AI algorithm that solves a real business problem) that promotes the practical application of artificial intelligence.

In addition to the online sessions, in 2022 there were face-to-face sessions in which students were able to visit centres of interest related to innovation and new technologies, such as the Galician Supercomputing Centre (CESGA) or the Institute of Information and Technological Communications of Valencia (ITACA).

Another initiative from Akademia in 2022 was on vocational education and training. A programme was developed for 25 students from the Valencia through a 10-session course, in which they were taught how to design an artificial intelligence algorithm. After the successful completion of the programme, the students highlighted the interest and motivation of the collaborating experts and the possibilities for practical application in their sectors of what they had learned. 100% of students recommended the program.

The Shakers programme was launched In 2022 in conjunction with Bankinter Corporate University, part of the Bank's People area. The programme, where Bankinter employees take part in events similar to those of Akademia, aims to promote a mentality of innovation in the Bank.

Cre100do

Medium-sized companies are a key segment for the Spanish economy and it is essential to support them so that they continue to grow beyond our borders. For this reason, in 2013 the Cre100do programme was designed, launched by the Bankinter Innovation Foundation together with ICEX and the Círculo de Empresarios. In 2019, embarking on new journey, it became the Cre100do Foundation. At the Bankinter Innovation Foundation, we support the Cre100do Foundation as patrons and continue to promote its activities.

This foundation promotes business excellence by bringing together the most outstanding and innovative companies in the Spanish middle market in order to stimulate their growth, foster cooperation, boost the Spanish economy and generate a positive impact on society.

To drive business excellence, Cre100do promotes the necessary values and learning, including best management practices, encouraging the adoption of new technologies, and supporting social and environmental responsibility.

The Cre100do Foundation is already working with 135 innovative companies setting an example for others as they develop into large companies. AENOR welcomed the companies Comansa, Danosa, Etnia Barcelona, Grupo Alacant, Meléndez, Mirat, Perfume's Club, Prosur and SP Group to the programme in 2022.

Corporate Governance

Integrated Annual Report 2022

bankinter.

Corporate Governance

Best practices in independence and equality

Bankinter has a strong commitment to sustainability; i.e., responsible performance in all its areas of operations. This implies a robust Corporate Governance model underpinned by a board with the right size and composition to ensure diversity and effectiveness; sound internal decision-making processes; and a clear corporate structure, with well-defined lines of responsibility to guarantee that risks are properly identified, assessed and managed.

Under the board's leadership and oversight, this model helps achieve the core objective of long-term value creation for all stakeholders: shareholders, customers, employees and society in general.

Some of the new features and improvements implemented during the 2022 financial year are described below.

Changes in governing bodies

Law 5/2021 of 12 April establishes that directors of listed companies must necessarily be natural persons. The first transitional provision of the aforementioned law established its applicability to appointments, including renewals, taking place from the month following its publication in the BOE (official state gazette), i.e. 13 May 2021.

The expiry of the term of office of Cartival S.A., a proprietary director of Bankinter, in 2022, led to the application of the aforementioned legal provision. Consequently, Alfonso Botín-Sanz de Sautuola y Naveda, who until then represented Cartival on the board of directors of Bankinter, was appointed as new proprietary director. Following the approval of his appointment by the annual general meeting held on 23 March 2022, Mr Botín-Sanz de Sautuola was appointed executive vice chairman of the board.

Director Teresa Martin-Retortillo Rubio was re-elected as external independent director by the same annual general meeting.

Accordingly, the board of directors consists of 11 directors, with the following allocation of directorships:

- Six independent external directors
- Two executive directors
- Two external proprietary directors
- One 'other external director'

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Therefore, the board of directors continues to have, on the one hand, a size favouring effectiveness, where all directors may participate and decision-making is agile and, on the other hand, a structure that reflects the existing proportion between the company's capital, represented by the proprietary directors, and the rest of the capital. Bankinter has 54.5% independent directors, which enables it to comply with national and international recommendations and best practices.

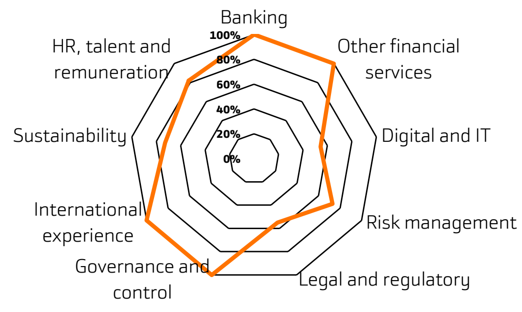
In terms of diversity and equality, the percentage of women on the board stands at 45.5%, ahead of the target set internally and above the targets set for future years by national and international recommendations and best practices. Four of the female directors are independent non-executive directors and one is an executive director and chief executive of the company.

The members of Bankinter's board of directors have, as a whole, sufficient and appropriate knowledge and experience to cover all the areas necessary for the performance of the Bank's activities. Among others, the following:

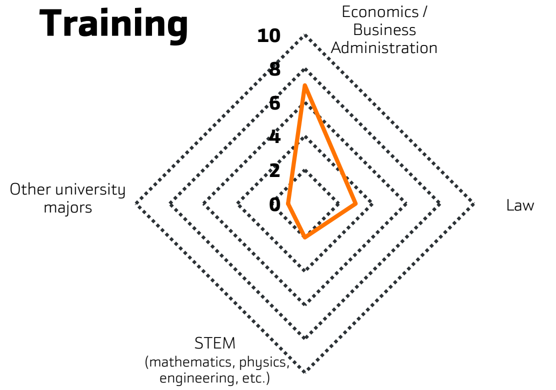
- The business and related key risks
- All significant activities
- Relevant areas of sectoral/financial expertise, including financial and capital markets, capital adequacy and models
- Accounting and financial reporting
- Risk management, compliance and internal audit
- IT and security
- Local and regional markets
- Legal and regulatory environment
- Management skills and experience
- Strategic planning capabilities

The current composition of Bankinter's board of directors thus fully meets the objectives of diversity, both in terms of knowledge and experience, national and international, and in terms of gender and age.

Experience



Training



No. of directors	Term of office	Percentage of independent directors	Percentage of women (*)
11	4 years	54.5%	45.5%

(*) One as chief executive officer and highest ranking executive of the company since 2010.

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Board committees

In the 2022 financial year, the composition of Bankinter's board committees remained unchanged, although significant changes were introduced in the distribution of their competencies.

In particular, the monitoring and supervisory role of the sustainability and appointments committee and the risk and compliance committee was strengthened, both in terms of content and frequency of reporting to them. These changes came about because of the importance for Bankinter of environmental, social and governance (ESG) criteria, as set out in its Strategic Sustainability Plan, which includes 17 strategic lines of action.

Annual general meeting

Since 2021, Bankinter has had the necessary statutory authorisation to hold meetings exclusively by electronic means, with all the necessary provisions to ensure that shareholders can attend and effectively exercise all their rights. Having this possibility gives the Bank greater flexibility, which can be very useful in situations where this format is advisable without relying on exceptional legislative measures.

However, once the pandemic situation had been overcome, in 2022 the company opted to hold the annual general meeting in a hybrid format, enabling both in-person attendance and telematic attendance, in order to facilitate general participation.

Bankinter also adheres to a policy of communication with shareholders, institutional investors and proxy advisors aimed at taking their legitimate interests into account. Therefore, they receive information on the Bank's priorities and criteria in relation to all matters related to Corporate Governance, among other aspects of management.

Coherent structure

One of the pillars of Bankinter's robust Corporate Governance system is its internal regulations, comprising the frameworks, policies and procedures governing the different areas of its corporate life and activity, in accordance with the applicable external regulations and best practices. In 2022, work continued on this regulatory pyramid, which was embodied in the Group's Corporate Governance Policy in 2021. This ensures that the internal regulations retain, at all times, a coherent and efficient structure, with clear and well-defined scopes of application and powers of proposal, approval and monitoring, with the aim of facilitating the supervisory duties of the board.

As regards relations with subsidiaries, Bankinter Group has a solid mechanism for co-ordinating its internal governance systems. In accordance with the Corporate Governance Policy, the board of directors establishes the appropriate guidelines to ensure the exchange of information necessary for the strategic coordination of the activities carried out by the different companies of the Group.

Bankinter has also made progress in adapting the internal regulations of its subsidiaries to the general policies approved for the Group. This ensures uniformity in the application of their Corporate Governance principles, while respecting the particularities arising from their respective areas of activity, their specific regulations and the principle of proportionality.

The board committees continued to carry out important duties in relation to Bankinter Group companies, both through the exercise of specific competences and through co-ordination in matters within their competence, thus contributing to maintaining transparency and simplicity in the organisation.

The committees carry out the duties within their competence for those Group companies that, not having their own committees due to their size and composition, nevertheless require supervisory work in the matters under the responsibility of the corresponding committee. This is the particular case of the duties exercised by the remuneration and sustainability and appointments committees of the parent Bankinter with respect to Bankinter Luxembourg, Bankinter Asset Management, and the companies comprising the Consumer Group, with Bankinter Consumer Finance as parent.

Assessment of the board

The board of directors carried out its annual evaluation of financial year 2022, with the assistance of an external expert, in accordance with recommendation 36 of the Good Governance Code of Listed Companies. The evaluation did not detect any deficiencies requiring an action plan approved by the board in order to be remedied, although areas for improvement were identified in an attempt to continue to ensure excellence in the functioning of the Bank's governing bodies.

Sustainability

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Sustainability

Aligned with the highest criteria of responsible management

Bankinter's sustainability strategy is embodied in the multi-year 3D Sustainability Plan, established with the aim of developing responsible management of three business dimensions (economic, social and environmental) in order to generate a triple impact in the geographical areas in which the Group operates. In 2022, the Bank passed the halfway point in the development of the Plan, meeting the objectives set out in the three dimensions, developed along 20 strategic lines.

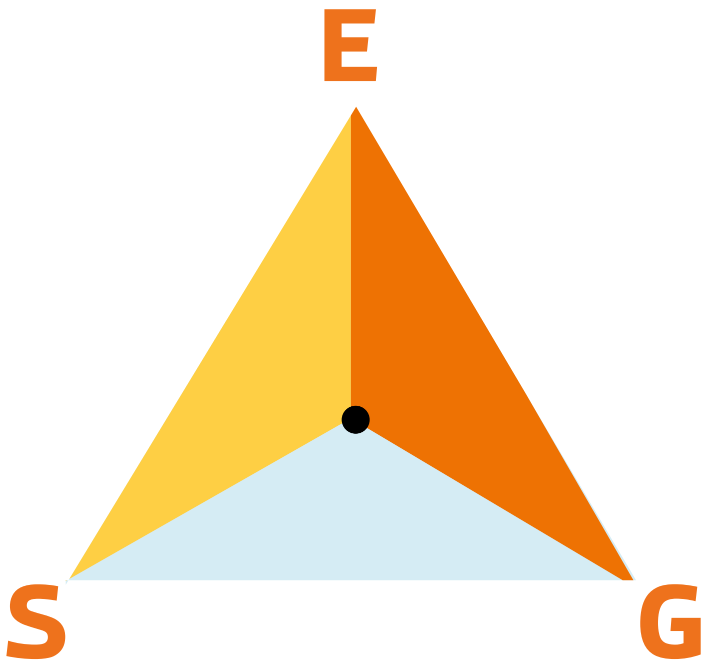
The Sustainability Policy was approved by the board of directors in March 2021 and aims to contribute, together with the rest of the Bank's internal policies, to sustainable, inclusive and healthy development, based on Bankinter's three strategic pillars: quality, Innovation and technology.

The sustainability and appointments committee is a body with the following duties:

- Review of the sustainability policy
- Strategy follow-up and performance monitoring of ESG indicators (environmental, social and governance)
- Follow-up on the dialogue with stakeholders
- Environmental, social and governance (ESG) risk assessment
- Ensuring public dissemination of non-financial information
- Diversity

The sustainability committee is the executive body responsible for ensuring the correct implementation of the plan. It is headed by Bankinter's chairman and is made up of the heads of key areas in the implementation of ESG criteria in decision-making throughout the Bank's value chain.

Climate commitment
Climate change opportunities
Climate change risks
Stakeholder engagement
Environmental footprint
Biodiversity



Financial inclusion
Human rights
Advanced employee management
Innovation Foundation
Volunteering
Citizenship

Corporate governance
Responsible business practices
Sustainable finance
Non-financial risks
Stakeholder engagement
Tax strategy
Customer-centric services
Information security

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Main milestones

The main strategic milestones achieved this year are detailed below, arranged by area.

1. Governance

The seed of what we understand today as ESG management comes from a solid foundation in Corporate Governance, recognised as excellent by analysts. Bankinter complies with 100% of the applicable recommendations of the Good Governance Code promulgated by the CNMV for listed companies.

The Bank has been integrating the social and environmental expectations of its stakeholders into its management, demonstrating its ethical, social and environmental commitments.

In order to set the principles to guide sustainability management, the Bank has drawn frameworks for action, including most notably Bankinter Group's Sustainability Policy, which serves as a framework for other policies such as those on the environment, human rights, diversity, universal accessibility and financing in sensitive sectors.

Governance is developed along eight strategic lines; the main milestones achieved in each in 2022 are described below.

Inclusion in sustainability indexes

Policy update

Extending the 3D Plan to Portugal

Increasing the volume of sustainable business

Internal Audit analysis

Extending sustainability training

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Presence in indices

The Bank's performance in environmental, social and governance matters is reflected in Bankinter's continued inclusion in the most prestigious sustainability indices, such as the Dow Jones Sustainability Index World (which recognises the Bank as one of the twenty-five most sustainable banks in the world) and the Dow Jones Sustainability Index Europe (recognises the Bank as one of the best in Europe).

The Bank is also included in other leading sustainability indices and rankings (FTSE4Good, STOXX Global ESG Leaders, MSCI or CDP) and was included in the Bloomberg Gender-Equality Index, which measures the commitment, practices and policies related to gender equality in companies. It also features in the Sustainability Yearbook 2023, prepared by the analysts S&P Global.

Bankinter is a member of the main international coalitions in the field of sustainability, such as the United Nations Environment Programme Finance Initiative (UNEP FI), and has signed up to the Principles for Responsible Banking, undertaking, among other things, the commitment to align its business strategy with the Sustainable Development Goals (SDGs) and the Paris Agreement.

In 2021, the bank joined the Net Zero Banking Alliance, sponsored by UNEPFI, with the aim of reaching net zero emissions by 2050 through the direct impact of its activity, aligning lending and investment portfolios to this end.

Policy update

In the past year, new policies such as the Environment and Climate Change Policy and the Accessibility Policy were established.

The update of the Environmental and Climate Change Policy was due to the need to adapt it to new legislation, which has been growing profusely in recent years, and to extend its scope to the management of indirect environmental aspects, i.e. the impact of the Bank's financial activity on the natural environment.

Issues on which the Bank had been working but which had not yet been included in the Accessibility Policy have now been included, issues such as digital and cognitive accessibility management and the incorporation of the elderly into the beneficiary groups of social responsibility.

New environmental criteria were also added, and some existing criteria were expanded on regarding the risk policies for the energy and extractive sectors, in particular issues regarding exposure to thermal coal-fired power generation, and to unconventional oil and gas and coal mining.

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Extending the 3D Plan to Portugal

In 2022, integration of the Bank's sustainability strategy into Bankinter Portugal was completed, adapting the 3D Plan to the nature of the country and the business in which it is involved there.

Governance

Public website (customers) – creation of a page with sustainability content

Corporate website - adaptation of content

Sector policies – updating and adaptation

Development of new products and services

Identification and definition of communication strategies with stakeholders

38 initiatives

19 global

19 local

Environmental

Integration of management of climate change risk:

- Climate rating – Commercial Retail Banking and Corporate Banking
- Calculation of the carbon footprint of the loan book

Continuous improvement in the environmental management of Bankinter buildings

Personal loans for energy efficiency

Ecological cards – Merece programme and rPVC cards

Project - Zero Paper Initiative

Membership of the Business Council for Sustainable Development

Lisbon Green Capital commitment

55 initiatives

24 global

31 local

Social

Analysis of the creation of a pilot 100%-inclusive branch

Financial education actions for young people

Encouraging the incorporation of junior talent

Creation of a volunteering manual

Increased volunteering by employees

Mental health programme

Promote identification of the needs of society – Social Awards

23 initiatives

global

local

Sustainable business

The transition to a more sustainable and inclusive economy in line with the Sustainable Development Goals offers new windows of opportunity to deliver innovative products and services that, in addition to being profitable, generate a positive impact on the community and environment.

In 2022, the Group increased the volume of its sustainable business, both private and corporate, in line with the targets set.

Individual Retail Banking

Figures in millions of euro	
Own sustainable investment funds	1,098
Third-party sustainable-investment funds	8,667
Alternative investment vehicles	858
Green financing for housing	200

Own sustainable investment funds:

Bankinter Sustainability Fund This fund invests in equities included in the main social and environmental responsibility indexes.

Energy Efficiency and Environment Fund Invests in equities of companies involved in improving the efficiency of energy use and transport, the storage of electricity, automation and the improvement of industrial productivity, reduction of the environmental impact of using fossil fuels and renewable energies

Bankinter Ethos Fund This fund promotes social and environmental issues applying financial and non-financial criteria based on an exclusion strategy consistent with principles inspired by the social doctrine of the Catholic Church, in accordance with an ethical approach defined by an ethics committee.

Pension fund managed with sustainability criteria Bankinter has just made its first premium pension plans available to all investors. These pension plans are invested globally and, like the premium investment funds, are multi-asset. A feature attracting demand from a specific type of investor is that these pension plans will comply with ESG (environmental, social and governance) criteria.

Third-party sustainable-investment funds:

The Bank offers its customers more than 3,400 internationally renowned funds that apply responsible criteria. These funds invest in companies dedicated to renewable energies, innovation and technology and to reducing the impact of climate change, or are present in the main sustainability indices.

Alternative investment vehicles:

Helia Renovables Since 2017, the bank has been working with Plenium Partners to set up the company Helia Renovables as a venture capital fund. Four funds have been created with total investment (debt plus equity) of more than 2.0 billion euros.

Ecualia Fund New alternative investment vehicle to offer Bankinter's customers investments linked to sectors that will be an essential element in making progress on the road to achieve the environmental objectives agreed at European level, such as the Net Zero initiative (to which Bankinter is committed through its membership of the Net Zero Banking Alliance, sponsored by the United Nations) or those set at national level for the decarbonisation of sectors through the Integrated National Energy and Climate Plan 2021-2030 (PNIEC).

Green financing for housing:

Efficient home mortgage Bankinter offers its customers a specific mortgage loan for purchases of new or existing homes with higher energy category certification ratings. This mortgage provides finance for properties that are highly energy efficient. The arrangement fee are waived for customers applying for this type of mortgage.

Financing for the improvement of energy efficiency The Bank signed an agreement with IESA, leading supplier of applications and technology solutions for property administrators, to launch an innovative initiative to help homeowner associations apply and access Next Generation European funds, to finance energy retrofit projects for residential buildings.

Corporates

Figures in millions of euro	
Financing linked to sustainability	1,611
Financing of renewable energy projects.	470

Financing linked to sustainability

Two types of loans are offered for sustainable financing for companies:

Green loans finance activities with a positive environmental impact, in accordance with the international 'Green loan principles', and are validated by an external body.

And loans linked to sustainability. Unlike Green loans, the sustainability criteria do not relate directly to the use of the loan funds, but to the company's overall strategy in terms of sustainable development and compliance with ESG (environmental, social and governance) criteria, which affect the pricing of the loans.

Financing of renewable energy projects

Over the course of 2022, Bankinter was involved in financing numerous renewable energy projects, including photovoltaic, wind, solar thermal and cogeneration projects.

The Bank adheres to the Equator Principles, a leading international initiative for responsible investment in the financial sector with the objective of evaluating and managing the environmental and social risks of the projects.

In the due diligence processes carried out before formalising financing agreements or of any other nature, and within the scope of the Equator Principles, Bankinter undertakes to assess environmental, social and human rights practices and to act in accordance with the criteria set out in its policies.

Extending sustainability training

In 2022 Bankinter continued to roll out its Sustainability Training Plan, which is developed through various programmes aimed at the Bank's different segments. In addition, a training course on sustainability management was launched for all staff, with the participation of the chairman and members of the management and sustainability committee.

Internal Audit

The Internal Audit area carried out a review of the information on environmental and climate change risks made public by the Bank in its various reports and concluded that the disclosure of this information complies with current regulations and is also in line with the sector's best practices.

Establishment of a frame of sustainable finance

Extension of the Sustainability Training Plan

Update of Bankinter Group's Code of Ethics

Design of the New Sustainability Plan 2024–2026

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2. Society

At Bankinter, the management of social criteria is divided into two main areas: internal social management (with employees) and external social management (with other groups in its social environment).

The Bank is strongly committed to sustaining employment and organically increased its workforce in Spain by 1,000 people between 2012-2022. This commitment is to quality employment and is manifested through the development of advanced people management programmes, such as those related to attracting and retaining talent, work-life balance, human capital development, and health and safety.

In external social management, special mention should be made of the relationship established with stakeholders such as customers, to whom Bankinter endeavours to provide a quality and accessible service in the physical, digital and cognitive realms. Also with suppliers, applying ESG criteria in the procurement process, and with NGOs and foundations through the development of social action strategies.

Financial inclusion

Bankinter continues to develop its inclusion plan 'A bank for everyone', with the aim of making the Bank more accessible, particularly taking into account the needs of people with disabilities and the elderly.

In terms of physical accessibility, the Bank works under the standards of the universal accessibility reference standard UNE 170001, which certifies that its environments are accessible to any disability, both for employees and customers. In 2022 this certification was renewed, expanding its scope to the Terrassa office in Barcelona.

Development of financial inclusion

Update of the Human Rights Map Procedure

Setting the Social Action Strategy

Developing advanced people management programmes

Main milestones

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Regarding digital accessibility, the Bank continues to work to make it a reality for all its channels, and the effort has been recognised by Ilunion, which has given its seal of approval to the Bank's mobile application, because it facilitates access and usability for all customers, regardless of whether or not they have a disability.

A signature card and a Bizum system for the visually impaired have been developed, and work has been done to make document content more accessible, as well as to make it easier to navigate within documents and read them. The Bank has also made its video and podcast content more easily accessible through the use of adapted keypad technology and financial graphics with verbalised navigation and interpretation and high-contrast colour options.

In relation to cognitive accessibility, Bankinter continues to maintain its firm commitment to disseminating basic financial knowledge through financial education programmes for different groups (children, young people and people with disabilities) and has digital platforms such as Money Town, aimed at secondary and high school students (at the end of 2022 more than 25,000 students were registered) and Game of Traders, aimed at university students (around 8,000 participants).

Human rights

The due diligence procedure on the implementation of the human rights policy approved by the group in 2018 has been updated. The update consists in an express statement of the Bank's commitment to respect human rights in accordance with all international standards followed by a breakdown of stakeholders identified as vulnerable groups.

The breakdown is in turn reflected in the human rights violation map and a principle of the sustainability policy has been identified for each possible risk category, ensuring that the policy covers all possible violations.

The Bank has implemented the processes included in the human rights risk map to attenuate possible events. These processes include creating sectoral sustainability reports with exclusionary criteria to activate when an operation or company produces a human rights violation.

People Management

Bankinter's commitment to quality employment has been recognised by Top Employer Spain, which in 2022 placed the Bank in 14th position in the ranking of companies, making it 15 consecutive years in this prestigious index, which evaluates companies that stand out for their working environment, talent acquisition, learning, well-being and diversity and inclusion, among other factors.

The Bank holds its family-friendly company (EFR) certificate, an insignia awarded by the Másfamilia Foundation to companies that have implemented actions aimed at promoting family reconciliation and equal opportunities among their employees.

As part of the initiatives to develop employee well-being, the Bank continues to run the 'Bankinter Takes Care of You' programme, which is inclusive and personalised, to train and raise awareness among employees on the importance of health care.

Bankinter has signed a collaboration agreement with SECOT (Spanish Seniors for Technical Cooperation) with the aim of guiding employees when they are close to retirement, offering them alternatives for that stage; for example, financial volunteering aimed especially at the elderly.

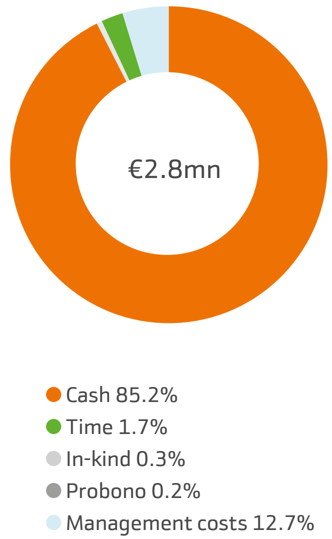
Social action

In 2022, the Bank approved a Social Action Strategy that draws the framework for the Bank's social action work. It lists the social and environmental activities on which it is centred, such as the socio-labour integration of vulnerable groups, financial integration and the preservation and protection of the environment, among others. It also states the types of contribution to be made: in cash, in kind, in time or probono (unpaid), while underlining the need to measure results in order to achieve greater efficiency in the investment that is made.

With regard to corporate volunteering, 14.10% of employees participated in a 'Mueve.te' programme. The Bank wanted to focus its team-building exercises on these social or environmental activities so that, in addition to an internal social cohesion exercise, the activity would have a positive impact on the environment.

Bankinter uses the internationally recognised LBG (London Business Group) methodology to measure, manage, evaluate and communicate the contributions, achievements and impacts of the Bank's social action. In 2022, the Group allocated more than 2.8 million euro to initiatives of social responsibility, according to calculations based on this methodology.

Social investment (LBG)



Extending physical, digital and cognitive accessibility programmes

Developing the programme 'Bankinter takes good care of you'

Increasing the percentage of staff participating in volunteer work

Developing the human rights action line

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3 Environment

The Bank's Environmental and Climate Change Policy is aimed at enhancing the positive effects that its activity may generate while minimising its negative impacts. The Sustainability area, together with the Bank's sustainability committee, is responsible for overseeing compliance with the principles of this Policy and ensuring its commitment to protecting the environment.

The environmental aspect of the 3D Plan includes several strategic lines relating to climate change, the Bank's environmental footprint and biodiversity.

Climate Change Strategy

In 2022 Bankinter approved its decarbonisation strategy, the aim of which is to achieve net zero emissions both directly - an achievement obtained in 2020 - and indirectly, in the latter case through financing to companies and individuals.

The aim is for the bank to be fully greenhouse gas neutral by 2050, with interim targets at 2030, and with a strategy that is implemented through the Bank's Risk area.

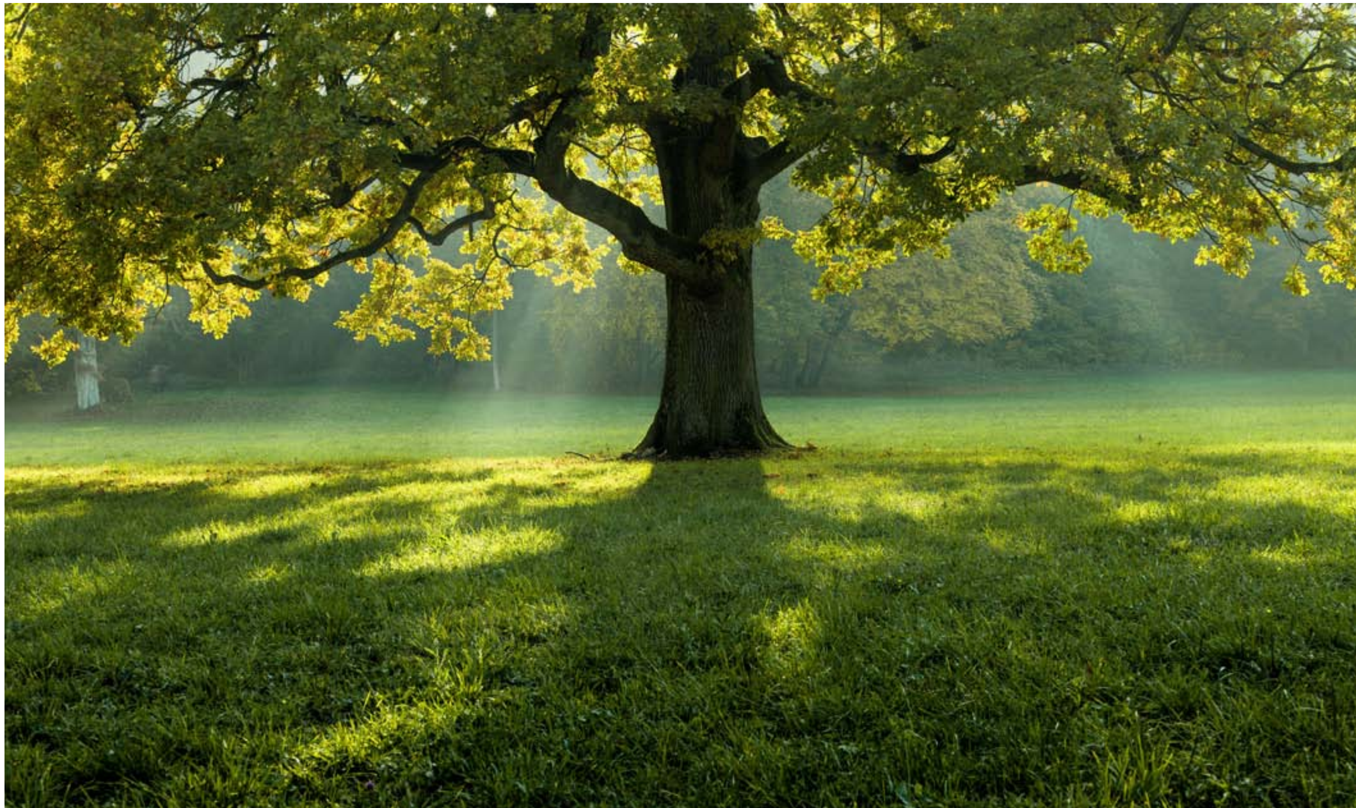
As part of the decarbonisation strategy aimed at emissions from the Corporate Banking loan book, Bankinter is following a path of progressive adaptation to the targets set towards the reduction of financed emissions, in line with the Paris Agreements and Spain's National Integrated Energy and Climate Plan (PNIEC). The indicator used as a reference is the emissions financed per million euro invested, and compliance with the targets set is monitored on a monthly basis.

Developing the Climate Change Strategy

Extending the Environmental Management System

Stakeholder involvement

Main milestones



The conclusion of this measurement exercise indicates that the Bank's starting point is better than that of the sector, as it has a corporate finance portfolio where higher emission sectors bear low weight and there is a significant presence of renewable energy projects.

Environmental Management System

In order to guarantee the continuous improvement of its impact on the environment, Bankinter has set up an Environmental Management System (EMS), certified in accordance with the UNE EN ISO 14001 standard. This is a tool used to study the impact of the organisation's activities on the environment and helps an organisation achieve its environmental objectives in a systematic and documented manner.

Currently included in this certificate are the four unique buildings the Bank owns in Madrid (Paseo de la Castellana, Tres Cantos and the two in Alcobendas), the building in Barcelona, the building in Bilbao and the so-called Sustainable Office in Madrid. In 2022 the scope of the certificate was extended to include the main branch in Valencia.

Stakeholders

The Bank seeks to support its customers, advising them and keeping them informed of new market trends and any new regulations that may affect their business. Therefore, in 2022, a completely free training was made available to small and medium-sized enterprises to provide them with all the information they need to calculate and manage their carbon footprint.

Once again this year Bankinter collaborated in and financed the environmental entrepreneurship and innovation events (the Green and Circular Weekends) held in Madrid. These are innovation meetings for the circular economy and sustainable business, where people learn how to launch new ideas, circularise existing models and come into contact with agents in the sector, organised by Enviroo.

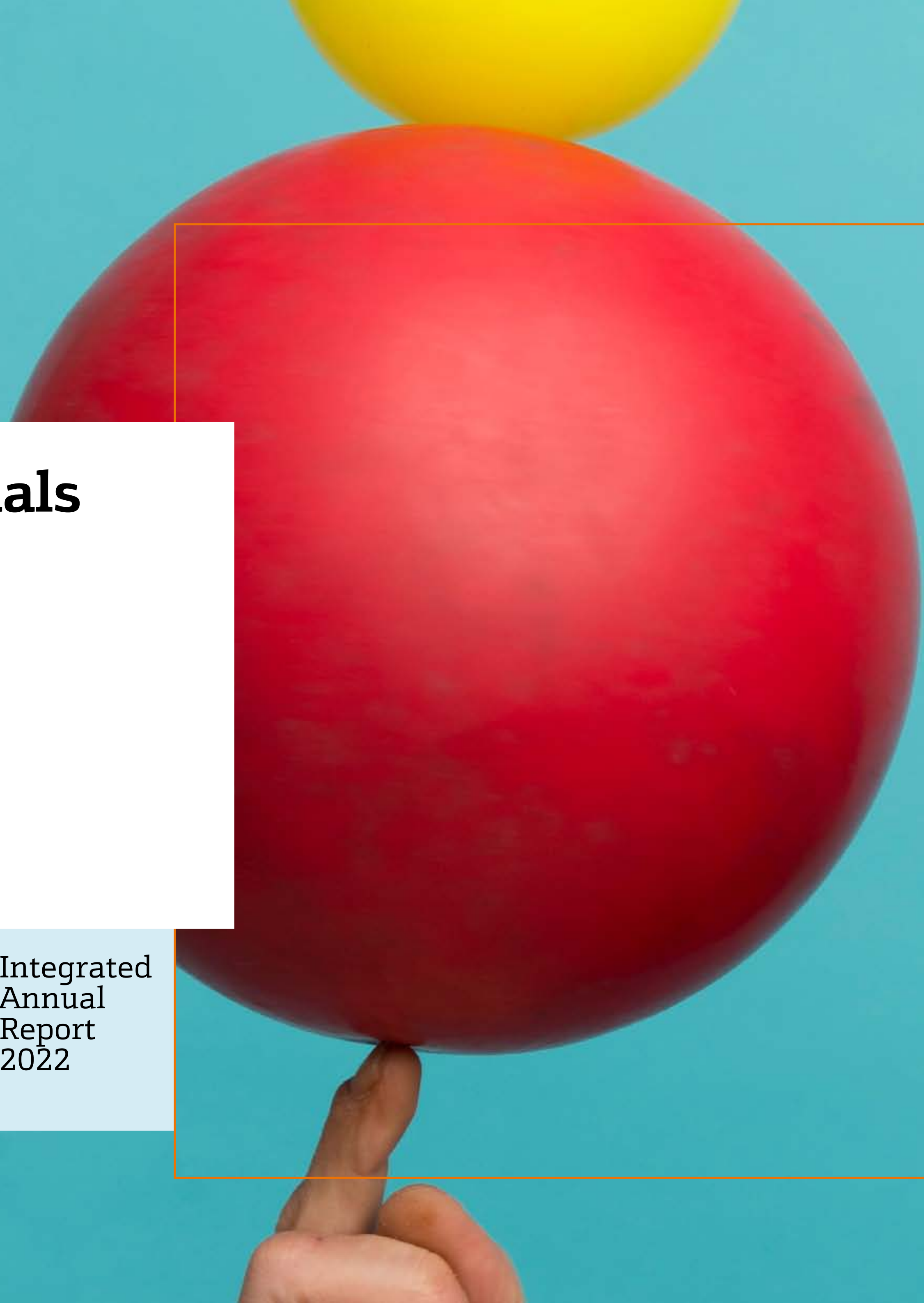
Incorporating the mortgage portfolio into the decarbonisation roadmap

Extending the Environmental Management System

Analysing new methodologies for measuring the impact on biodiversity loss

Main challenges

Individuals



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Individuals Attracting talent and growing professionally

The Strategic People Management Plan has continued to develop in response to the challenges the Bank had set for 2022. The greatest emphasis was placed on attracting and promoting young talent and STEAM talent (specialising in science and technology), on fostering the professional growth of all generations that coexist in the Bank - supported by our development culture - and on continuing to enrich the employee experience in order to meet the essential objective of maintaining and strengthening the commitment and pride of belonging in all the people who make up Bankinter.

Actions were put in place to meet the needs of the different stages of the talent life cycle within the organisation:

- Initial programmes to encourage newcomers to adapt and take their first steps in the professional world.
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- Updating and developing knowledge at all levels, both technical and skills.
- International mobility as an element to enhance the growth of people and reinforce Bankinter's culture in its different businesses and geographical areas.

Leadership and innovation received a strong boost in the year's training programmes, as well as further enhancing the digital culture, as is only fitting for an organisation as innovative and data-driven as ours.

As part of our aim to better understand people's needs, we continued to work closely with different groups to respond to their concerns and address issues of interest to all.

All of this with the aim of having the best team, committed and prepared to continue writing a success story.

ATTRACTION, DEVELOPMENT AND LOYALTY

- Young people
- STEAM Talent [1]
- Feedback Culture
- Leadership

Talent management

Digital and data culture

DATA-ORIENTED COMPANY

- Data LAB: training and recycling
- Innovation: Shakers

COMMITMENT AND PRIDE OF BELONGING

- Personal Touch
- Adapted benefit policies

Employee experience

Organisation and analytics

EFFICIENCY AND SUSTAINABILITY

- Regulatory environment
- Budget and workforce management
- Use of personal data

[1] STEAM: Science, Technology, Engineering, Arts, Mathematics

Health and safety

Developments in the pandemic made it possible to phase out many of the restrictions in Spain that had been put in place over the last two years. The measures and protocols adapted to each circumstance were adjusted, always following the guidelines of the health authorities and with the priority of guaranteeing the well-being, health and safety of employees.

Despite the fact that their use has not been mandatory in the workplace since April, face masks continued to be available to employees, along with hydroalcoholic gel dispensers. Throughout the year, the Occupational Risk Prevention area provided the necessary advice and assistance to affected employees.

In 2022 the 'Bankinter Takes Good Care of You' programme was launched, accessible to all the Group's staff. It is a pillar in our good practices model; promoting the health and well-being of employees is its cornerstone. It focuses on improving the personal conditions of our employees by addressing five essential factors: physical, emotional, social, economic and cognitive wellbeing.

The programme offers a wealth of informative and educational content related to these five pillars, including the development of a large number of activities: mindfulness, cancer prevention, communication with children... In Bankinter's Healthy app, which is widely disseminated and consolidated among employees, physical exercise, sport and improved eating habits are promoted.

As part of the regular activities of the Prevention area, we continued to promote health examinations to facilitate the early detection of pathologies, and regular environmental assessments were carried out in all workplaces, establishing the necessary preventive measures to control risks and guarantee safe and pleasant environments for the development of our professional activity.

Employee relations

In order to remain attentive to people's needs and enrich their experience in the Bank, the proximity programmes implemented in the last two years and developed by the People Management team were maintained in 2022.

The HR Business Partners held 113 sessions, which were attended by 2,761 people who shared content tailored to their interests: career plans for different segments and areas; tools and guidelines to support people managers in their role as team leaders; and self-leadership and personal development to improve teamwork skills in some areas. In addition, the support programme for new arrivals has been kept running. It includes three individual interviews during the first year to ensure the best possible integration of newcomers.

In response to the needs identified through quality surveys and analysis of the most common queries received by People Management, informative sessions open to all staff, dealing basically with issues related to compensation systems, have been held with an attendance of 857 people.

Training and talent

The 2022 strategy in this section was aimed at programme quality, support to strategic business plans, focus on certain critical groups (junior talent, STEAM talent), personalisation and improvement of the learning experience, with an important novelty: return to a face-to-face work environment from March.

Commercial Excellence School. New recruits requiring it were certified in MiFID 2 (European directive on the provision of investment services), the Real Estate Credit Contract Law and the Insurance Mediation Law), keeping with a 97% share of the total group, and updating the knowledge of those who already had the certification through continuous training programmes. We again designed tailor-made customer mentoring programmes for each segment and position, with the dual objective of meeting regulatory requirements and reinforcing employee training, and which were 99% to 100% completed.

School of Corporate Culture. Last year 371 new colleagues joined Bankinter, for whom the best possible induction plan was prepared so that they would feel integrated from day one. Given that 2022 was the year of youth at Bankinter and that young talent is a critical group, the more than 348 juniors who form part of the Bank are undergoing an 18-month training plan, which includes a core programme and another specific one for each business line.

Talent and Leadership School. 2022 was the year of leadership. An Itinerary was drawn including four key moments in a leader's career, with specific programmes for each of these moments, focusing on a more humanistic leadership. These programmes, which impacted more than 500 people managers, with training tailored to their career needs, challenges and interests, are aligned with the talent review and succession planning exercises that are undertaken every year and a half. Maximum levels of participation in the 'BKcrece' performance programme were once again achieved: 99.9% of employees had their annual appraisal meeting, 98% held their half-yearly appraisal meeting and 97.5% of people managers received rising appraisal.

Digital and Technical School. The Bdigital project grew with digital plans tailored to each business and with two clear levers of action. One of them was the optimisation of our current STEAM profiles (more than 164 people), as well as the retraining of mixed profiles, with the objective of helping them grow towards a data and analytics role moving forward, generating internal talent. The other lever is innovation, as we have the firm intention of continuing to be an innovative and different Bank, for which we have initiated a training plan to generate mindsets, develop skills and acquire innovation techniques and methodology.

Bankinter Corporate University. In order to adapt to market trends and to the needs and interests of the people who are part of the Bank, the university undertook a project to evolve towards a more digital and agile environment. Its structure was simplified into four schools, its image was changed and, above all, a new digital campus was launched, whose design and functionalities clearly improved the learning and development experience.

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Selection

2022 was a year of activity and growth, with multiple opportunities being generated for both junior and experienced talent.

Recruitment of new talent was focused on recent graduates and junior professionals at the beginning of their professional careers, who joined the Retail Banking branch network, telephone banking, or through the two 'STEAM Talent' programmes held during the year, aimed at nurturing recent graduates in science and technology towards the Bank's more analytical areas: Data Management and Analytics, CRM, Global Risk Management or Analytical Quality, among others. During 2022, 255 juniors joined the group, representing 58% of the total number of new recruits for the year; 35 of them joined through STEAM programmes.

During the year the university internship programmes aimed at both financial and STEAM profiles continued to operate. These have now been consolidated through four calls for applications published in spring and autumn, in accordance with university calendars, and have given 170 students the opportunity to have their first contact with the professional world at Bankinter, as well as providing an extraordinary pool for identifying potential juniors. A total of 33 of these students have joined the Bank after finishing their internships.

As regards expert talent, its incorporation into the Bank centred around commercial profiles for the more specialised businesses, and specifically on the technological profiles needed to continue growing the technology and digitisation projects.

The Bank continues to rely on its own talent as one of its main sources of recruitment. In 2022, the number of vacancies doubled to 156. These are published openly on the intranet, so that any employee can register and participate in a fully transparent selection process. This model of rotation through internal vacancies provides opportunities for growth and development and is open to all the companies in the Group, nationally and internationally. Eight of the offers published were for positions at Bankinter Luxembourg and three for positions at Avant Money in Ireland.

In line with the aim of providing growth and opportunities for internal talent, the first edition of 'Bankinter Mobility' was launched, a training and experiential programme aimed at facilitating the transmission of knowledge and cultural integration, reinforcing our corporate identity through the professional contacts of employees from different companies and geographical areas.

Eight of our best talents with potential took part in the programme and had the opportunity to spend a week with the teams from Bankinter Luxembourg, Bankinter Portugal, Avant Money and EVO Banco, in order to identify synergies and good practices that could be exported to the rest of the Group. This programme has a second edition in 2023, in which the format will be an exchange programme, which will also allow a group of employees from these subsidiaries to be hosted in Bankinter Spain.

Corporate benefits

Bankinter offers social benefits beyond the legal requirements that apply to all employees, including training aids for employees and their children, insurance (health, life and accident), salary advances, special terms and conditions for banking products and services, and meal subsidies depending on the schedule and type of working day.

Another benefit offered by the bank is a flexible remuneration system, whereby employees can partially swap their fixed monetary remuneration for certain goods and services (remuneration in kind), such as nursery vouchers, shares, training, pension plan contributions, travels cards and restaurant cards.

This increases employee remuneration in two ways: through the bank's bargaining power to get the best prices possible for the goods and services included in the system; and through the tax advantages offered by certain products arranged through this system. Currently 72% of employees use this flexible remuneration tool.

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Pension schemes

In long-term remuneration designed to cover certain contingencies, the Bank offers the following benefits:

- Supplementary cover additional to the benefits paid by Social Security for widowhood, orphanhood, permanent occupational disability, absolute permanent disability or severe disability. This is provided for the entire workforce.
- Cover of pension commitments for employees of record before 1 March 1980, as set out in the sector collective bargaining agreement.
- Annual contribution of 450 euros to the pension plan of all employees, pursuant to the provisions of the banking collective agreement, who have more than two years' service in the industry and whose pension commitments are not covered by any other scheme.

Bankinter is also a member of the Employee Family Plan, promoted by the Adecco Foundation. This provides a variety of types of assistance to employees with disabilities and/or family members in a similar situation so they can achieve labour market and social integration or take part in other activities, including leisure activities.

Total remuneration

Since 2018, Bankinter has had a total remuneration platform that allows employees to consult all the updated elements that form part of their pay package: fixed remuneration, variable remuneration, benefits and emotional compensation (i.e. the benefits offered by Bankinter as salary supplements for employees, to cover their personal, family and professional needs, improve their quality of life and ensure a work-life balance).

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Awards and recognition

One of the **most reputable companies**

Forbes 2022 WORLD'S BEST BANKS POWERED BY STATISTA

merco EMPRESAS Y LÍDERES

One of the most valuable Spanish brands

BranZ #30
Interbrand #22

One of the **most sustainable** banks in the world

CDP DISCLOSURE INSIGHT ACTION

merco RESPONSABILIDAD Y GOBIERNO CORPORATIVO

Member of Dow Jones Sustainability Indices Powered by the S&P Global CSA

Sustainability Award Bronze Class 2022 S&P Global

FTSE4Good

ILUNION MÓVIL ACCESIBLE

AENOR Gestión Ambiental ISO 14001

AENOR Accesibilidad Universal UNE 170001-2

Newsweek's Ranking of World's Most Socially Responsible Banks

World #7
Spain #1

One of the **best companies to work for**

top EMPLOYER ESPAÑA SPAIN 2022 CERTIFIED EXCELLENCE IN EMPLOYEE CONDITIONS

efr certificado en conciliación 1000-1 ES - 095 / 2010 / LRQA

merco TALENTO

Best companies to work for according to Actualidad Económica 2022

#6

One of the most gender-equal banks in Europe and the top one in Spain

BCG Gender Equality Index 2022

Quality **products and services**

bsi. ISO 22301 Business Continuity Management

bsi ISO/IEC 27001 Gestión de la Seguridad de la Información CERTIFIED

FUNDSPEOPLE 2022 AWARDS MEJOR RED DE BANQUEROS Y AGENTES DE BANCA PRIVADA BANKINTER

Bankinter Asset Management **Best Spanish Management Company**

Expansion Awards Allfunds European Funds Trophy

Iberian Equity Awards

Best corporate investor relations team
Best corporate strategy
Best investor relations
Best ESG programme

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Integrated
Annual
Report
2022

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Information for shareholders and investors

The Bankinter S.A. Annual Report is presented at the annual Ordinary General Shareholders' Meeting and is available to all shareholders of the Company. The information contained includes the period from 1 January 2022 to 31 December 2022, unless otherwise specified. The previous Report, referring to the year 2021, was published on February 21, 2022.

This document, coordinated by the Bank's Institutional Communication area, was prepared with information collected from the different areas of the entity through interviews, questionnaires addressed to those responsible and requests for accurate information.

The Bankinter Annual Report has followed a process of pooling, review, correction and audit.

In addition to the Annual Report, the bank publishes consolidated quarterly results in January, April, July and October. Both reports are available on the Bankinter Corporate Website.

Shareholders office

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28108 Alcobendas (Madrid)
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Investor relations

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David López Finistrosa
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Email: Investor_Relations@bankinter.com

Corporate Communication

Inés García Paine
Paseo de la Castellana, 29
28046 Madrid
Tel.91 339 83 38
Email: comunicacion@bankinter.com

Telephone Banking		
Customer assistance to Personal and Private Banking customers.	8.00 to 22.00h Monday to Saturday (except bank holidays)	91 657 88 00
Individual Retail Banking	9.00 to 18.00h Monday to Friday (except bank holidays)	
Insurance Specialists / Commercial Insurance	09.00 to 18.00h Monday to Friday (except bank holidays)	
Asset Specialists	9.00 to 18.00h Monday to Friday (except bank holidays)	
Assistance in English	9.00 to 18.00h Monday to Friday (except bank holidays)	91 657 88 01
Assistance in Catalan	9.00 to 18.00h Monday to Friday (except bank holidays)	93 410 84 85
Customer Service support	9.00 to 18.00h Monday to Friday (except bank holidays)	900 802 081
Technical web assistance (particulares.com)	8.00 to 22.00h Monday to Friday and Saturdays 9.00 to 15.00h (except bank holidays)	91 657 88 69
Investment and stock exchange specialists	8.00 to 22.00h Monday to Friday (including bank holidays if markets are operating)	91 657 88 01
International Business Specialists	8.00 to 17.00h Monday to Friday (except bank holidays)	91 050 00 96
Corporate Telephone Banking	8.00 to 18.00h Monday to Thursday and Friday 8.00 to 17.00h	91 050 01 08
Technical web assistance (empresas.com)	August 8.00 to 15.00 Monday to Friday (except bank holidays)	91 807 09 84

Chairman
PEDRO GUERRERO (NO EXECUTIVE)

CEO
Mª DOLORES DANCAUSA

Deputy Chairman
ALFONSO BOTÍN

- Bankinter Foundation for Innovation
- Internal Audit
  FRANCISCO MARTÍNEZ
- RSC
- Secretary of the Board of Directors

- Corporate Banking
  FERNANDO MORENO
- Commercial Banking
  GLORIA ORTIZ
- Secretariat General
  GLORIA CALVO

- Risk
  JULIO ZAPATERO
- Finance
  JACOBO DÍAZ
- Digital Banking
  MARTA CENTENO

- HR, Communication and Quality
  MARÍA PARAMÉS
- Treasury and Capital Markets
  ANTONIO MUÑOZ

- Consumer Finance
  ALFONSO Mª SAEZ
- EVO Bank
  EDUARDO OZAITA
- Branch in Portugal
  ALBERTO RAMOS

- Committee Executive
- Balance Sheet Management Committee
- Risk Internal Executive Committee
- Bankinter Investment
  IÑIGO GUERRA

Steering committee
Management team

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Board of directors

Position	Name/Company	Appointment	Last re-election	Upcoming re-election
Chairman	Pedro Guerrero Guerrero	2000	2021	2025
Vice chairman	Alfonso Botín-Sanz de Sautuola y Naveda[2]	2022	2022	2026
Chief executive officer	María Dolores Dancausa Treviño	2010	2019	2023
Director	Marcelino Botín-Sanz de Sautuola y Naveda[2]	2005	2021	2025
Director	Fernando Masaveu Herrero[3]	2005	2021	2025
Director	María Teresa Pulido Mendoza	2014	2019	2023
Director	Teresa Martín-Retortillo Rubio	2017	2022	2026
Director	Álvaro Álvarez-Alonso Plaza	2019	2019	2023
Director	María Luisa Jordá Castro	2019	2019	2023
Director	Fernando Francés Pons	2020	2020	2024
Director	Cristina García-Peri Álvarez	2021	2021	2025

Secretary (non director) to the board of directors: Gloria Calvo Díaz.

(2) They represent, on Bankinter's board of directors, the significant shareholder CARTIVAL, with a 23.190% stake in Bankinter's share capital, and not directly holding the status of director. Alfonso Botín-Sanz de Sautuola y Naveda is executive vice chairman and chairman of the executive committee of Bankinter

(3) On 4 March 2011, the proprietary director of Bankinter, Fernando Masaveu Herrero, announced that he controlled the voting rights of the Bankinter shares held by the various companies of the Masaveu Group, including Corporación Masaveu, S.A.. This information was disclosed by the director purely for good governance purposes and in order to comply with prevailing legislation concerning transparency of information at listed companies, and does not entail any change of ownership or assignment of rights.

Organisation managers

Juan Carlos Barbero Maeso	Andalusia
Laura Garcia Vera	Canary Islands
Jacobo Cañellas Colmenares	Castile-La Mancha and Extremadura
Eduard Gallart Sulla	Catalonia
Antonio Berdiel Bitrián	Levant and Balearic Islands
Maite Cañas Luzarraga	Madrid Corporate Banking
Rafaela Vergara Ruiz	Madrid East
Ignacio Lozano Egea	Madrid West
Yolanda Gella Ferrer	Navarre, Aragon, Rioja and Soria
Joaquín Da Silva Castaño	Northwest
Juan Manuel Astigarraga Capa	North

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